

Political & Economic Thought — Master Notes

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One running document for the whole course, organised **by module**. Format per reading: **Résumé** → ★
Heart of it → Key concepts → Section-by-section → Cases → Key terms → Exam pointers.

Overview — where everything is

(Everything below is clickable — jump straight to a week, reading, case, or fun-facts box.)

- **Module 1: Antiquity & the Middle Ages — Greeks & Romans** — ★ Lecture 1 (BAP/JL) · Reeve: Plato · McClelland: Aristotle · Galbraith intro · ★ Reading questions (answered) · ★ Fun facts
- **Module 2: Renaissance & Early-Modern — from Cosmopolis to Stato to Social Contract** — McClelland: Hobbes · Hobbes's social contract / covenant · Grotius: natural law & the world system of states · Hobbes vs Grotius · ★ Fun facts
- **Exercise Class 1: The Pros & Cons of a Central Political Authority** — Cicero: *On the Commonwealth* · the cycle of constitutions · the mixed constitution · Hobbes: *Leviathan* Part 2 (chs 17–20) · the generation of the commonwealth · rights of the sovereign · Machiavelli (supplementary) · Cicero vs Hobbes · ★ Reading-question answers · ★ Fun facts
- **Module 3: The Roots of Modern Economics — Mercantilism to Economic Liberalism (1500–1790)** — Mercantilism · quantity theory of money (Salamanca/Bodin) · The Physiocrats & the *Tableau économique* · laissez-faire (Gournay/Turgot) · Adam Smith · division of labour & the invisible hand · Smith & laissez-faire · *Is Mercantilism Back?* · ★ Fun facts
- **Module 4: Enlightenment and Political Liberalism (1660–1790)** — the Enlightenment frame · Locke (Waldron) · social contract & consent · equality & natural law · property · rule of law & revolution · Montesquieu (McClelland) · spirit of the laws / *esprit général* · types & principles of government · separation of powers · Wollstonecraft · Rousseau (optional) · general will · who are "the people"? · ★ Reading-question answers · ★ Fun facts
- **Module 5: American & French Experiments — Social Liberalism & Liberal Democracy (1830–1873)** — ★ Lecture 5 frame (BAP) · historical context: the modern revolutions · thought after the revolutions · ancients vs moderns (Constant) · Tocqueville (Welch) · democracy = equality of conditions · method: political sociology · individualism · tyranny of the majority · soft despotism · the antidote: participation & associations · Mill · utilitarianism · the argument for representative democracy · the harm principle · self- vs other-regarding · liberalism vs utilitarianism tension · The Subjection of Women · Mill the economist (Backhouse) · Cassidy: *Is America an Oligarchy?* · ★ Reading-question answers · ★ Fun facts
- **Exercise Class 3: The Pros & Cons of Democracy** — Montesquieu: *The Spirit of the Laws* (Bks II·III·VIII) · nature vs principle of government · the three governments · virtue as democracy's principle · corruption of democracy · Tocqueville: *Democracy in America* · sovereignty of the people · what maintains the republic · the tutelary despotism · Montesquieu vs Tocqueville · CNN: the second impeachment · ★ Prep-question answers · ★ Fun facts

- **Module 6: Reactions to Liberalism — Conservatism & Classical Political Economy (1790–1830)** — historical context: the social question · Adam Smith recap · **Malthus** · ★ population & the Malthusian trap · poor laws & Malthus's solutions · market gluts & Say's Law · **Ricardo** · ★ differential rent & diminishing returns · distribution & the iron law of wages · free trade & the Corn Laws · ★ the value debate (LTV · the "Ricardian detour" · Say) · Malthus vs Ricardo · **Burke** & conservatism · the French-Revolution context · ★ Burke's core ideas · Burke take-aways · ★ Study-question answers · ★ Fun facts
- **Exercise Class 4: Growth & Limits to Growth in Early Industrial Capitalism** — the classical growth story · Smith on growth · ★ the stationary state · Malthus & Ricardo on sustained growth · **Mill**: what is political economy? · ★ production vs distribution · ★ the stationary state *welcomed* · **Zweig**: forerunners of limits to growth · ★ the Jevons paradox & the Coal Question · *Snowpiercer* · ★ working-question answers · ★ Fun facts
- **Module 7: From Political Economy to (Micro)Economics (1871–1933)** — the great divide: social science vs history · context: Germany · England · US · two traditions of economic science · the German Historical School (List · Roscher · Schmoller) · ★ the Methodenstreit (1883) · ★ the water-diamond paradox · Bentham & the forerunners · ★ marginalism & the marginal revolution · ★ Jevons · ★ Marshall & neoclassical economics · ★ how supply & demand set price (the scissors) · ★ classical vs neo- · critique of neoclassical economics · ★ Study-question answers · ★ Fun facts
- **Exercise Class 5: Economic Culture — the Market in American Fiction** — the assignment · *Farmer Boy*: money as stored work (labour theory of value) · *Butcher's Crossing*: the market's betrayal · ★ the implication for Father Wilder · ★ Assignment answers · ★ Fun facts

Module 1: Antiquity and the Middle Ages — Greeks and Romans

Readings: Reeve on Plato · McClelland on Aristotle · Galbraith intro (pp. 1–8)

Theme of the module: the two founders of Western political thought — **Plato** (the ideal state built on knowledge of the Good) and **Aristotle** (the empirical, "natural" study of the *polis*) — paired with Galbraith's framing of *how to read the history of economic ideas* (ideas as products of their time). Plato gives the **normative/idealist** pole, Aristotle the **empirical/naturalist** pole; both anchor every later debate.

★ **The red thread** — each text in **ONE** idea (keep these three in view; all the detail below hangs off them):

- **Reeve → Plato:** rule belongs to those who **KNOW the Good** — politics is *derived from metaphysics* (the philosopher-king in the kallipolis).
- **McClelland → Aristotle:** the *polis* is **natural**, studied **empirically** — judge every constitution by whose interest it serves (good vs corrupt; *politeia* = the best *practicable*).
- **Galbraith:** economic ideas are **products of their own time and place** — read ideas against the world that made them.

★ Lecture 1 (BAP/JL) — The roots of political philosophy

The lecture (Benjamin Ask Popp-Madsen · Joachim Lund) frames the whole field, then walks the ancient arc **Greece → Rome → early Christianity**. The readings below give the Plato/Aristotle/economics detail; this section adds the lecture's **framing** and the **Roman/Christian** material it covers beyond the readings. (Course/exam: written sit-in on CBS computers, Jan 2027; 7-step scale; two internal examiners.)

What is Political and Economic Thought? — theory vs. ideology

Core: both **theory** and **ideology** are "frameworks of explanation," but theory *aims at objectivity* (a **positive**, not normative, starting point — though never value-free), while ideology is openly **normative** — a programme for action.

- **Ideology** (Heywood): a coherent set of ideas grounding organised political action — it ① describes the existing order (a "world-view"), ② pictures a "good society," ③ says how to get from ①→②.
- **Theory:** rigorous concepts + logic aiming at some **objectivity**; a relatively rigorous (not strictly scientific) form of knowledge.
- So both sit on a **continuum between science and ideology** / positive vs normative. (Watch words like "right" and "just" — they sound like theory but smuggle in norms.)

Why study the history of ideas? — do ideas change the world?

Core: the course's central puzzle — do **ideas** move history, or do **material interests**?

- **Hegel:** "Philosophy comes too late to teach the world what it should be." • **Marx:** "philosophers have only *interpreted* the world; the point is to *change* it." • **Weber:** interests govern conduct, but the "world-images" created by ideas act like **switchmen** on the tracks. • **Gramsci** (*cultural hegemony*): the dominant ideas decide how socio-economic structures *can* be changed.

Three kinds of social theory

- **Political theory** — the **authoritative distribution of scarce resources** / the monopoly of violence.
- **Sociological theory** — human behaviour in and between groups.
- **Economic theory** — the **creation & distribution of wealth** (→ close to politics at the macro level, to sociology at the micro level).

Ancient Greece — the polis (context)

Core: the setting is the **polis** — the small, self-governing city-state — at its height ~500–400 BC, then eclipsed by Macedonian empire from **338 BC**.

- ~1,500 **Greek city-states**; typically 500–2,000 free adult male citizens each; **Athens** ~40,000 citizens (~200,000 total incl. women, children, slaves, metics).
- Democracy's arc: **Solon (594 BC)** & **Cleisthenes (508 BC)** extend citizenship → **Persian Wars** → **Peloponnesian War (431–404 BC, Athens defeated)** → **338 BC** Philip of Macedon ends Athenian

democracy → 322 BC Athens no longer independent (Aristotle dies that year).

Plato & Aristotle — the lecture's framing

(Full detail in the Reeve and McClelland notes; here are the lecture's sharp contrasts.)

- **Plato** (427–347 BC): scarred by Athens' defeat (404) and **Socrates' execution (399)** → *unimpressed by democracy*. The kallipolis realises the Good; 3 soul-parts / 3 classes (producers = money-lovers · guardians = honour-lovers · philosopher-rulers = wisdom-lovers = "aristocracy").
- **Aristotle** (384–322 BC): a **foreigner (metic)** in Athens; **empiricist** — studied **150+ constitutions**; aims at **eudaimonia** (the good life); "identify those aspects of political life which operate **as nature intended**." Natural law reflected in human law; **natural pairs** (master–slave, husband–wife, father–child, ruler–ruled); some are "slaves by nature."
- **Aristotle's constitutions** — *in whose interest?* (the good/corrupt test):

Rule by...	Common interest (just)	Rulers' interest (corrupt)
One	Monarchy	Tyranny
A few	Aristocracy	Oligarchy
Many	<u>Politeia</u>	Democracy

- **Plato vs Aristotle in one line:** Plato asks "*which men are most able to govern?*" (from assumptions about human nature → rule by **sophia/wisdom**); Aristotle asks "*what would it take to be a good ruler?*" (from observation → **phronesis/practical wisdom**, plus **taking turns, accountability, legitimacy**). Aristotle distrusts rule by pure *sophia*.

Politeia — Aristotle's best *practicable* constitution

Core: *politeia* (polity) = the good, common-interest form of rule by the many, and Aristotle's **best constitution actually achievable** for ordinary cities (a perfectly-virtuous monarch or aristocracy being rare). It is his real answer to "*who should rule?*"

- A "**mixed**" constitution: it **blends democracy and oligarchy** and rests on a strong **middle class**, which makes it **stable** — the middle moderates between rich and poor, so neither extreme captures the state.
- Its **three principles** (the lecture's framing):
 - **Phronesis over sophia** — good rule needs **practical wisdom from experience**, not abstract wisdom alone (Aristotle's implicit critique of Plato's philosopher-king).
 - **Taking turns** → **accountability** — citizens rule *and are ruled* in turn.
 - **Everyone shares in lawmaking** → **legitimacy**.
- **Vs Plato:** Plato — "*which men are most able to govern?*" → rule by the knowing few (**sophia**). Aristotle — "*what makes a good ruler?*" → **shared, accountable** rule by the many (**phronesis**). **Politeia is Aristotle's real-world answer to "who should rule."**
- **Terminology watch:** *politeia* also means "**constitution**" in general (and gives us the word "politics") — here it names the *specific* good form of majority rule (the just counterpart of **democracy**, which for

Aristotle is the *corrupt* form).

Rome — republic, law & clientelism

Core: Rome adds the mixed constitution and the rule of law — but on a **weak civil state** riddled with clientelism.

- **Polybius & Cicero:** Republican Rome was best because it **mixed** monarchy (two **consuls**), aristocracy (the **Senate**) and democracy (the **People's Assembly** / **tribunes**).
- **Rule of law:** Cicero brings Natural Law ("the true law of reason according to Nature") to Rome; expressed in **ius gentium** (law of peoples) & **ius civile** (law of citizens). Roman law = codified **protection of life & property** from government abuse; introduces **contracts & corporations**. But a **weak state** (no police, no public prosecutor — only the wealthy could bring a case) → power rested on the **strongest army** and on **clientelism** (patron–client bonds of power, dependency & obligation — *not* rights).
- Arc: kingdom (753 BC) → **Republic (509–49 BC)** → Caesar assassinated (44 BC) → **Augustus**, first emperor (27 BC); **Caracalla (AD 212)** grants citizenship to all free men.

From Stoicism to Christianity

Core: the **Stoics** universalise natural law — everyone is born with equal **logos** (reason) — the first hint that **all are in principle equal**, later carried into Christianity.

- **Stoicism:** equal *logos* → slavery & the suppression of women are *unnatural*; **Seneca:** a citizen may be legally free yet morally a slave — seek **spiritual** freedom. Transferred to Christianity: freedom = **submission to faith**; all equal **in God's eyes** (created in His image).
- **Augustine (354–430):** **two states** (God's and Man's); Natural Law = Divine Law; true freedom only in Paradise; slavery = God's punishment for sin.
- **Aquinas (1224–74):** peace & God's **Cosmopolis**; man submits to divine authority (God & pope); a **moral economy**.

Ancient economic thinking

Core: economics = **household (oikos)** management on land & slavery; **trade is inferior/"unnatural,"** and **usury** (money-lending) is immoral.

- **Xenophon's Oikonomikos:** wealth from good **estate management**. Exchange was **hierarchical**, only partly market-based; distribution via **gifts, plunder, tribute, prizes, local markets**.
- **Just prices vs artificial prices;** money-lending = **usury** = immoral. Ideal: "*rich enough to pursue virtue*" (Greeks: no excess; Romans: wealth = responsibility). (*This is where Galbraith's & Backhouse's "ancient world" economics begins.*)

Greek & Roman terms we still use

- **Greek:** *politeia* (affairs of the city) → **politics** · *monos+archo* → **monarchy** · *aristos+kratos* → **aristocracy** · *demos+kratos* → **democracy** · *tyrannos* → **tyranny** · *oikos+nemein* (household + manage) → **economy**.

- **Latin:** *res publica* → **republic** · *imperium* → **empire** · *dictator* → **dictatorship** · *civitas* → **citizen/city** · *populus* → **people/populism** · **constitution** (how things are constituted).

Take-away — ancient political philosophy

- It debated **natural law vs the laws of the state**; reflected on **justice, rule of law, and forms of constitution/government**; and weighed **duty to the family (*oikos*)** against **duty to the polis** and religion → the enduring question of **individual freedom vs. obligation to society**.

Reeve — 'Plato'

In: David Boucher & Paul Kelly (eds), *Political Thinkers* (2003), **ch. 4**, by **C.D.C. Reeve** (pp. 55–72). Main text: Plato, *Republic*.

Chapter résumé

An analytic tour of Plato's political philosophy, built almost entirely on the **Republic**. Reeve shows how Plato's **metaphysics** (the Theory of **Forms**, crowned by the **Form of the Good**) grounds his **politics**: since only the philosopher *knows* the Good, only the **philosopher-king** should rule. He walks through the ideal city (**kallipolis**): its origin in the **division of labour**, its tripartite structure mirroring the **tripartite soul**, and **justice** as everyone "doing their own" job. He then confronts the notorious features — the **noble lie**, abolition of family and property for the guardians, equality of women, eugenics, exposure of infants, slavery, and **censorship of art** — before ending on the clash with modern **liberal freedom**: Plato restricts liberty because he aims at citizens' *real* good, which (he thinks) requires being ruled by knowledge.

★ **The heart of the chapter:** Plato's politics falls straight out of his **metaphysics** — because only the philosopher *knows* the Form of the Good, only the **philosopher-king** should rule; and **justice = each class doing its own job** in the kallipolis.

Key concepts / "modes" to use

- **Theory of Forms & the Form of the Good** (the "good-itself") — the metaphysical foundation.
- **Philosopher-king** — rule belongs to those who *know* the Good.
- **Tripartite soul / city**: appetitive → producers (money-lovers); spirited → guardians/auxiliaries (honour-lovers); rational → rulers (wisdom-lovers).
- **Justice = specialization** ("doing one's own work"), the principle that structures the whole city.
- **Sun / Line / Cave** analogies — how we know the Good.
- **The three cities**: City-1 (healthy/"true"), City-2 (luxurious/"feverish"), City-3 (purified = **kallipolis**).
- **Genuine lie vs verbal lie** (the "noble lie" / myth of the metals).

Section-by-section main points

Biography & framing

- Plato c. 429–347 BC, from a leading aristocratic Athenian family (related to Solon; brothers **Glaucon & Adeimantus** appear in the *Republic*). Founded the **Academy**. The **execution of Socrates (399 BC)** turned him away from a political career toward philosophy.
- **Key texts:** the *Republic* is central; Plato's dialogues are grouped into four chronological sets (early/Socratic → late).

An overview of the *Republic*

- **Book 1** — Thrasymachus: "justice is the **interest of the stronger**." Socrates' refutation (*elenchus*) is inadequate; **Glaucon & Adeimantus** renew the challenge, demanding justice be shown **intrinsically** (not just instrumentally) good.
- Plato's answer: the just city ruled by **philosopher-kings** who possess **knowledge of the Form of the Good** (not mere opinion). Political rule should go to those *best fitted by knowledge*.
- The city's three classes are produced by **eugenics + the "noble lie"**. Guardians live under a form of **communism** (no private property or family) so that no private interest competes with the city's good. **Censorship** shapes character.
- **Justice** = each person/class performing the **one social role** they are naturally best fitted for.

Forms and the good-itself

- Discussion of poetry (Books 2–3) leads to **Forms** as eternal **patterns/blueprints** (of virtues, of a good city).
- **Sun analogy**: the **Good** is to the intelligible realm what the sun is to the visible — the source both of things' **being** and of their **knowability**. Rational order = goodness = intelligibility.
- Knowing the **good-itself** is what lets the philosopher make the kallipolis genuinely good (it is the "cause" of a thing's good order).

The structure of the *kallipolis*

- The ideal city is developed in three stages: **City-1** (the healthy "true" city), **City-2** (the luxurious/"feverish" city, once appetites expand), **City-3** (the purified city = kallipolis).
- The kallipolis is a **real possibility**, not an idle utopia — but only if **philosopher-kings** rule.

Specialization

- **Principle of specialization / unique-aptitude doctrine**: each does the single job their nature suits them for. This is the foundation of **justice**.
- Reeve notes Plato really relies on **quasi-specialization** — three broad natural types (money-lovers, honour-lovers, wisdom-lovers), not a unique craft per person.

| The lies of the rulers

- **Genuine ("true") lie** = a false belief in the soul about the most important things — *always* bad.
- **Verbal lie** = words that mislead — can be a useful "**medicine**," legitimately used by rulers (like the myth of the metals) for the city's good.
- Only the **philosopher-kings**, who *know* the good, are entitled to deploy such lies.

| Private life and private property

- Guardians have **no private property and no private family** — a "communism" of the ruling classes — to remove competing private interests.
- **Women guardians** are trained and rule alongside men: the principle of specialization applies to individuals regardless of sex (though child-bearing is noted). Plato is **not a feminist**, but the implication is radical for its time.
- Reproduction managed by a rigged lottery / community of wives & children (a eugenics programme).

| Invalids, infants, slaves

- **Medicine** should restore people to a worthwhile life, **not prolong** lives too ill to function; deformed **infants** are (controversially) exposed — Reeve flags this as debated.
- **Slavery**: the kallipolis probably contains slaves (barbarian, not Greek), but Plato's position is ambiguous and less central than Aristotle's.

| Censorship of the arts

- Poetry and art are **censored** because they misrepresent gods and virtue, feed the **appetitive** (not rational) part of the soul, and weaken character. Art must **serve education**. This is Plato's famous **quarrel with poetry**.

| Freedom and autonomy

- Modern **liberal** objection: the kallipolis crushes individual freedom.
- Reeve's reconstruction of Plato's reply: distinguish a person's **real interests** (what truly fulfils their nature → real happiness) from mere **desires**. Liberal **instrumental/negative freedom** (satisfy whatever desires you happen to have) may not serve real interests; **deliberative freedom** requires the right education and knowledge.
- Because the kallipolis aims at citizens' **real good**, Plato claims it delivers *more* real freedom (fulfilment) even while restricting license. Liberal **neutrality among conceptions of the good** is itself a contestable value.

Cases & examples

Plato argues through **thought-experiments and images**, not country cases — but you're expected to know these cold, so here's *what each one actually says*.

- **Thrasymachus's challenge (Book 1).** The sophist Thrasymachus asserts that "**justice is the interest of the stronger**" — rulers simply make laws that serve themselves and call it "just." Socrates' on-the-spot refutation (the *elenchus*) is weak, so **Glaucon and Adeimantus** re-pose the challenge: show that justice is good **in itself**, not just for its rewards. → *Sets up the entire argument of the Republic* — everything after is Plato's answer.
- **The three cities.** Plato builds the ideal city in stages: **City-1**, the "healthy"/"true" city of simple needs; **City-2**, the "luxurious"/"feverish" city once appetites and luxuries balloon (now it needs a guardian/soldier class); and **City-3**, the **purified** city — the kallipolis — once reason (the philosopher-kings) governs the whole. → *Shows the kallipolis is reached by purifying a realistic city, not conjured from nothing.*
- **The Sun analogy.** Just as the sun both lets us **see** objects and makes them **grow**, the **Form of the Good** makes the other Forms both **knowable** and gives them their very **being**. → *Illustrates why the Good is the highest object of knowledge and the source of the city's goodness — the metaphysical root of rule by philosophers.*
- **The Allegory of the Cave.** Prisoners chained facing a wall take flickering **shadows** for reality; one is freed, dazzled by the sunlight, and slowly comes to see real things and finally the sun itself. → *Illustrates education as turning the soul from appearances toward the Good — and why the enlightened philosopher must (reluctantly) go back down to rule.*
- **The myth of the metals (the noble lie).** Citizens are told a "needful" story: that god mixed **gold** into the rulers, **silver** into the auxiliaries, and **bronze/iron** into the producers at birth. → *Illustrates the "lies of the rulers" — a verbal lie used to legitimate the class structure and secure loyalty to the city.*
- **The rigged marriage lottery.** Guardian reproduction is arranged by a lottery that is secretly **fixed** so the "best" breed with the "best," while the couples believe the pairing was pure chance. → *Illustrates Plato's eugenics and the abolition of the private family among the guardians.*

Key terms

Term	Meaning
Form / Theory of Forms	Eternal, intelligible patterns; the true objects of knowledge
Form of the Good (good-itself)	Highest Form; source of being & knowability (Sun analogy)
Philosopher-king	Ruler who <i>knows</i> the Good; only they should rule
Tripartite soul	Rational / spirited / appetitive parts
Three classes	Rulers (wisdom) / guardians-auxiliaries (honour) / producers (money)
Justice	Each part/class doing its own proper work (specialization)
Kallipolis	Plato's ideal ("beautiful") city
Noble lie / myth of the metals	Verbal lie used to legitimate the class structure
Genuine vs verbal lie	False belief in the soul (always bad) vs misleading words (can be useful)
Real interests vs desires	What truly fulfils us vs what we happen to want

Exam pointers

- Be able to trace the **metaphysics → politics** move: Form of the Good → philosopher-king → kallipolis.
- Know the **soul ↔ city** parallel and **justice = specialization** codd.
- Distinguish genuine vs verbal lie and explain why the noble lie is (for Plato) permissible.
- Be ready to state Plato's **anti-liberal** account of freedom (real interests vs desires).

McClelland — Aristotle

Book: J.S. McClelland, *A History of Western Political Thought* (1996), pp. 52–68 (chapter section "Aristotle and the Science of Politics", in Part "The Greeks").

Chapter résumé

McClelland presents Aristotle as the **empirical, scientific** counterpart to Plato. After a biographical sketch (the Macedonian connection, the Lyceum), he tackles the textual "**problem**" — the *Politics* is a jumbled, probably lecture-derived text (Jaeger's developmental thesis). His central claim: Aristotle's political science is **empirical in the way his biology is** — it studies the *polis* as a natural organism, takes **received opinion** seriously, and asks what **nature intends**. The reading then maps the eight books of the *Politics*, and develops two big Aristotelian doctrines: the **naturalness of rulership** (natural hierarchies, the household, slavery) and the **naturalness of the polis** (man as a *political animal*, the *polis* as the *telos* of human community, and the classification of constitutions).

★ **The heart of the chapter:** Aristotle studies politics **empirically, like biology** — the **polis exists by nature** (man is a political animal), and regimes are judged **good vs. corrupt** by whether they serve the **common interest** (the six-fold classification of constitutions).

Key concepts / "modes" to use

- **Teleology** — everything has an *end* (telos); "nature does nothing in vain."
- **Empirical method** — study politics like biology; give **received opinion** (endoxa) a hearing.
- **Naturalness of the polis** — man is by nature a **political animal**; the *polis* exists by nature and is **prior** to the individual.
- **Natural rulership** — some rule / some are ruled by nature (master–slave, husband–wife, parent–child).
- **Classification of constitutions** — 3 good vs 3 corrupt forms.
- **Phronesis** (practical wisdom) vs **sophia** (theoretical wisdom); rule of law vs rule of men.

Section-by-section main points

Biography

- Born **384 BC in Stageira** (Macedonian Thrace); father was court physician to the Macedonian king. Studied ~20 years at **Plato's Academy**. Tutored the young **Alexander the Great**. Founded his own school, the **Lyceum** (covered walk = *peripatos* → "**Peripatetics**"), with a vast curriculum — "the first real university." Left Athens twice amid **anti-Macedonian** feeling; died at **Chalcis, 322 BC**.

The Problem of Aristotle's *Politics*

- Aristotle was Plato's pupil but **broke away**; the *Politics* is famously **disorganised** — possibly a compilation of **lecture notes**.
- **Jaeger's thesis**: distinguish the "**Original Politics**" (Books 2, 3, 7, 8 — Platonic, about the ideal/best state) from the truly "**Aristotelian Politics**" (Books 4, 5, 6 — empirical), with **Book 1** written last as a general introduction.
- Aristotle's political science is **empirical like his biology**: study how politics actually works, and give **common/received opinion** ("even the mistakes of the past can be instructive") a sympathetic hearing.
- "**Nature does nothing without a purpose**." Political science is **useful**: identify what nature *intends* and amend what frustrates it — Aristotle is **not** merely the theorist of the second-best.

A Map of the *Politics*

- **Book 1** — the *polis* exists by nature (against the Sophist "convention only" view); defence of natural **slavery**; the household & the acquisition of wealth (original meaning of "**economics**"); natural rule based on possession of **reason**.
- **Book 2** — ideal communities; critique of **Plato's Republic** (community of wives/children, property); property best held **privately but used in common**.
- **Book 3** — definitions: *What is the polis?* = its **constitution**; *What is a citizen?* (one who shares in office/justice); the **classification of constitutions** — three **good** forms (**monarchy, aristocracy, politeia**) and their **corrupt** counterparts (**tyranny, oligarchy, democracy**); on kingship.
- **Books 4, 5, 6** — the **empirical heart**: the **morphology and pathology** of states; five key questions (how many kinds of constitution; which is best in normal circumstances; which suits which population; how to organise them; **how constitutions are preserved and destroyed**). **Book 5** = political **pathology and preventive medicine** (causes of revolution; how regimes are preserved — obedience to law).
- **Books 7, 8** — "Platonic": Aristotle on the **best state** (ideal population size, territory, and **education**).

The Naturalness of Rulership

- Aristotle's **teleological biology** drives the politics. Some things naturally **rule**, others are naturally **ruled**; the natural pairs are **master–slave, husband–wife, father–children**, combining into the **household**, then village, then *polis*.

- **Ends:** the *polis* is the *end* toward which lesser communities develop — "prior" in the sense of **completion**, not in time (the acorn/oak analogy).
- **Slavery:** the "natural slave" lacks the **deliberative/directive faculty** (reason); the master's intelligence directs him, as mind directs body. But Aristotle is **uneasy/embarrassed** — he concedes many actual slaves are enslaved by mere **convention/conquest** (the Sophist objection), so his defence is **weak** and applies only to a hypothetical "natural" slave.
- **Kingship** = rule of **intelligence over desire**, like soul over body; legitimate if the king rules in the interest of all.

| The Naturalness of the *Polis*

- **Phronesis** (practical wisdom for contingent human affairs) is distinct from **sophia** (theoretical wisdom); politics needs *phronesis*.
- The *polis* **exists by nature** as the *telos* of household → village → *polis*; **man is by nature a political animal**; the *polis* is **prior to the individual** (only in it can we live the "good life," not mere life).
- **Rule of law vs rule of men:** law should be supreme **in general**, with men deciding **particular** cases law can't foresee.
- Constitutions judged by whether rulers serve the **common interest** (good) or their **own** (corrupt); Aristotle allows that the "**many**," **collectively**, may be wiser than the few.

Notes on Sources (p. 68) — reading recommendations (Penguin *Politics*; Jaeger; Barker; Ross; MacIntyre's *After Virtue*).

Cases & examples

Aristotle reasons from **analogies and a classification scheme** — know these in semi-depth.

- **The six-fold classification of constitutions.** Aristotle sorts every regime along two axes — *who rules* (one / few / many) × *in whose interest* (the **common good** = correct; the **rulers' own** = corrupt): **monarchy** → **tyranny** (one), **aristocracy** → **oligarchy** (few), **polity** (*politeia*) → **democracy** (many). → *The core exam item:* a regime is "good" when it serves the common interest, "corrupt" when rulers serve themselves; note "democracy" is the *corrupt* form of majority rule (its good form is *politeia*).
- **The acorn and the oak (teleology).** As an acorn's *end* (*telos*) is to become an oak, the *end* of human association is the **polis**. So the polis is "prior" to the household and village not in *time* but as their **completion**. → *Illustrates why the polis is "natural" and why studying it means asking what it is for.*
- **Household → village → polis.** The natural pairs (**master–slave, husband–wife, parent–child**) form the **household** (*oikos*); households cluster into the **village**; villages combine into the self-sufficient **polis**, where the "good life" — not mere survival — first becomes possible. → *Illustrates the naturalness of the polis and the claim that man is by nature a political animal.*
- **The natural slave.** Aristotle claims some people are "slaves by nature": lacking the **deliberative faculty**, they are rightly directed by a master's reason, as the body is by the mind. But he immediately concedes that many *actual* slaves were enslaved only by **conquest or convention** (the Sophist objection) — so his own defence comes out **uneasy and weak**. → *Illustrates the clash between his tidy teleology and messy observed reality.*

Key terms

Term	Meaning
Telos / teleology	The natural <i>end</i> or purpose of a thing
Political animal (<i>zoon politikon</i>)	Humans are by nature made to live in a <i>polis</i>
Polis prior to the individual	The whole (city) is prior in nature to its parts
Natural slave	One lacking the deliberative faculty (Aristotle's uneasy doctrine)
Household (<i>oikos</i>)	Basic natural unit; root of "economics"
Constitution (<i>politeia</i>)	The arrangement of offices; defines the <i>polis</i>
Good vs corrupt constitutions	Monarchy/aristocracy/polity vs tyranny/oligarchy/democracy
Phronesis / sophia	Practical wisdom / theoretical wisdom
Rule of law	Law supreme in general; men decide particular cases

Exam pointers

- Frame Aristotle as **empirical/naturalist** vs Plato's **idealist** — the key contrast of the week.
- Reproduce the six-fold classification of constitutions (3 good / 3 corrupt) and the good-vs-corrupt test (common vs self-interest).
- Explain **man as political animal** + polis prior to the individual via the *telos* argument.
- Be able to state *and criticise* Aristotle's natural slavery argument (the convention/conquest objection).

Galbraith — 'A Look at the Landscape'

Book: John Kenneth Galbraith, *A History of Economics: The Past as the Present* (1987), **ch. I**, pp. 1–8.

Chapter résumé

Galbraith's opening chapter is a **manifesto for reading economics historically**. His central claim: **economic ideas are always a product of their own time and place**, so they can't be understood apart from the world they interpret — and as that world changes, ideas must **transform or lose relevance**. He explains what his history will and won't do (central ideas over exhaustive detail; heavy focus on the last century's money/banking/trade debates), attacks the vested interest that makes economics resist change, and names the discipline's **two central subjects**: the theory of value (prices) and the theory of distribution (wages, interest, profit, rent). He notes a historical shift of emphasis from **value/prices** toward **distribution** and the aggregate performance of the economy (employment, growth). Finally he defends writing a **critical** (not detached) history and warns against economic **forecasting**.

★ **The heart of the chapter: economic ideas are always a product of their own time and place** — to understand economics you must read its ideas against the world that produced them; when the world changes, the ideas must change too.

Key concepts / "modes" to use

- **History-of-ideas approach** — you cannot understand economics without its history.
- **Ideas as products of time & place** — the book's organising thesis.
- **Theory of value (prices) vs theory of distribution (wages/interest/profit/rent)** — the two great subjects.
- **Shift from scarcity/value to affluence/distribution/aggregate** — how the subject's centre of gravity moved.
- **Vested interest & resistance to change** — why comfortable ideas persist.
- **Limits of forecasting** — economists can't reliably predict.

Section-by-section main points

Why the history matters

- "There can be no understanding of economics without an awareness of its history." Economic ideas' authors owe a huge debt to predecessors; the "controlling ideas" are often lost in the mass of writing.
- **Core thesis:** *economic ideas are always and intimately a product of their own time and place; they cannot be seen apart from the world they interpret.* As the world changes, ideas are **transformed** — or become irrelevant.

What this history will do

- Not merely a history of ideas: he ties ideas to the **events that shaped them**, and emphasises **central ideas** over exhaustive detail — with special attention to the **last century** (intense debate over **banking, money, monetary policy, international trade, tariffs**).
- Change in economics is **resisted** — those who benefit from the *status quo* resist change; established ideas persist because they serve a **vested interest**.
- Two great organising reference points: **Adam Smith** and the modern era (Ricardo, the Industrial Revolution, **Keynes**, the Great Depression). (*In the book, Part I = "before Adam," Ch. II = "After Adam."*)

The two central subjects of economics

- **Theory of value** — what determines **prices** (and the value of goods).
- **Theory of distribution** — how the proceeds are shared: **wages, interest, profit, rent** (returns to labour, capital, land).
- Historically, **prices/value** were the very centre of the subject (esp. 18th c.). In modern, more affluent times, **distribution of income** and the **aggregate performance** of the economy — employment, growth, fluctuations, depressions — have become the more urgent, "most sensitive" questions.

- Beyond value & distribution lie the questions of **institutions** (banks, firms, government) and the larger **political and social framework** (capitalism, the welfare state, socialism/communism) — and when these change, economics undergoes "rather major change."

On method and forecasting

- The history should be told in **clear, agreeable English**, and can legitimately be written for **enjoyment** as well as instruction.
- Galbraith writes a **critical** history (he'll exercise judgment, not feign detachment) — economics is a "theater of avowed and strongly expressed argument."
- Beware forecasting**: economists cannot reliably predict; the future is unknowable. (Keynes: "*In the long run we are all dead.*") A forecaster who truly *knew* the future would use the knowledge himself, not sell it.
- Marshall's definition** (quoted): "Political Economy or Economics... is a study of mankind in the ordinary business of life."

Key terms

Term	Meaning
History of economic ideas	Studying economics through the development of its ideas
Ideas as product of time & place	Galbraith's central thesis
Theory of value	What determines prices / the value of goods
Theory of distribution	How income is shared: wages, interest, profit, rent
Aggregate performance	Economy-wide employment, growth, fluctuations
Vested interest	Why comfortable/status-quo ideas resist change
Critical history	History written with judgment, not feigned detachment

Exam pointers

- Nail Galbraith's **thesis** in one line: *economic ideas are products of their time and place; when the world changes, ideas must change too.*
- Know the **value vs distribution** distinction — and the historical **shift** toward distribution and aggregate performance.
- Use the **forecasting** warning (Keynes) and the **vested-interest** point as ready critiques.

Bridge across the week

Plato and Aristotle set the **normative-ideal** vs **empirical-natural** poles of political thought; Galbraith adds the meta-lesson that **all** such ideas — political and economic alike — must be read against the world that produced them. Aristotle's own "economics" (household management, Book 1 of the *Politics*) is a nice link to Galbraith's story of where economic thought *begins*.

★ Reading questions — worked answers

Study answers to Module 1's reading questions (Reeve on **Plato** · McClelland on **Aristotle** · Galbraith).
Each: a one-line **Answer**, then the depth for Plato and Aristotle.

1 · What is the best city/state — for Plato and Aristotle? Why?

Answer: Plato — the kallipolis, *one* ideal city ordered by knowledge of the Good. **Aristotle** — *it depends*: an ideal polis of the "good life," but the best **achievable** is the politeia (a mixed, middle-class constitution).

- **Plato (Reeve)**: the best city is the kallipolis — the purified "City-3" ruled by **philosopher-kings** who know the Form of the Good. It is best because it is ordered by **knowledge, not opinion**: the rational element rules, each class does the one job its nature fits (justice = specialization), and the city mirrors the well-ordered soul. It's a *single* ideal, reachable only by reason.
- **Aristotle (McClelland)**: refuses one blueprint. He separates the **ideal** state (*Politics* Books 7–8 — the "good life," right size/territory, citizens with leisure for virtue) from the **best practicable** — the politeia ("polity"), a "**mixed**" / **middle-class constitution**, because it is the most **stable** (the middle moderates between rich and poor). A regime is *good* when it rules in the **common interest**, and the **many collectively** may be wiser than the few.
- **Why they differ**: Plato the **idealist** derives the best city from the **Forms**; Aristotle the **empiricist** makes "best" plural and fitted to circumstances, and **criticises Plato's *Republic*** (Book 2) for abolishing family/property — which he says destroys natural affection and the household.

2 · Who should rule? Why?

Answer: Plato — the **philosopher-kings** (those who *know* the Good). **Aristotle** — whoever rules **in the common interest**, ideally the **virtuous**, but checked by the rule of law and often the **middle/many**.

- **Plato**: rule goes to those **best fitted by knowledge** — the **philosopher-kings**. Only knowledge of the Good (not opinion) can order the city rightly, just as **reason** should rule the soul. They rule **reluctantly** (they'd rather contemplate but must "return to the Cave") and **in the interest of all**.
- **Aristotle**: on "should **man or law** be supreme?" → **law supreme in general**, men deciding the particular cases law can't foresee. The **good** constitutions (monarchy, aristocracy, politeia) rule for the **common interest**; their corrupt twins (tyranny, oligarchy, democracy) rule for the rulers. A truly **kingly man** of outstanding virtue may rule — but only if for all; otherwise the **collective wisdom of the many** and the middle class are safer.
- **Contrast**: Plato = rule by the **one/few who know**; Aristotle = rule by the **virtuous serving the common good, constrained by law**.

3 · How are freedom and privacy protected in the kallipolis?

Answer: In the modern liberal sense they mostly **aren't** — privacy is *abolished* for the guardians and individual license is heavily restricted. Plato's defence: **true freedom = living by your *real interests***

under the rule of knowledge, and private property/family are competing interests that corrupt the rulers.

- **Privacy is removed, deliberately:** guardians have no private property and no private family (a "communism" of the rulers), plus a rigged marriage lottery, controlled education, and censorship of the arts — all to delete competing private interests so nothing rivals the good of the city.
- **Individual freedom is restricted, not protected:** the noble lie, fixed class roles and censorship constrain what citizens may do, believe and hear.
- **Plato's reply (Reeve, "Freedom and autonomy"):** distinguish **real interests** (what truly fulfils your nature → real happiness) from mere **desires**. Liberal *negative* freedom (do whatever you want) may not serve your real interests; **deliberative freedom** needs knowledge and the right education. So the kallipolis claims to deliver *more* **real** freedom — each person fulfilling their nature — precisely by restricting **license**. Privacy is sacrificed for the **unity** of the city.
- **The lecture's phrasing (BAP):** "*Freedom is preserved, since everybody is made equal and secure by the state and enabled to realize his/her potentials*" — i.e. freedom as **fulfilment**, not license (the same move as Reeve's real-interests defence).
- **Exam framing:** don't answer "freedom is protected." Say: *the kallipolis subordinates privacy and license to the city's unity and the citizens' real good; Plato redefines freedom as fulfilment under the rule of knowledge* — the anti-liberal move.

4 • What is honour? What is virtue?

Answer (the lecture's civic definitions — BAP): **Honour** = the ability & willingness to **defend the city/country against its enemies**. **Virtue** = a sense of **obligation & responsibility toward society**, to keep it from falling apart. Together: **Honour + Virtue** = **protection against anarchy or conquest by others** — and the way to stay in power.

- **Deeper — Plato (the soul):** in the tripartite soul, the **spirited** part seeks **honour, victory, reputation** (its people = the **honour-lovers/guardians**; a city ruled by them = a *timocracy*). Plato's four cardinal virtues map onto the parts — **wisdom** (rulers), **courage** (guardians), **temperance** (agreement on who rules), and **justice** = **each part doing its own work**; virtue is grounded in **knowledge** of the Good.
- **Deeper — Aristotle (the good life):** the polis exists so citizens can live "the good life" (*eudaimonia*) — a life of **virtue** built by **habit** and guided by **phronesis**. Honour is sought as a *sign* of virtue, but virtue is the higher, **intrinsic** end.

5 • What is idealism? What is materialism?

Answer: **Idealism** = reality is grounded in **ideas / forms / mind** (the intelligible is more real than the physical). **Materialism** = reality is grounded in **matter** (the physical/economic base is primary; ideas are derived). Plato is the classic **idealist**; the week's other pole leans **materialist/empirical**.

- **Idealism (Plato):** the truly real is the **Forms** — eternal intelligible patterns; the Form of the Good is the highest reality, and the physical world is a mere **shadow/copy** (the Cave). Knowledge is of Forms, not the changing senses — so rule belongs to those who *know* the Forms.

- **Materialism:** the **material/economic** world is primary; ideas and institutions are shaped by material conditions. The key political-economy example is **Marx's historical materialism** (the economic *base* determines the *superstructure* of ideas).
- **Aristotle sits between:** a **naturalist/empiricist** who studies the *actual* world (the polis as a natural organism, teleology in nature) — a counterweight to Platonic idealism, though not a strict materialist.
- **Galbraith tie-in:** his thesis that **economic ideas are products of their own time and place** is a *materialist* reading of ideas — fitting the week's **idealist (Plato) vs materialist/empirical (Aristotle, Marx, Galbraith)** contrast.
- **The lecture crystallises it (BAP): Ideas (Plato) vs Matter (Aristotle)** — as in Raphael's *School of Athens* (Plato points *up* to the eternal Forms; Aristotle gestures *down/out* toward the observed world).

★ Fun facts & memorable details

The sticky examples, witty asides and quotable lines from this week — great for essays, exam colour, or just remembering who's who.

Aristotle trivia (McClelland is full of it)

- McClelland says Aristotle was "**a snappy dresser**" who "**affected an aristocratic lisp.**"
- The **Lyceum's** covered walk was the *peripatos* — which is exactly why Aristotle's followers are called the **Peripatetics** (the "walking-about" philosophers).
- Aristotle's kinsman **Callisthenes** went east with Alexander to write the campaign history and recite Homer whenever Alexander got drunk and thought he was **Achilles** — possibly planted as **Aristotle's spy**. He was later executed.
- **The banquet at Opis (324 BC):** Alexander reconciled Macedonians and Persians, married **10,000** of his veterans to Asian concubines, and pleaded for *omonoia* (concord between the races). McClelland calls it "*the supremely anti-Aristotelian moment*" — it dissolved the Greek/barbarian distinction Aristotle's reason had so carefully drawn.
- In Aristotle's scheme of kingship, McClelland dryly notes, "*there are no queens.*"
- The word "**economics**" comes from Greek *oikonomikos* — **household management** (*Politics* Book 1).
- The historian **Polybius** later coined "**ochlocracy**" (mob-rule) for Aristotle's corrupt form of "democracy."
- The *Politics* may literally be a **bundle of students' lecture notes** — which is why scholars agree "the book is a mess."

Plato trivia

- Plato came from top-drawer Athenian aristocracy (related to **Solon**); his brothers **Glaucon and Adeimantus** are characters in the *Republic*.
- The **noble lie / myth of the metals:** citizens are told they were born with **gold, silver, or bronze** in their souls, to justify the class system.
- The ideal city runs a **rigged marriage lottery** (eugenics) and gives its guardians **no private property and no family** — a "communism" of the rulers.

- Plato would **expose deformed infants** and refuse to treat the incurably ill: medicine should restore people to a *worthwhile* life, not merely prolong it.
- Plato's three great images for knowing the Good: the **Sun**, the **Divided Line**, and the **Cave**.

Galbraith / economics

- Galbraith's one-line thesis: "*economic ideas are always and intimately a product of their own time and place.*"
- **Marshall's** still-quoted definition: economics is "*a study of mankind in the ordinary business of life.*"
- The **forecaster's paradox**: anyone who truly knew the economic future would quietly use the knowledge to get rich — not sell it in a newsletter. (Hence Keynes: "*In the long run we are all dead.*")
- Galbraith subtitled his book "**A Critical History**" — he refuses to pose as a detached, dispassionate scientist.

Module 2: Renaissance and Early-Modern Political Theory — from Cosmopolis to *Stato* to the Social Contract

Readings: McClelland, *A History of Western Political Thought*, ch. 11 (Hobbes, pp. 191–228) · Grotius (Boisen, *Political Thinkers*-style chapter) **Focus:** Thomas Hobbes: *Leviathan and the social covenant* · Hugo Grotius *and the world system of states*.

Theme of the module: the long shift from the medieval **Cosmopolis** (one universal Christian moral-legal order — Module 1's Aquinas) to the modern world of **sovereign states**. Three moves: **Machiavelli** frees politics from morality and invents the autonomous *stato* → **Hobbes** gives that state a **contractual foundation** and a *science* of absolute **sovereignty** → **Grotius** builds the **world system of states** bound by **natural law** (the birth of international law).

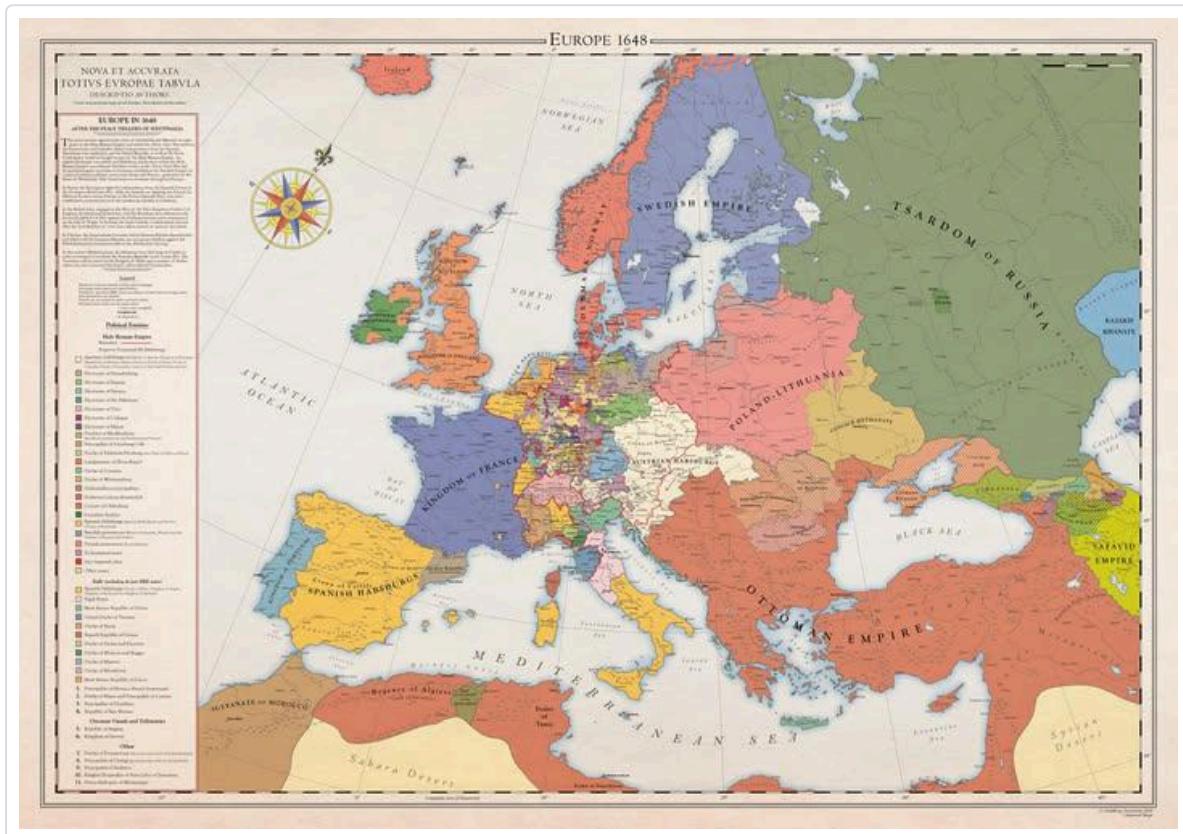
★ **The heart of the module — each thinker in one idea** (keep these in view):

- **Machiavelli → the *stato*:** politics is its own domain, freed from ethics; built on a fixed, pessimistic view of human nature.
- **Hobbes → the social covenant:** from a **state of nature** ("war of all against all") rational egoists **covenant with each other** to authorise an **absolute sovereign** (Leviathan) — anything less collapses back into war.
- **Grotius → the world system of states:** a **natural law** of universal rights & duties (binding "even if God did not exist") governs sovereigns too — grounding property, the free sea, and a **just-war** international order.

Lecture frame (Popp-Madsen — from the deck). (*The deck is the skeleton; the readings below add the flesh.*)

- **The big story — how political power kept being re-grounded:** Greek antiquity = politics is part of **ethical life** (the *zoon politikon*, the good life) → **Middle Ages** = the **Church** is the authority, religion supplies the rules, **God is the ultimate sovereign** → **17th-century early modernity** = the ground shifts to **power, conflict and self-interest**, and to **political institutions and the state**. Hobbes and Grotius are the thinkers of that last shift.

- **The Westphalian system** (the world Hobbes & Grotius write into): after 1648 Europe becomes a set of **sovereign states**, each with ① **exclusive sovereignty over its own territory**, ② **non-interference** in others, and ③ **legal equality** of states — and crucially **no supranational authority** above them (a rejection of the Catholic Church and Holy Roman Empire). *In plain terms*: the map stops being one Christendom and becomes a patchwork of independent states that recognise **no boss** above them.
- **The hinge between the two thinkers**: Hobbes solves order *inside* the state (domestic anarchy → sovereign). **But what governs the space *between* sovereign states**, where there is no super-sovereign? That gap is exactly what **Grotius** tries to fill with international law.



How to read it (the Westphalian map). Each colour is a sovereign state after 1648. The takeaway isn't the individual borders but the **pattern**: Europe is now a **mosaic of many independent sovereigns** — the fragmented **Holy Roman Empire** (centre) is a jumble of statelets — with **no emperor or pope ruling over the whole**. This is the "international anarchy" Hobbes says has no cure and Grotius says can be tamed by a **law of nations**.

McClelland — Hobbes: *Leviathan* and the Social Covenant

Chapter résumé

McClelland reads Hobbes's *Leviathan* (1651) as "*the first masterpiece of social-contract theory*" — yet a deeply **untypical** one: contract language was invented to justify *resistance*, but Hobbes turns it into an argument **for absolute government**, "driving a coach and four through all the libertarian conclusions." Written amid the **English Civil War**, it builds the state **geometrically** from a bleak view of human nature: from

a state of nature ("war of every man against every man," life "solitary, poor, nasty, brutish, and short"), self-interested **rational egoists** reason their way to a **covenant** transferring their unlimited Right of Nature to a **Sovereign** who is *not himself a party* to the contract — and whose power must therefore be **absolute and undivided**, because anything less slides back into the state of nature.

★ **The heart:** Hobbes's chain — **state of nature** (war of all against all) → the **Right of Nature** is a curse everyone would shed → reason's **Law of Nature** says "seek peace" → so men **covenant with each other** to authorise one **Sovereign** (who stays outside the deal) → sovereignty must be **absolute & undivided**, or you're back in the war.

The red thread. Read the whole argument as a **geometry**: the *axiom* is man as a **rational egoist**; the *theorems* are the Laws of Nature, the Social Contract, and absolute Sovereignty. For any step ask: *how does self-interested fear drive it, and why does it force the conclusion that the sovereign must have everything?*

Key concepts / "modes" to use

- State of nature — no government → "war of all against all."
- Right of Nature (a *permission*: unlimited liberty to preserve yourself) vs Law of Nature (a *command* of reason: seek peace).
- **The social contract / covenant** — every man with every man; the sovereign is **beneficiary, not party**.
- **Sovereign / Leviathan** — the "mortal god"; **authorisation** ("what my agent does, I do"); **absolute & undivided**.
- Iniquity vs injury · sovereignty by institution vs acquisition · the efficiency constraint.

Section-by-section main points

| The Machiavelli bridge — the autonomous *stato*

Core: Machiavelli supplies the ground Hobbes builds on — **politics as its own domain**, cut loose from morality and religion, resting on a fixed, pessimistic view of human nature.

- *The Prince*: no natural law, no scripture — Machiavelli simply "treats those assumptions as if they were not there." He wants **axioms that always work**, so he assumes men are "always very bad" ("heads he wins, tails he doesn't lose").
- **Fear over love** — "*treat everybody as a potential assassin*"; better to be feared than loved (Caligula's *Oderint dum metuant* — "let them hate, provided they fear"). **Virtù vs Fortuna**: skill meeting luck. (McClelland: "*Machiavelli anticipates Hobbes*.")

| Hobbes's method — a geometry of man

Core: Hobbes builds politics like **Euclid** — from axioms about human nature to theorems — using the **new science** (matter in **motion**).

- **Materialist psychology**: humans are objects in **motion** (appetite/aversion); happiness is continual motion, not Aristotle's "rest." **Rational egoists** — Macpherson's "possessive individualists," "market-

men" (the striking claim: "*a rising bourgeoisie requires an absolutist state*").

■ The state of nature — the war of all against all

Core: strip away government and you get **rough natural equality** → mutual fear → a **war of all against all** — a *disposition* to fight, not constant battle.

- *In plain terms:* imagine no police, no courts, no laws. Since **anyone can kill anyone** (even the weakest can kill the strongest by stealth or in their sleep), nobody can ever feel safe. Everyone reasons that their **only security is to strike first / dominate others** — but everyone is thinking the same, so you get permanent mutual suspicion. It's "war" not because people fight all the time, but because the **threat never lifts** (like bad weather: not constant rain, but a settled *inclination* to storm).
- **Equality:** "no man is so strong that he cannot be killed by another by stealth" → everyone is a threat. Three drivers: **competition** (gain), **diffidence** (fear/safety), **glory** (reputation). "*Part of man's nature is anti-social, while the other part can only be satisfied through social living.*"
- **War as a condition:** "*the nature of War consisteth not in actuall fighting, but in the known disposition thereto.*" The famous verdict: life is "**solitary, poore, nasty, brutish, and short.**"

■ Right of Nature vs Law of Nature

Core: the **Right** of Nature is a *permission* (do anything to survive); the **Law** of Nature is a *command* of reason (**seek peace**) — and reason tells you to *give up* the unlimited right.

- **Right of Nature** = unlimited liberty of self-preservation — but since *everyone* has it, it's "a millstone" you'd be wise to shed.
- **Law of Nature** (a "precept found out by reason" forbidding self-destruction): **1st** — "**seek peace, and follow it**"; **2nd** — **lay down your right to all things, as far as others will too**. In the state of nature these bind *in foro interno* (in conscience) but not *in foro externo* (in act) — no one dares go first.

■ ★ The social contract (Hobbes's "*covenant*") — how you escape the state of nature

Core: the way out of the war is a **social contract** — Hobbes calls it a **covenant**: you **can't make law by agreement** (who'd go first? who'd enforce it?), so instead everyone **agrees to authorise a law-giver**. Every person covenants with every other to hand their Right of Nature to one **Sovereign** and back whatever he does.

- **What the social contract actually is (plain terms):** each individual, *of their own free will*, says to all the others: "**I give up my right of governing myself to this man (or assembly), on condition that you do the same.**" Hobbes's own words: "*I authorise and give up my right of governing myself to this man, or to this assembly of men, on this condition, that thou give up thy right to him, and authorise all his actions in like manner.*" In one stroke a **multitude of separate wills becomes one will** — the **sovereign's** — and each person has **traded a slice of freedom for security**. The contract is **horizontal** (among equals) and **voluntary**.
- **Hobbes turns social-contract theory on its head (Popp-Madsen).** *Before* Hobbes, the social contract was used to **limit** rulers (the ruler may only do what the contract permits → grounds for resistance). Hobbes uses the *same* device to do the **opposite** — to justify the **unlimited** power of the

sovereign and the political *passivity* of subjects. To **break** the contract is therefore **unjust and illegitimate**.

- **The key twist:** the covenant is of every man with every man — NOT with the sovereign. The sovereign is the **beneficiary, not a contracting party**, so *he makes no promise and can never "breach" the contract*. Everyone makes the leap into civil society **except the sovereign, who stays in the state of nature**.
- **Authorisation / representation:** the people authorise everything the sovereign does → "*what my agent does, I do... his will is my will.*" A people has a will **only through its representative** (the sovereign).
- **Institution vs Acquisition:** by **covenant** (the paradigm case) or by **conquest** (the ordinary historical case) — same result, because **fear doesn't invalidate a contract** ("all contracts are made through fear"; the man on a sinking ship "very willingly" throws his goods overboard).

■ The Sovereign / Leviathan — absolute, undivided, a "mortal god"

Core: the commonwealth is **Leviathan**, an "artificial man" / "mortal god"; because the sovereign is authorised by all, his power must be **absolute and undivided**.



How to read it (the *Leviathan* frontispiece, 1651). This one picture is Hobbes's argument. The **giant sovereign** is literally **made of the multitude** — hundreds of individuals whose authorisation composes his body (the "artificial man"). He towers **over the land** (he holds the peace of the whole commonwealth), and he grips **both swords of power at once: a sword** (civil/temporal authority, left) **and a bishop's crosier** (religious/spiritual authority, right) — Hobbes's point that sovereignty must be **undivided**, ruling church *and* state. The Latin banner (Job 41) reads "*there is no power on earth to compare with him.*" The panels below mirror the two powers — civil (castle, crown, cannon) vs ecclesiastical (church, mitre, thunderbolts of excommunication).

- **Sovereignty is an office of the state, not the ruler's personal privilege (Popp-Madsen).** Hobbes describes the **rights of the office of sovereignty (i.e. the state)**, not the "advices" a particular ruler should follow. *In plain terms:* he's defining what **the position of Sovereign** may do — whoever fills it — not giving one king personal tips. This is why he says he founds **modern political thought**, and why the deck asks: "**Is Hobbes the first liberal?**" — his absolute state is built from **individuals' voluntary choices**, and the powers belong to the **institution**, not the person.
- **Iniquity vs injury** (crucial): the sovereign, being a man, *can* act wickedly (**iniquity**) — but he can never do a subject an **injury** (an *unlawful* act), because he makes the law and the subject authorised him → "the supposed injury is something I have done to myself."

The attributes of sovereignty. McClelland lists **eleven** (the deck highlights the starred ★ ones) — all *deduced* from the covenant, and all belonging to the **office**, not the person. They are more absolutist than "even the most absolute of contemporary kings" claimed:

#	Attribute	What it means
1	Repudiates all prior covenants	The founding contract cancels every earlier deal — <i>including any "covenant with God"</i> (no religious limit on the sovereign).
2	★ Cannot forfeit sovereignty	The sovereign can never lose his authority — true by the definition of the contract.
3	Majority binds; may compel dissenters	A majority suffices; anyone who refuses stays in the <u>state of nature</u> , where the sovereign may compel — or kill — them.
4	★ Cannot be judged / do an "injury"	Being authorised by all, he can't act <i>unlawfully</i> toward a subject (iniquity ≠ injury); he cannot be judged .
5	★ Cannot justly be put to death by subjects	To execute him would be to punish them for their own act.
6	★ Censorship of opinion	He controls what may be taught/said for peace — and even fixes the meaning of "just" and "unjust."
7	★ Decides religion & forms of worship	He settles public worship (vital when people "were prepared to kill each other" over salvation).
8	★ Ultimate judge — all courts are his courts	One uniform justice; rival courts breed the insecurity men fled.
9	★ War-and-peace power	"The sword of justice is also the sword of war" — the <i>ultima ratio regis</i> ; the heart of sovereignty.
10	Chooses & dismisses his ministers	He may seek advice, but no one has a right to advise him.
11	★ Grants (and revokes) nobility	"Aristocracy is the sovereign's creation."

- **Plus the umbrella rule (deck):** *every* action must be done **in the name of the sovereign** (authorisation) — and these are **attributes of a political office, not advice to an individual ruler**.
- **The only right you keep = self-preservation:** "no man is obliged to walk unbound to the scaffold." Otherwise a rational man sheds his Right of Nature entirely.

Why absolutism — anything less collapses into war

Core: you can't limit the sovereign by contract, and you can't set up a judge over him without an infinite regress ("why stop at three?") that ends in "the state of nature by another name."

- Stark disjunction: "*Either you choose to live under a Sovereign or you don't*" — divided/limited sovereignty just breeds rival sovereigns → **civil war**.
- **The real (non-legal) limit — the efficiency constraint:** the sovereign's *powers* are unlimited but his *power* (capacity to enforce) is not. Order holds **only while subjects fear the sovereign more than they fear each other**; when that reverses, "the rebellion has already happened internally."
- **International anarchy:** "*covenants without the sword are but breath*" — with no super-sovereign over states, there's no peace between them (McClelland: why the League of Nations/UN are "bound to

fail"). (This is exactly the gap Grotius tries to fill.)

- (Aside — the **political-obligation controversy**: does Hobbes give only **prudential** reasons to obey, or a real **moral** duty? If the Laws of Nature are genuinely **God's commands**, obligation is moral; if "mere dictates of prudence," you obey only when watched.)

Cases & examples

- **English Civil War (1642–51)**: each attribute of sovereignty maps onto a live dispute — control of the **army/militia** (the 1642 trigger), **religion**, the **Common Law** "ancient constitution," the sale of honours. *Leviathan* was double-edged: usable by Charles I, Cromwell, and Charles II.
- **The Norman Conquest**: Hobbes implies William was "a true Sovereign by the free consent of the defeated English" at Hastings — demolishing the Whig "Norman Yoke" story (sovereignty by acquisition).
- **Grimmelshausen's *Simplicissimus* / the Thirty Years War** — the real-world picture of the state of nature (many sovereigns fighting for mastery).

Key terms

Term	Meaning
State of nature	Life without government → "war of all against all"
Right of Nature	<i>Permission</i> : unlimited liberty to preserve yourself
Law of Nature	<i>Command</i> of reason; 1st = seek peace
Social covenant	Every man with every man authorises a sovereign
Sovereign as beneficiary not party	Why the sovereign can't "breach" the contract
Leviathan / "mortal god"	The commonwealth as an artificial person
Authorisation	"What my agent does, I do" — a people wills only via its sovereign
Iniquity vs injury	Wickedness (possible) vs an <i>unlawful</i> act (impossible to a subject)
Institution vs acquisition	Sovereignty by covenant vs by conquest
Efficiency constraint	Order lasts only while subjects fear the sovereign most

Exam pointers

- Run **Hobbes's chain** cold: state of nature → right vs law of nature → **the covenant of every man with every man** → absolute sovereign.
- Nail *why* the sovereign is **beneficiary, not party**, and what follows (no breach, no right of resistance beyond self-preservation).
- Explain the iniquity vs injury distinction and the **regress argument** for why sovereignty can't be divided.

- Be able to reel off the attributes of sovereignty (censorship, religion, ultimate judge, war, nobility, can't-be-judged...) — and stress they are powers of the **office/state**, not the person.
- Use "*covenants without the sword are but breath*" to link Hobbes to the **international** problem Grotius addresses.

Grotius — Natural Law and the World System of States

Chapter résumé

Hugo Grotius (1583–1645), Dutch jurist, aimed to "*formulate a set of universal rights and duties that would secure peace by constraining states in their internal and external relations.*" Amid the confessional chaos of the Thirty Years War he **rehabilitated natural law** on a **minimal, universal** basis everyone could accept, and applied it to the relations *between* sovereigns — earning him the title "**father of modern international law.**" His key move: natural law's obligatory force holds "**even if God did not exist**" (*etsi Deus non daretur*); from human **natural rights** (self-preservation, and the derived rights of **property** and **punishment**) he builds an order of sovereign states bound by a **law of nations** and a theory of **just war**. Unlike Hobbes, Grotius holds humans are **naturally sociable**.

★ **The heart:** there is a **universal natural law** — knowable by reason, binding even "if God did not exist" — that gives individuals **natural rights** (self-preservation → property → punishment) and applies **equally to states**. That's the foundation of the **world system of states**: free seas, property from occupation, and a **just-war** order in which even war is subject to law.

The red thread. Grotius scales **one idea** — **universal natural law/rights** — **up from individuals to states**. For each topic ask: *what does natural law permit or require here, and how does that constrain sovereigns?* Keep contrasting with **Hobbes**: same self-preservation start, but Grotius's humans are **sociable**, his natural law is genuinely **obligatory**, and his sovereign *can* be bound.

Key concepts / "modes" to use

- Natural law — universal, immutable principles; known **a priori** (right reason) & **a posteriori** (agreement of nations); source = God, content = human nature.
- **The "impious hypothesis"** (*etsi Deus non daretur*) — natural law binds *even if God did not exist*.
- **Natural rights** (subjective — a *power* one "has"): self-defence & self-preservation → **property** & **punishment**.
- Mare Liberum — the free sea as a **state of nature** (grounds free navigation & trade).
- Appetitus societatis — humans are **naturally sociable** (vs Hobbes).
- The world system of states + just war (four just causes) + the right to punish.

Section-by-section main points

Natural law — secularised and universal

Core: natural law = **universal, unchanging moral principles**, the same for everyone everywhere, that we work out by **reason** — a *minimal* moral basis everyone could accept *despite* Europe's ferocious religious splits.

- *In plain terms:* Grotius wanted a set of moral rules so basic that **Catholics, Protestants and non-Christians could all agree on them**, so they could settle disputes without first agreeing about God. That's the whole point of grounding law in **reason + human nature** rather than in one church's doctrine.
- **How we know its content — two routes: a priori** (by **right reason**, deduced from our rational and social nature) *and* **a posteriori** (by looking at the rules "to which all civilised nations subject" — because "*a universal effect requires a universal cause*").
- **Dual foundation — reason and God, each standing alone:** its **content** comes from human nature; its **obligatory force** rests on *both* right reason *and* God, "each independently able to carry the weight." Grotius explicitly loosens the medieval tie — natural law is **not** simply part of God's "eternal law" (contrast **Suárez**, who put the Ten Commandments inside natural law).
- *(Background debate he sidesteps — **voluntarism vs intellectualism**: is a thing good *because God wills it* (voluntarism) or does *God will it because it is good* (intellectualism)? Finnis reads Grotius as **mediating**: the **content** of natural law can be worked out on its own, but its **binding force** still comes from the divine will.)

★ The "impious hypothesis" — *etsi Deus non daretur*

Core: the famous line — natural law "*would take place, though we should even grant... that there is no God.*" Its obligatory force seems **independent of God's existence**.

- *In plain terms:* Grotius runs a **thought-experiment** — "*pretend*, just for argument, that there's no God: the basic moral rules would **still** hold." The point isn't to deny God; it's to show the rules are **so solid that people who disagree about religion can still all accept them**. That's how you get a law everyone in a war-torn, multi-faith Europe can share.
- **The qualification (don't miss it):** the *very next sentence* names God as Creator "to be obeyed in all things" — so it's **not atheism** (his translator Barbeyrac was "so perturbed" he added a footnote insisting on God). **Haakonssen/Boisen:** it's a **deliberately vague device** to lift natural law *above* confessional quarrels, not a metaphysical denial. **Source of the law = God; contents = human nature.** (*This is the move that starts to secularise natural law — hugely influential.*)

Natural rights — the *sum*, and rights as a power

Core: rights are **derived from facts about human nature** (chiefly sociability); a **subjective right** is "*something the individual possesses*" — a **power (*potestas*) over oneself** (liberty) or a claim over others/things. Grotius is "the first to give a systematic account of **subjective** natural rights."

- *In plain terms — the big shift:* the old idea of "right" meant "**the right thing to do**" (an objective rule out there). Grotius flips it to a right as **something you have** — a personal power/possession you can point to and claim ("*this is mine, my liberty, my property*"). That "**rights as possessions**" idea is the seed of the whole modern language of individual rights. Grotius's own words: a right is "*a moral Quality annexed to the Person, enabling him to have, or do, something justly.*"

- Man is by nature **free and *sui iuris*** (= *his own master, subject to no one*); the starting point is the ***suum*** ("one's own" — your life, body, liberty, possessions). **Two primary rights:** self-defence & self-preservation → **two secondary claim-rights: property and punishment** (these are the **four rights that can justify war**).
- **Rights are limited by a duty** not to injure others: "*the very nature of injustice consists in nothing else but the violation of another's rights.*" (He separates **justice = respecting others' rights** — what law can enforce — from **higher virtues** like generosity/mercy, which it can't; the state secures the first, not the second.)

■ The Free Sea (*Mare Liberum*) — the sea as a state of nature

Core: the sea can't be owned — it's "by nature open to all"; the high seas function like a state of nature, grounding a natural right to **free navigation and trade**. (*Mare liberum* = "free sea," against *mare clausum* = "closed sea.")

- **In plain terms:** the sea is different from land. **Land** you can physically **occupy** and fence off, so (by agreement) it can become private property. **The sea can't be occupied or fenced** — so it stays **everyone's**, and no state may shut others out of it. Hence **freedom of navigation and trade for all**.
- **Why it was written — the Santa Catarina / VOC:** a defence of the Dutch **breaking Portugal's monopoly** in the East Indies → a natural-law argument for **free international trade** (Grotius: undisturbed **commerce** is "part of the very fabric of humankind").
- **He demolishes Portugal's three claimed rights — possession, navigation, trade:**
 - **Possession:** distinguishes **occupation from discovery** — "*first sighting is not a claim to title.*" You can only claim what was **nobody's (*res nullius*)** before; but the East Indies **weren't** nobody's — **native rulers already possessed their lands** (echoing **Vitoria**: the Spanish "got no more authority over the Indians... than the Indians would have over the Spaniards" had they sailed to Spain). Nor could a **papal grant** (Alexander VI's 1493 bulls) give title — the pope has no temporal authority over non-Christians.
 - **Navigation & trade:** "*God gave all things not to this man or that but to mankind*"; "**no man hath the power to grant a privilege against mankind.**" So the sea stays common and trade can't be lawfully blocked.
- **vs Hobbes:** Grotius uses the state of nature **not to explain political authority** (as Hobbes does), but as a *device* to model the **norms of the high seas** — same concept, different job.

■ Property — occupation vs *dominium*

Core: we have a God-given **common use-right** (occupation) by nature; **private property (*dominium*)** is a **human convention** requiring agreement and law.

- "*God gave all things not to this man or that man, but to mankind.*" Property is "an invention of societies." The question isn't *how to justify* private property (Locke's later question) but *the conditions under which it's permissible* — with a **right of necessity** (in extreme hardship you may access another's property) that puts **natural rights above civil rights**.

| Sociability — *appetitus societatis* (the anti-Hobbes)

Core: humans have a natural desire for society (*appetitus societatis*) — an inclination to live peaceably with their own kind. This is Grotius's fundamental break from Hobbes.

- *In plain terms:* where **Hobbes** starts from people who are basically **dangerous to each other** (→ you need an all-powerful sovereign to keep the peace), **Grotius** starts from people who **naturally want to live together** peaceably (the Stoic *oikeiōsis*). So Grotius flatly rejects the line that "every creature only seeks its own private advantage." Same starting concern (self-preservation), **opposite view of human nature** → a much less absolutist politics.
- **Sociability is "thin," on purpose.** Because man is sociable, **keeping social order is fundamental to law** — but critics (Haakonssen, Harvey) call it a "**meagre**," **leave-others-alone** sociability: essentially *leave others to the enjoyment of their suum as long as they leave you to yours*. That thinness is deliberate — a **minimalist** account that avoids taking sides on *what the good life is* (again, to sidestep religious quarrels). We're also pushed together by **need** ("our lack of things").
- **Politics is built by voluntary agreement** — natural jurisdiction lies with the **individual**, "not a king or a pope." **Troubling corollary:** because you own your liberty, Grotius says you may **contract it away** — even into **slavery/servitude** (to escape death, debt or conquest). This let **Rousseau** brand him "an **apologist for absolutism**"; and Grotius allows only a **narrow right of resistance** — reserved for when the sovereign **breaks the founding contract**.

| ★ The world system of states — just war & the right to punish

Core: universal natural law applies **equally to states**; a **law of nations** with authority to arbitrate wars makes an ordered **society of states** — and even war is subject to law.

- *In plain terms:* Grotius's big claim against Hobbes — the space *between* states **need not be lawless**. Law rests on **human rationality**, not on a sovereign's will, so **the same natural law that binds individuals binds states too**, even though there's no world government to enforce it. That's the birth of **international law**.
- ***The Rights of War and Peace* (1625):** subject international relations, incl. war, to the rule of law. War is "*an instrument of right... undertaken for the sake of peace*": **just = the execution of a right; unjust = the execution of an injury**. "*Where the methods of justice cease, war begins.*"
- **Four just causes of war (*jus ad bellum*):** ① **self-defence** · ② **self-preservation** · ③ **recovery of property / a debt** · ④ **punishment**. (*A state has a right but only an "imperfect duty" to punish — it may act, but isn't obliged to.*)
- **Restraint in war (*jus in bello*):** a **middle ground (*temperamenta*)** between **Erasmus's pacifism** (which "bends the crooked stick too far the other way") and **unlimited war** — "just wars are those wherein rules are observed."
- **The right to punish** (central to international order): derived from natural law (not mere revenge). Against **Vitoria** (who said conquistadors *couldn't* punish the American Indians for want of jurisdiction), Grotius argues "*war may be waged against those who sin against nature*," since nature "*has jurisdiction over the whole of mankind*." But he **warns against using punitive war as a pretext** ("civilising barbarous peoples"), and punishment must be **forward-looking/deterrent**, not vengeful (Plato: "no wise man punishes because an offence was committed, but that it may not be committed again").

★ **Worked example — Grotius's just war today: UN Article 51 & Putin's Ukraine war (from the deck).** Grotius's categories are *still the language of modern international law*. **UN Charter Article 51** guarantees "the inherent right of individual or collective **self-defence** if an armed attack occurs" — Grotius's just-cause ① in treaty form. Lawyers add two Grotian-style limits for **anticipatory** self-defence: **necessity** (the threat is imminent, no peaceful option) and **proportionality** (response fits the threat). **Putin (24 Feb 2022)** framed the invasion of Ukraine *precisely in this vocabulary*: he claimed "we have been left with **no other way to defend Russia**," invoked "**Article 51 of the UN Charter**," said the Donbas "People's Republics" had **appealed for help** (collective self-defence), and cast the war as **punishment** ("prosecution of those who committed crimes," "de-Nazification"). → *This is exactly the danger Grotius flagged: the just causes (**self-defence** and **punishment**) are the ones most easily turned into a **pretext**. Grotius gives you both the framework and the warning.*

Legacy

Core: "father of international law" (a title cemented by the 20th-c. jurist **Lauterpacht**; the term "international law" itself was coined by **Bentham**), and a pillar of the **social-contract tradition**.

- Influenced **Hobbes** (Tuck: Hobbes's philosophy is "a Grotian theory"), **Locke** (the natural right to **punish**), **Pufendorf**. *Contested legacy*: his **occupation/dominium** and **punishment** doctrines were later "invoked to rationalise European **empire**" — "empire is an inescapable feature of early-modern political thought."

Key terms

Term	Meaning
Natural law	Universal immutable principles; source = God, content = human nature
Impious hypothesis (<i>etsi Deus non daretur</i>)	Natural law binds "even if God did not exist"
Natural (subjective) right	A <i>power/potestas</i> one "possesses" over oneself or a claim on others
<i>Suum / sui iuris</i>	What is one's own / subject to no one (natural liberty)
<i>Mare Liberum</i>	The free sea — common to all, a "state of nature"
Occupation vs <i>dominium</i>	Common use-right (natural) vs private property (conventional)
<i>Appetitus societatis</i>	The natural human desire for society (vs Hobbes)
Just war (<i>jus ad bellum</i>)	4 just causes: self-defence, self-preservation, recovery/debt, punishment
Right to punish	Derived from natural law; enforces order among individuals & states
Law of nations / society of states	Universal natural law applied to sovereign states

Exam pointers

- Explain the impious hypothesis precisely (natural law "even if God did not exist") — and the qualification (not atheism; a universality device).
- Trace the **rights chain**: *suum* → self-preservation → **property** (occupation vs *dominium*) → punishment.
- Use Mare Liberum as the worked example (sea as state of nature → free trade).
- State the four just causes of war + the right to punish + Grotius's **restraint** (vs Vitoria; vs Erasmus).

★ Hobbes vs Grotius — the module's payoff

Core: both are pillars of **social-contract** theory and both start from **self-preservation** — but they split on **human nature**, and that split drives everything.

	Hobbes	Grotius
Human nature	Naturally in conflict → "war of all against all"	Naturally sociable (<u><i>appetitus societatis</i></u>)
<u>Natural law</u>	Reduced to self-security — the way <i>out</i> of the <u>state of nature</u>	Genuinely obligatory ; universal (binds "even if God did not exist")
<u>State of nature — used for</u>	To explain the origin of political authority	Not authority <i>per se</i> — a device (e.g. the free seas / justifying a war)
The sovereign & the contract	Sovereign is not a party → no breach, (almost) no right of resistance	Sovereign can be a party → a narrow right of resistance in extreme tyranny
Main worry	Domestic order (avoiding civil war)	International order (a law-governed society of states)
Legacy	Absolutism; the "science of the state"	International law; natural rights; (contested) empire

Where they meet: Grotius's line that there's no order without enforcement echoes Hobbes's "*covenants without the sword are but breath*" — but Grotius thinks natural law + sociability can bind sovereigns **without** a world-Leviathan, which is exactly what Hobbes denies.

★ Fun facts & memorable details

Sticky bits from Module 2 (Hobbes & Grotius).

Hobbes

- Life in the state of nature is "**solitary, poore, nasty, brutish, and short.**"

- The commonwealth is a "**mortal god**."
- "**Covenants without the sword are but breath**" — Hobbes's one-line theory of international anarchy.
- "**Hobbes and Fear were born twins**" — born prematurely in **1588**, his mother's labour supposedly brought on by news of the **Spanish Armada**. Yet he was reportedly cheerful and **died at 91**; Charles II gave him a pension and enjoyed watching wits bait "**the Bear**."
- He **discovered Euclid by accident** in a gentleman's library — and built *Leviathan* like a geometry.

Grotius

- The **impious hypothesis**: natural law would hold "*though we should even grant... that there is no God*."
- **Child prodigy**: at the University of **Leiden** aged **11**; a law degree at ~16; Henry IV called him "*the miracle of Holland*."
- The **book-chest escape**: sentenced to life in prison, he **escaped in 1621 hidden in a chest of books**.
- The **VOC** hired him to justify seizing the Portuguese carrack *Santa Catarina* — a prize worth ~**3 million guilders** (≈ the entire annual revenue of the English government that year).
- "**International law**" as a term was coined by **Bentham**; Grotius's "father of international law" title was cemented by the 20th-c. jurist **Lauterpacht**.
- He **died in 1645 after surviving a shipwreck** on the way home from serving Queen Christina of Sweden.

Exercise Class 1: The Pros and Cons of a Central Political Authority

Readings: Cicero, *De Re Publica / On the Commonwealth* (54–51 BC), **Book 1** (extract) · Hobbes, *Leviathan* (1651), **Part 2 "Of Commonwealth," chs 17–20** (pp. 111–132) *Supplementary (in the class folder)*: Machiavelli, *The Prince* (1513), **chs 9 & 19**.

Purpose of the exercise class (lecturer's note). Exercise classes dive into the **primary sources** and discuss the thinkers' own arguments. This first one weighs a single question from two opposite directions: **is a strong central authority the solution to disorder, or the threat to freedom?** Cicero and Hobbes give the two classic answers — **balance power** vs **concentrate power** — and they let us practise every discussion question the lecturer set (purpose of government, good government, stability, war, the social contract, legitimising dictatorship, and the *method* differences between the ancients and the moderns).

★ The heart of the class — one question, two opposite answers:

- **Cicero (the ancient answer)**: a central authority is *necessary but dangerous* — every **simple** form of rule (one/few/many) decays into its corrupt twin, so the cure is to **divide and balance** power in a **mixed constitution** (the Roman model). Authority is legitimate only when it serves the **common good** and rests on **justice + shared rights**.
- **Hobbes (the modern answer)**: a central authority must be *absolute and undivided* — divide it and

you slide back into the **war of all against all**. Subjects **covenant** to authorise one **sovereign** who is *not* a party to the deal; "a kingdom divided in itself cannot stand."

- **The clash in one line:** Cicero fears **concentrated** power (→ balance it); Hobbes fears **divided** power (→ unify it). Same problem — order vs tyranny — opposite prescriptions.

The red thread. For every text ask the two exam questions: (1) **What is government *for*?** (the *purpose* / end) and (2) **How should power be *arranged* to serve that end without destroying liberty?** Cicero answers "for the common good, arranged as a *balance*"; Hobbes answers "for peace/security, arranged as *one undivided will*."

Cicero — *De Re Publica* / *On the Commonwealth* (Book 1)

Book: Marcus Tullius Cicero, *De Re Publica* (*On the Commonwealth*), 54–51 BC, **Book 1** (extract, §§ XXV–XLV). Written as a **dialogue**; the main speaker is **Scipio Aemilianus** ("Africanus"), with Laelius, Philus and others.

Reading résumé

Cicero (106–43 BC) writes at the **end of the Roman Republic**, as it slides toward civil war and one-man rule. In the extract, Scipio defines what a **commonwealth** (*res publica*) is, classifies the **three simple forms of government**, shows how each **decays into a corrupt twin**, and argues that the **best constitution is the *mixed* one** — a balance of monarchy, aristocracy and democracy, i.e. the Roman Republic itself. The text is the **Roman upgrade of Aristotle/Polybius**: it keeps the ancient "in whose interest?" test but adds a **theory of constitutional cycles** and a strong plea for **balance, stability, and equal rights under law**.

★ **The heart of the reading:** a commonwealth is the *people's property* (*res publica* = "the public thing"), held together by **justice and shared interest**. Each of the three **pure** forms is tolerable but **unstable** — it has a "slippery slope" into its corrupt version, and power cycles endlessly (king → tyrant → aristocracy → oligarchy → democracy → mob → tyrant...). The only **stable, lasting** form is the **mixed constitution** that blends all three so no part can capture the state.

The red thread. Cicero's whole case is a **stability argument**: pure forms *swing*, the mixed form *holds*. Read every part as answering "*which arrangement of authority lasts without turning into tyranny?*"

Key concepts / "modes" to use

- ***Res publica*** — the commonwealth as the "**property of the people**" (*res populi*); a people = not any crowd but a multitude **united by agreement on justice and common interest**.
- **The three simple constitutions** — **monarchy** (rule of one), **aristocracy** (rule of the best few), **democracy** (rule of the many) — each *tolerable* if it serves the common good.
- **Their corrupt twins** — **tyranny** · **oligarchy (faction)** · **mob-rule (mob/"license")** — the "slippery slope" of each pure form.

- **Anacyclosis** — the **cycle/revolution of constitutions** (Polybius' idea): forms decay and succeed one another in a loop.
- The **mixed constitution** (*constitutio mixta*) — a balanced blend of all three → **stability + equality + liberty**; Cicero's answer, modelled on Rome.
- **Liberty, equality of rights, and law** — "a republic is an association of rights"; law is "the bond of civil society."

Section-by-section main points

| What is a commonwealth? — *res publica* as the people's property

Core: a commonwealth is **not just any group of people** — it is a multitude "**bound together by the compact of justice and the communication of utility**." Take away shared justice/interest and it stops being a commonwealth at all.

- **Origin of the state:** *not* mainly human **weakness** (contrast the later Hobbesian fear-story) but a natural "**spirit of congregation**" — humans are naturally social and "seek society" even when they don't strictly need help. (*In plain terms: we band together because it is our nature, not only because we're scared.*)
- **Every association needs an authority to last:** "every commonwealth... must be regulated by a certain **authority**, in order to be permanent." That authority can sit in **one** (→ *kingdom*), **a few** (→ *aristocracy*), or **all** (→ *democracy*).
- **The legitimacy test (from Aristotle):** as long as the "**tie of social affection**" (the bond of common interest) holds, each of the three forms is "**tolerable**" — none is perfect, but one may be accidentally better than another.

| The three simple forms — each tolerable, each flawed

Core: Cicero grades the three pure forms and finds each has a **built-in defect** even at its best.

- **Monarchy:** the other citizens are **shut out of public counsel and law** (too little participation).
- **Aristocracy:** the **multitude has too little liberty** — no share in deliberation or power.
- **Democracy:** even "just and moderate" democracy has a defect — its "**equality is itself inequitable**," because it **recognises no gradations of rank/merit** (levelling).
- **The examples he pairs (good vs corrupt):** the wise **King Cyrus** vs the monstrous tyrant **Phalaris**; the well-governed aristocracy of **Marseilles (Massilia)** vs the **Thirty Tyrants** of Athens; a moderate democracy vs the **mob** that "ruined" Athens once it abolished the Areopagus.

| The cycle of constitutions (*anacyclosis*) — why pure forms don't last

Core: each pure form has "**a precipitous and slippery passage down to some proximate abuse**" — so constitutions **revolve** in a cycle, and no simple form is held for long.

- **The slippery slope of each form:** monarchy → **tyranny**; aristocracy → **oligarchy/faction**; democracy → **mob-rule/license**.
- **The loop (Cicero, echoing Plato & Polybius):** "*power is like the ball which is flung from hand to hand: it passes from kings to tyrants, from tyrants to the aristocracy, from them to democracy, and from these back again to*

tyrants and to factions." → the same kind of government "is seldom long maintained."

- **The danger he dwells on — excessive liberty breeds tyranny.** He quotes **Plato** at length: when the people drink "not... tempered liberty, but unmitigated **license**," authority collapses everywhere (fathers fear sons, teachers flatter pupils, even "dogs, horses and asses" run wild) — and *out of this extreme liberty springs the harshest slavery: tyranny*. "**Excessive liberty... soon brings the people... to an excessive servitude.**" (This is the exact worry Hobbes will weaponise for absolutism.)

★ The mixed constitution — Cicero's answer

Core: the **best** constitution is a **fourth kind** — a **mixed and balanced** blend of monarchy, aristocracy and democracy, "*composed of the three particular forms.*" It is best because it is **stable**: no single part can decay into its corrupt twin without being checked by the others.

- **The design:** "*I wish to establish in a commonwealth a **royal and pre-eminent chief** [monarchic element]. Another portion of power should be deposited in the hands of the **aristocracy** [the Senate], and certain things should be reserved to the **judgment and wish of the multitude** [the assemblies].*" → this is the **Roman Republic** (consuls + Senate + tribunes/assemblies).
- **Two virtues it delivers:** ① **great equality** ("without which men cannot long maintain their freedom") and ② **great stability** — "the particular separate and isolated forms easily fall into their contraries" (king→despot, aristocracy→faction, democracy→mob), but the mixed form can only be overturned by "the greatest vices in public men."
- **Cicero's second-best:** if forced to pick a **single** pure form, he prefers **monarchy** ("the royal one") — the king is like a **father** watching over citizens "as over his children." But even the best monarchy "presents an inherent and invincible tendency to revolution," so the **mixed** constitution still wins.
- **The three appeals (why each form is attractive):** "*the kings attract us by affection, the nobles by talent, the people by liberty.*" The mixed constitution captures **all three** at once.

Liberty, equal rights, and law

Core: a genuine commonwealth requires **liberty**, and liberty requires a rough **equality of legal rights** — "a republic is an association of rights."

- **Liberty:** "in no other constitution than that in which the people exercise sovereign power has **liberty** any sure abode" — but Cicero means *ordered* liberty within law, not license.
- **Equality of rights, not of fortune:** he concedes fortunes and talents can't be made equal, "**but rights, at least, should be equal among those who are citizens of the same republic.**"
- **Law as the bond:** "*since the law is the bond of civil society, and the justice of the law equal, by what rule can the association of citizens be held together, if the condition of the citizens be not equal?*" → law + equal rights = the glue of the res publica.

Cases & examples

Read each as a worked case of the "good form vs its corrupt twin" test (and, for the cycle, as a station on the loop).

- **Cyrus vs Phalaris.** The Persian king **Cyrus** is Cicero's model of the *just, wise* monarch; **Phalaris** of Akragas (who roasted victims in a bronze bull) is the model tyrant. → *Illustrates: monarchy's "slippery slope"* — the very same one-man power that is best under Cyrus becomes worst under Phalaris.

- **Marseilles (Massilia) vs the Thirty Tyrants.** **Marseilles**, a Greek colony and Roman client, was governed justly by "elected magistrates of the highest rank" — Cicero's model *good* aristocracy; Athens' **Thirty Tyrants** (404 BC) are the corrupt **oligarchy/faction**. → *Illustrates: aristocracy vs oligarchy — rule of the best few vs rule of a self-serving clique.*
- **Athens' democracy → mob.** When Athens "demolished their **Areopagus**" and ran everything by direct decree, the state "was no longer able to retain its original fair appearance"; unchecked license "inflamed the fury of the multitude." → *Illustrates: democracy's decay into mob-rule/license — the step Plato says ends in tyranny (Pisistratus, the popular "protector" who becomes a tyrant).*
- **Rome (the Republic) — the mixed constitution in the flesh.** Consuls (monarchic), Senate (aristocratic), tribunes/assemblies (democratic). → *Illustrates: Cicero's whole thesis — Rome's balance is why it lasted where pure Greek forms swung and fell.*

Key terms

Term	Meaning
<i>Res publica</i>	The commonwealth — the " property of the people " (<i>res populi</i>); a people united by justice + common interest
Mixed constitution	A balanced blend of monarchy + aristocracy + democracy → stability, equality, liberty (the Roman model)
<i>Anacyclosis</i>	The cycle/revolution of constitutions — each decays into its corrupt twin, in a repeating loop
Tyranny / oligarchy / mob-rule	The corrupt twins of monarchy / aristocracy / democracy
Equality of rights	Fortunes/talents can't be equalised, but legal rights must be — "a republic is an association of rights"
License vs liberty	<i>Ordered</i> liberty under law, vs unrestrained "license" that breeds servitude/tyranny

Exam pointers

- Define *res publica* precisely (the *people's* property; a people bound by justice + shared interest) and contrast it with a mere crowd.
- Run the cycle of constitutions end-to-end (king→tyrant→aristocracy→oligarchy→democracy→mob→tyrant) and explain *why* each form slides.
- State why the mixed constitution is best — the **stability** argument — and map it onto Rome (consuls/Senate/assemblies).
- Use Cicero's liberty-becomes-servitude point as the bridge to **Hobbes** (both fear disorder — but Cicero cures it by *balance*, Hobbes by *concentration*).

Bridge. Cicero is the **mature ancient answer** — he keeps Aristotle's "in whose interest?" test (Module 1) and Polybius' cycle, and lands on the politeia/mixed constitution for the *same* stability reason Aristotle gave. Hobbes will accept Cicero's **diagnosis** (disorder is the enemy) but flip the **prescription** from *balance* to *undivided sovereignty*.

Hobbes — *Leviathan*, Part 2 "Of Commonwealth" (chs 17–20, pp. 111–132)

Book: Thomas Hobbes, *Leviathan* (1651), **Part 2 "Of Commonwealth,"** chapters 17–20 (pp. 111–132 in the set edition). (*The state-of-nature groundwork — chs 13–15 — is covered in Module 2; this extract is the **payoff**: how the commonwealth is generated and what powers the sovereign holds.*)

Reading résumé

This is the **constructive half** of *Leviathan*: having shown (chs 13–15) that the state of nature is a **war of all against all** that even the laws of nature can't fix, Hobbes now **builds the state**. Ch. 17 gives the **cause, generation and definition** of the commonwealth (the covenant that creates the "mortal god"); ch. 18 deduces the **rights of the sovereign** (about a dozen, all **indivisible and inalienable**); ch. 19 argues there are only **three forms** and that **monarchy is best**; ch. 20 shows a commonwealth **by conquest** ("acquisition") has the *same* rights as one by consent.

★ **The heart of the extract:** covenants are "**but words**" without "a common power to keep them all in awe" — so men **authorise one sovereign** and pile *all* their strength on him. Because the sovereign is **not a party** to the covenant, and because a "**kingdom divided in itself cannot stand**," his power must be **absolute, undivided and unaccountable** — anything less is a lapse back into war. The alternative to *Leviathan* is not liberty; it is **civil war**.

The red thread. Every one of the sovereign's rights is *deduced* from a single premise: **the point of the state is peace, and peace requires one undivided power**. For each right ask: "*how would dividing or denying this power let the war back in?*"

Key concepts / "modes" to use

- "Covenants without the sword are **but breath**" — laws/agreements need an **enforcer** or they're worthless.
- **Why men ≠ bees & ants** — six reasons only *humans* need a **coercive** common power.
- **The generation of the commonwealth** — the covenant formula ("*I authorise and give up my right of governing myself...*").
- **Sovereign by institution vs acquisition** — created by mutual **consent** vs by **conquest/fear**; same rights.
- **The rights/marks of sovereignty** — ~12 powers, **indivisible + incommunicable + inalienable**.
- **Iniquity vs injury** — the sovereign may act *wickedly* but can never do a subject a *legal wrong*.
- **Only three forms; monarchy is best** — and mixed/limited "sovereignty" is a contradiction in terms.

Section-by-section main points

Why the laws of nature aren't enough — "covenants without the sword are but breath"

Core: the end (purpose) of the commonwealth is the subjects' own preservation and "a more contented life" — escaping the war that follows from the natural passions when "there is no visible power to keep them in awe."

- The **laws of nature** (justice, equity, mercy, *doing to others as we would be done to*) run **against** our natural passions (pride, revenge, partiality). So on their own they don't bind in practice.
- The killer line: "**covenants, without the sword, are but words, and of no strength to secure a man at all.**" Without an enforcing power, everyone rationally keeps their guard up → back to war.
- **Not enough:** a *small* group, or a *large but leaderless* multitude, or a *union for a limited time* — none gives lasting security. Only a **standing common power** does.

Why men are not like bees and ants — six reasons a coercive power is needed

Core: Aristotle called bees and ants "political creatures" that cooperate **naturally**; Hobbes lists **six reasons humans can't** — so human agreement must be **artificial** (a covenant) and backed by **coercion**.

#	Bees & ants...	...but men
1	don't compete for honour/dignity	men do → envy, hatred, war
2	private good = common good	in men private ≠ common — we relish only what makes us "eminent"
3	see no fault in the common business	many men " think themselves wiser " → strive to reform/innovate → faction
4	can't misrepresent good and evil	men have the " art of words " → can call good evil and evil good, unsettling the peace
5	can't distinguish injury from damage	men are "then most troublesome when... most at ease" — they resent <i>authority</i>
6	agree naturally	men's agreement is " by covenant only, which is artificial " → needs a common power to make it "constant and lasting"

★ The generation & definition of the commonwealth — the covenant

Core: the **only** way to erect a common power is for every man to **hand all his strength and will to one man or assembly**, by a covenant **of every man with every man**.

- The covenant formula (learn it): "*I authorise and give up my right of governing myself, to this man, or to this assembly of men, on this condition, that thou give up thy right to him, and authorise all his actions in like manner.*" This done, the multitude united in one person is a **COMMONWEALTH** — "in Latin *CIVITAS*."
- The definition of the commonwealth: "*One person, of whose acts a great multitude, by mutual covenants one with another, have made themselves every one the author, to the end he may use the*

strength and means of them all, as he shall think expedient, for their peace and common defence."

- **The "mortal god":** this is "the generation of that great **LEVIATHAN**, or rather... that **Mortal God**, to which we owe, under the *Immortal God*, our peace and defence."
- **Sovereign vs subject:** he that carries the person is the **SOVEREIGN** (has *sovereign power*); everyone else is his **SUBJECT**.
- **Two routes to sovereignty:** by **institution** (men *voluntarily* agree among themselves — ch. 18) or by **acquisition** (natural force / conquest — ch. 20). Both produce the *same* sovereign power.

★ The rights of the sovereign — the ~12 "marks," indivisible and inalienable (ch. 18)

Core: from the covenant Hobbes *deduces* the powers of the sovereign. They are **incommunicable and inseparable** — you cannot split them off without dissolving the state. The subject is **author** of everything the sovereign does, which is why the sovereign can never wrong him.

#	Right of the sovereign	Why (deduced from the covenant)
1	Subjects can't change the form of government	They already covenanted to own the sovereign's acts; to depose him is to break faith → injustice; there is " no covenant with God " except through the sovereign (God's "lieutenant").
2	Sovereign power cannot be forfeited	The sovereign made no covenant with the subjects beforehand (he's the beneficiary, not a party), so he can't "breach" it.
3	No one can justly protest the institution	The majority's choice binds all; a dissenter must submit "or else be left in the condition of war he was in before."
4	The sovereign's acts cannot be justly accused by a subject	The subject authorised them, so to complain is to complain "of that whereof he himself is author."
5	The sovereign cannot justly be punished/put to death by subjects	Same reason — to punish him is to punish yourself for your own act.
6	Judge of doctrines & opinions (censorship)	"The actions of men proceed from their opinions" → to keep peace he governs what is taught/published.
7	Legislative power — makes the rules of "propriety"	He defines <i>meum</i> and <i>tuum</i> (mine/yours = property), and what is "good, evil, lawful, unlawful" — the civil laws.
8	Judicial power (right of judicature)	Hears and decides all controversies; without it the laws are "in vain."
9	Right of making war & peace; commands the militia	Judges when war serves the public good, levies forces and money; whoever holds the sword is <i>generalissimo</i> .
10	Appoints all counsellors, ministers, magistrates, officers	He is charged with peace/defence, so he chooses the means.
11	Rewards and punishes (arbitrarily where no law)	To encourage service and deter disservice.
12	Confers honour & order (titles, rank, precedence)	He is "the fountain of honour"; dignities are "his creatures."

- **These rights are *indivisible*.** "A kingdom **divided in itself cannot stand**." Hobbes reads the **English Civil War** as caused *exactly* by dividing sovereignty between "the King, the Lords, and the House of Commons" — split the power and "the people had never been divided and fallen into this civil war." (*This is his living example — divided sovereignty = civil war.*)
- **They are *inalienable*.** Even if the sovereign *seems* to grant a right away, the grant is **void** if it contradicts his retained sovereignty ("all is restored, as inseparably annexed").
- **Iniquity vs injury (crucial).** The sovereign, being a man, *can* do wrong in God's eyes (**iniquity**) — but he can never do a subject an **injury** (a *legal* wrong), because he makes the law and the subject authorised him. *In plain terms: you can call the sovereign wicked, but you can never say he acted **illegally** against you.*

- **The objection & Hobbes's reply (ch. 18 §20).** *Objection:* isn't the subject's condition "very miserable" under such unlimited power? *Reply:* the inconveniences of **any** government are "scarce sensible" compared with "**the miseries and horrible calamities that accompany a civil war,**" or the "dissolute condition of masterless men." "**Sovereign power [is] not so hurtful as the want of it.**" (*The whole absolutist case rests here: the real alternative to Leviathan is not freedom but anarchy.*)

Only three forms — and why monarchy is best (ch. 19)

Core: since the representative must be **one, some, or all**, there are exactly **three** commonwealths — **monarchy, aristocracy, democracy**. "Tyranny," "oligarchy" and "anarchy" are **not other forms** — just the same three "misliked" by those who dislike them.

- **Mixed/limited "sovereignty" is a contradiction.** A "limited" king "is not superior to... them that have the power to limit him," so he is **not sovereign** — the real sovereignty sits with whoever limits him (e.g. Sparta's **Ephori**). This is Hobbes's **direct rebuttal of Cicero's mixed constitution**: to divide sovereignty is to *not have* a sovereign.
- **Why monarchy is best (his comparison):** ① in a monarch the **private interest = the public** ("no king can be rich... whose subjects are poor"); ② a monarch can take **secret counsel** from anyone, an assembly can't; ③ a monarch's resolutions are subject only to the inconstancy of *human nature*, an assembly adds the inconstancy of *numbers*; ④ a monarch **cannot disagree with himself** — an assembly can, to the point of **civil war**; ⑤ the one real inconvenience (a monarch may deprive a subject to enrich a favourite) also afflicts assemblies (whose favourites are many more).
- **Succession & "artificial eternity."** Because the commonwealth is meant to last, the **present sovereign** must control the **succession** ("no perfect form of government, where the disposing of the succession is not in the present sovereign") — by express words, testament, or custom/natural affection. This is the state's "**artificial eternity**."

Commonwealth by acquisition — conquest gives the same rights (ch. 20)

Core: a commonwealth "**by acquisition**" is one where sovereignty is got **by force** (conquest, or a parent's power over children). It differs from a commonwealth by institution **only** in the *motive* — in institution men fear *one another*; in acquisition they fear *the one they submit to*.

- **Fear doesn't invalidate it.** In *both* cases men act "for fear of death," yet the covenant holds — "in both cases they do it for fear." (Recall Module 2: "all contracts are made through fear.")
- **The rights are identical.** The sovereign by acquisition has *all* the same rights (legislator, judge, war/peace, honour, etc.) as the sovereign by institution — "the rights and consequences of sovereignty are the same in both."

Cases & examples

- **The English Civil War (1642–51).** Hobbes's own moment — and his central case for **indivisibility**: the war came, he says, from dividing sovereign powers among **King, Lords, and Commons**. → *Illustrates: "a kingdom divided in itself cannot stand" — divided sovereignty is the road to civil war.*
- **Bees and ants (vs Aristotle).** Aristotle's "political creatures" cooperate by nature; Hobbes uses them as a **foil** — the six differences prove human cooperation must be *artificial* and *coerced*. → *Illustrates: why*

a coercive sovereign is necessary for humans specifically.

- **Sparta's Ephori.** A "limited king" whose army-command was a mere privilege — real sovereignty lay in the **Ephori**. → *Illustrates: there is no such thing as limited/mixed sovereignty; someone always holds the whole.*

Key terms

Term	Meaning
Commonwealth (<i>civitas</i>)	"One person, of whose acts a great multitude... have made themselves every one the author," for peace & common defence
Covenant (generation of the state)	Every man with every man: " <i>I authorise and give up my right of governing myself to this man... on condition thou do the same</i> "
Leviathan / "mortal god"	The commonwealth as an artificial person owing our peace under the Immortal God
Sovereign by institution vs acquisition	Created by mutual consent vs by conquest/force — same rights
Rights/marks of sovereignty	~12 powers, indivisible + incommunicable + inalienable (legislator, judge, war/peace, censorship, honour...)
Iniquity vs injury	The sovereign can act <i>wickedly</i> (iniquity) but never <i>illegally</i> toward a subject (injury)
"Kingdom divided cannot stand"	Divided sovereignty → civil war → indivisibility of sovereign power

Exam pointers

- Reproduce the covenant formula and the definition of the commonwealth exactly, and explain why the sovereign is **not a party** to it.
- List several rights of the sovereign and show each is **deduced** from "peace requires undivided power" — especially indivisibility (civil-war case).
- Explain iniquity vs injury and Hobbes's reply that "**sovereign power is not so hurtful as the want of it.**"
- Show why Hobbes says mixed/limited sovereignty is impossible — the **direct clash with Cicero**.

Bridge. Hobbes is the **modern answer** built on the same social-contract device as Grotius, but pushed to **absolutism** (Module 2). Where Cicero *balances* authority to stop tyranny, Hobbes *unifies* it to stop civil war — the two texts are the exercise class's whole debate.

Machiavelli — *The Prince*, chs 9 & 19 (supplementary — in the class folder)

Flagged for you: the *Prince* excerpt sits in the Exercise Class 1 folder but is **not** on the listed reading line (Cicero + Hobbes). It's directly relevant to the discussion questions on **stability** and **legitimising one-man rule**, and Machiavelli is already the bridge figure in Module 2 and Module 3. Short treatment here — tell me if you want it expanded or dropped.

Core: Machiavelli's question is **not** "what is the best/just constitution?" (Cicero) but "how does a ruler *acquire and keep power*?" — the shift from *legitimacy* to *technique* that both Hobbes and modern political science inherit.

- **The civic principality (ch. 9):** a citizen can become prince by favour of **the people** or **the nobles**. Every city splits into two "humours": the people wish only **not to be oppressed**; the nobles wish **to oppress**. → A prince raised by the **people** is safer (their aim is "more honest," they're too numerous to fight, the worst they do is abandon him); one raised by the **nobles** is surrounded by "equals" he can't command. **Rule: a wise prince keeps the people on his side** — "it is necessary for a prince to possess the friendship of the people; otherwise he has no resource in adversity."
- **Avoiding hatred & contempt (ch. 19):** the prince's overriding aim is to **not be hated or despised** — hatred comes from seizing subjects' **property and women**; contempt from seeming "changeable, frivolous... timid." Keep the **people** satisfied and the **nobles** in check. His model: the **French parlement** — a "third judge" that curbs the nobles and protects the people **without the king taking the blame** ("princes should let unpopular duties devolve on others, and bestow favours themselves").
- **How it feeds the debate:** Machiavelli agrees with **Hobbes** that politics rests on a pessimistic, self-interested view of human nature and on **power, not virtue-talk** — but his prince still depends on **popular support**, a fragile balance closer to Cicero's worry about keeping the parts in equilibrium than to Hobbes's all-authorising covenant.

★ Cicero vs Hobbes — the exercise class's payoff

Core: both fear **disorder** and both want a **stable** state — but they disagree on **human nature** and on **how to arrange authority**, and that split drives opposite prescriptions.

	Cicero (ancient)	Hobbes (modern)
Why do we form a state?	Natural sociability ("spirit of congregation") + common interest	Fear — to escape the "war of all against all"
Purpose of government	The common good ; justice + shared rights	Peace & security (self-preservation)
Human nature	Social, capable of justice (but corruptible)	Self-interested, competitive, dangerous
How to arrange power	Divide & balance it — the <u>mixed constitution</u>	Unify it — one absolute, undivided sovereign
Main fear	Concentrated power → tyranny; and license → mob → tyrant	Divided power → faction → civil war
Legitimacy rests on	Ruling in the common interest under law	The covenant/authorisation of the subjects
Right of resistance	Implied (a tyrant betrays the <u><i>res publica</i></u>)	Almost none — to resist is to wrong yourself
Model	The Roman Republic	The Leviathan / "mortal god"

Where they meet: both accept that **authority must exist** and that **unchecked liberty/license is dangerous** (Cicero's "license breeds servitude" is the seed Hobbes grows into absolutism). They split on the cure: **balance** (Cicero) vs **concentration** (Hobbes).

★ Reading questions — worked answers

Study answers to the **eight discussion questions** the lecturer set for Exercise Class 1. Each: a one-line **Answer**, then the two thinkers' positions.

1 • What is the purpose of government?

Answer: to secure the shared ends men can't secure alone — for **Cicero**, the **common good** (justice, liberty, the *res publica*); for **Hobbes**, **peace and self-preservation** (escape from the war of all against all).

- **Cicero:** government exists to serve the **people's common interest** under **justice and law**; authority that stops serving the common good loses legitimacy. → *res publica*.
- **Hobbes:** the "final cause" of the commonwealth is the subjects' **own preservation and a more contented life** — "getting themselves out from that miserable condition of war." → the end of commonwealth.

2 · What is good government?

Answer: Cicero — the **mixed/balanced constitution** that rules in the common interest and lasts; Hobbes — **undivided sovereignty** (ideally **monarchy**) that keeps the peace.

- **Cicero:** good = **stable + balanced + common-interest**; the mixed constitution (Rome) because pure forms decay. Bad = any form ruling for the rulers, and any form that swings on the cycle.
- **Hobbes:** good = **effective at keeping peace**, which means **undivided**; a divided or "mixed" sovereignty is a contradiction and a recipe for civil war. Best simple form = monarchy.

3 · How can one maintain stability in a government?

Answer: Cicero — by **balancing** the three elements so none decays; Hobbes — by **never dividing** sovereignty and by fixing the **succession**.

- **Cicero:** the mixed constitution is stable because each part checks the others' "slippery slope"; equality of **rights under law** is the social glue. Instability comes from letting one part dominate (or from **license** → mob → tyrant).
- **Hobbes:** stability = **indivisible power** ("a kingdom divided in itself cannot stand," English Civil War) + the sovereign controlling succession (the state's "artificial eternity"). Subjects' obedience must be near-unconditional.

4 · Is war legitimate?

Answer: Cicero — only a **just** war (defensive, for the commonwealth, waged lawfully); Hobbes — between states there is *no* law, so war is the natural condition, and the sovereign alone **judges** when to wage it.

- **Cicero** (the wider *De Officiis* tradition, consistent with *De Re Publica*): war is legitimate only for a **just cause, declared** properly, aimed at **peace** — the Roman "just war" idea. Internally, **civil war/faction** is the great evil the mixed constitution exists to prevent.
- **Hobbes:** in the state of nature (including *between* sovereign states) there is no common power, so no injustice — war is simply the default. Within a commonwealth, the right of war and peace belongs solely to the sovereign, who judges when it serves the public good. (*Contrast Grotius, who insists even the space between states is law-governed.*)

5 · What is a social contract?

Answer: an agreement that **creates political authority** out of a pre-political condition. **Hobbes** gives the classic version; **Cicero** has a *proto-contract* (agreement on justice) but not the modern device.

- **Hobbes:** the **covenant** — every man with every man — to **authorise one sovereign** and own his acts: "*I authorise and give up my right of governing myself...*" The sovereign is the **beneficiary, not a party**, so his power is unlimited. → the covenant.
- **Cicero:** the commonwealth rests on a "**compact of justice and communication of utility**" — a people is *defined* by agreement on justice/interest. This is a **normative bond**, not a Hobbesian power-transfer, and it *limits* rulers rather than empowering them. → res publica.

6 • Legitimising dictatorship / totalitarian rule?

Answer: Hobbes supplies the strongest philosophical case for **absolute** rule (though from *consent*, not for its own sake); Cicero is the classic **warning** against it (concentrated power → tyranny).

- **Hobbes:** the sovereign is **absolute, unaccountable, above the law he makes**; iniquity ≠ injury; resistance is (almost) never just; "**sovereign power is not so hurtful as the want of it.**" *But note:* his absolutism is **built from individuals' voluntary authorisation** and the powers belong to the **office/state**, not the ruler's whim — which is why the deck asks whether Hobbes is also the *first liberal*. → rights of the sovereign.
- **Cicero:** the whole cycle is a warning — even a good king (Cyrus) has an heir who may be a Phalaris; **excessive concentration** (like excessive license) ends in **tyranny**. Legitimacy requires ruling for the **common good under law**.
- **Machiavelli** (supplementary): the *technique* of holding one-man power — keep the **people** on side, avoid **hatred/contempt** — a **realist**, not a moral, legitimisation. → Machiavelli.

7 • The methods of Aristotle & Cicero vs Plato & Hobbes

Answer: Aristotle & Cicero = **empirical, comparative, "what works and lasts"** (observe real constitutions, seek the stable/mixed form). Plato & Hobbes = **deductive/ideal, "from first principles"** (derive the *right* order from a single foundation — the Good, or human nature as geometry).

- **Aristotle & Cicero (empirical/inductive):** classify **actual** constitutions, judge them by **whose interest** they serve, and recommend the **practicable, stable** one (the politeia / mixed constitution). Politics is the study of the *achievable* best, tuned to circumstances.
- **Plato & Hobbes (deductive/idealising):** build from a **single foundation** — Plato from **knowledge of the Good** (the kallipolis), Hobbes from **human nature "like geometry"** (axioms → theorems → the covenant). Both derive **one** right answer (philosopher-kings / the absolute sovereign) rather than surveying what exists. (*This is the Idealism vs empiricism axis from Module 1, now with Hobbes on Plato's methodological side even though his conclusion is worldly.*)

8 • Differences between Theory / Concepts / Ideology

Answer: Theory aims at (relative) **objectivity/explanation** (positive); **ideology** is openly **normative** — a programme for action; **concepts** are the **building-block terms** ("sovereignty," "res publica," "state of nature") that both theory and ideology use.

- **Theory:** a rigorous framework of concepts + logic aiming at some **objectivity** (positive, not strictly value-free). Hobbes *presents* Leviathan as a **science** of politics. → theory vs ideology.
 - **Ideology (Heywood):** a coherent set of ideas grounding **organised political action** — describes the world, pictures a "good society," and says how to get there. Reading Cicero/Hobbes as *justifications* (for the Republic, for absolutism) is reading them ideologically.
 - **Concepts:** the **units of meaning** you argue *with* — res publica, mixed constitution, sovereignty, covenant, iniquity/injury. Both theory and ideology are assembled out of concepts; the exam skill is **defining them precisely** and noticing when a concept smuggles in a norm (e.g. "liberty," "just").
-

★ Fun facts & memorable details

Sticky bits from Exercise Class 1 (Cicero & Hobbes).

Cicero

- ***De Re Publica* was almost lost.** For centuries it survived only in fragments — a big chunk (incl. the famous "**Dream of Scipio**") was recovered in **1819** from a *palimpsest*: a manuscript scraped clean and overwritten with a text of **St Augustine** on the Psalms.
- Cicero's tyrant **Phalaris** roasted his victims inside a **hollow bronze bull** so their screams sounded like the bull "bellowing."
- "**A republic is an association of rights**" (*iuris societas*) — and *res publica* literally = "**the public thing**" / the people's property.
- Cicero was **murdered in 43 BC** in the proscriptions after Caesar's death; Antony had his **head and hands nailed up** on the Rostra in the Forum — the very platform from which he'd delivered his speeches.

Hobbes

- "**Covenants, without the sword, are but words**" — five words that summarise his whole politics.
- "**A kingdom divided in itself cannot stand**" — Hobbes borrows the Gospel line (Matthew 12) to argue for **indivisible sovereignty**, blaming exactly such division for the **English Civil War** he lived through.
- The commonwealth is a "**mortal god**" — the frontispiece giant is literally **made of the tiny bodies of the subjects** who authorise him.
- On the miseries of no-government: "**sovereign power [is] not so hurtful as the want of it**" — the entire absolutist case in one line.

Module 3: The Roots of Modern Economics — Mercantilism to Economic Liberalism (1500–1790)

Readings: Backhouse, *The Penguin History of Economics* (2023), **pp. 53–65** (ch. 3, *The Emergence of the Modern World View* — Mercantilism) and **pp. 106–142** (chs 5–6, the **French Physiocrats** and **Adam Smith**) · article: "**Is Mercantilism Back?**" (M. U. Ghani, *Modern Diplomacy*, 2018).

Two flags on the reading range. (1) The **Physiocrats'** core — **Quesnay** and the *Tableau économique* — sits on **pp. 98–105**, just *before* the assigned p. 106; since "The French Physiocrats" is a named topic, I've pulled that in. (2) The assigned range runs to **p. 142**, which spills into **ch. 7 (Malthus, Bentham, Ricardo)** — *beyond* the module's 1790 endpoint — so those get a brief where-it-leads bridge, not full treatment. Tell me if you'd rather I expand or trim either.

Theme of the module. The 300-year journey of economic thought from the age of nation-states to the eve of the French Revolution — the birth of **economics as a discipline** and the slow shift from "**the state should manage wealth**" to "**leave the market alone.**" Three stations: **Mercantilism** (wealth = treasure; the state builds it up in a zero-sum struggle) → **Physiocracy** (wealth = the *net product of agriculture*; the state should follow *nature* and let trade be free) → **Adam Smith** (wealth = *labour* and the *division of labour*; the invisible hand of self-interest under **natural liberty**).

★ The heart of the module — three answers to "what is wealth, and what should the state do?"

- **Mercantilism:** wealth = **gold & silver (treasure)**, pursued in a **zero-sum** contest between nations; the state engineers a **trade surplus** (tariffs, export promotion, stockpiling bullion).

Economics is *national power*.

- **The Physiocrats (Quesnay):** wealth = the "**net product**" of the land — only **agriculture is "productive"**, trade & manufacturing are "sterile"; the economy is a **circular flow** (the *Tableau économique*); the state should stop meddling — "**laissez-faire, laissez-passer.**"

- **Adam Smith:** wealth = the annual produce of **labour**, multiplied by the **division of labour** (limited by the extent of the market); left to **natural liberty**, self-interested individuals are led "as by an **invisible hand**" to enrich society. The state's job shrinks to **justice, defence, and a few public works.**

The red thread. For each thinker ask the two questions: (1) **Where does a nation's wealth come from?** and (2) **What, therefore, should government do about the economy?** The answers march steadily from **state control toward the free market** — and the closing article asks whether, with Trump-era tariffs, the *first* answer (mercantilism) is **coming back**.

Framing (Backhouse's method — same as Galbraith in Module 1). Economic ideas are **responses to their time**: mercantilist writers answered the money-shortages of new nation-states; the Physiocrats answered the ruin of French agriculture under Louis XIV/XV; Smith answered the debate (opened by **Hobbes** and **Mandeville**) about *what holds a commercial society together* once religion no longer does.

Mercantilism — the economics of the nation-state (Backhouse, pp. 53–65)

Book: Backhouse, *The Penguin History of Economics*, ch. 3 "The Emergence of the Modern World View" (extract pp. 53–65).

Reading résumé

The chapter sets the **16th-century backdrop** to modern economics: the **Scientific Revolution**, the **Reformation**, and above all the **rise of the European nation-state** — a new kind of political unit, chronically **short of money**, that started asking *how to increase the economic power of the nation*. Out of this came **mercantilism**: the loose family of ideas and policies that treat **national wealth (especially bullion)** as the object of state policy in a competitive struggle with other nations. Backhouse stresses mercantilism was **never a single doctrine**, and introduces the era's genuinely new economic thinking —

the quantity theory of money (School of Salamanca, Bodin) and early **price-mechanism** reasoning (Sir Thomas Smith).

★ **The heart of the reading:** the **nation-state** — a defined territory whose king holds a **monopoly of force** but has **meagre revenue** — reorganised economic thinking around **national power**.

"Mercantilism" is the label (coined later, popularised by Adam Smith as a target) for the resulting policies: **build industry, run an export surplus, pile up precious metals**. Backhouse's warning: use the word **sparingly** — it lumps together three centuries and many countries that don't fit one model.

The red thread. Read the chapter as "*what happens to economic thought once the nation-state, not the household or the Church, becomes the unit of analysis?*" Answer: wealth becomes **national**, competitive, and a matter of state policy.

Key concepts / "modes" to use

- The nation-state — defined territory + shared identity + a king with a **monopoly of military** (hence **political**) power; but **meagre tax/administrative capacity**.
- **Mercantilism** — state power used to **build industry, secure an export surplus, accumulate precious metals**; economics centred on the nation as a **competitor**.
- **Bullionism** / balance of trade — treasure = national power (pays armies; may stimulate output); aim = **exports > imports**.
- Quantity theory of money — prices depend on the **quantity of money**; American silver → the "price revolution." (Salamanca; Bodin.)
- The **price mechanism** / **self-interest** — early recognition (Sir Thomas Smith) that **incentives** drive behaviour — a crack in scholastic "just price" thinking.

Section-by-section main points

The rise of the European nation-state

Core: from the **15th century**, power consolidated from a medieval jumble (emperor vs pope vs local princes) into **nation-states** — defined territory, shared identity, a king with a **monopoly of force**. England led (secure island borders); France and Spain followed.

- **The fiscal problem that drives everything:** these states had "**extremely meagre resources**" — they had to raise armies and navies but had weak tax and administrative machinery. Kings were "**chronically short of money**." → so rulers (and writers) began asking **how to increase the nation's economic power**.
- **A changing economic environment:** the Portuguese/Spanish **voyages** opened long-distance maritime trade; **American gold and silver** flooded in and **prices began to rise**; the Church's shrinking role forced the **state** to take on new duties (e.g. Elizabeth I's **Poor Law**, 1597–1601).
- **Two big shifts:** the decline of independent **city-states** (rising **capital** cities — London 50,000 → 575,000, 1500–1700) and the rise of the **North-Sea** economies over the **Mediterranean**.

- (Context also covered: the **Scientific Revolution** — Copernicus → Newton, "the universe governed by mechanical laws, not kept in motion by God" — and the **Reformation**, which broke the single religious authority and created a "**problem of political obligation**" that natural-law thinking, and later Hobbes/Grotius/Locke, would answer.)

What "mercantilism" is (and isn't)

Core: mercantilism = using state power to (a) build up industry, (b) secure a surplus of exports over imports, and (c) accumulate stocks of precious metals — because treasure = national power (it pays armies and can stimulate output).

- **The word is a later label.** "Mercantilism" wasn't used until the **later 18th century** (coined by the **Marquis de Mirabeau**, 1763; popularised by **Adam Smith**, 1776, as a name for **policies he was attacking**). Smith "grossly oversimplified his predecessors."
- **Not one doctrine.** The "mercantilist" era spans **3–4 centuries** and countries from rich England/Netherlands to backward eastern Europe. Backhouse lists **four proposed goals** — (1) **unification** via national tariffs + internal free trade; (2) **state revenue** through economic development; (3) **high employment** via trade + more money; (4) **accumulation of treasure** — but "different aims applied in different countries at different times," so policies are better explained as **responses to particular problems** than as one grand design.
- **Both policies and ideas.** The term covers the **statesmen** (e.g. **Colbert** under Louis XIV) and the **writers** who theorised — academics, lawyers, officials, **merchants**, "speculators and adventurers" — hence "no uniform mercantilist doctrine." Backhouse says he'll use the word **sparingly**.

Machiavelli — the method behind the era

Core: the best-known thinker of the 16th c., **Machiavelli** (*The Prince*, 1513), matters less for his ruthless precepts than for his **method** — separating **politics from morality** and reasoning from a fixed assumption about human nature.

- He assumed people act **unscrupulously / self-interestedly** — "not because he believed men had no moral principles, but because this was **the safest and most reliable assumption to make**." (*This is exactly the analytic move economics will make with "self-interest" — and that Hobbes makes in politics.*)

The School of Salamanca & the quantity theory of money

Core: faced with **American treasure** and **rising prices**, Spanish scholastics and the Frenchman **Bodin** worked out that **the value of money depends on its scarcity** — the quantity theory of money — the era's most important genuinely new economic idea.

- **Navarrus (Martín de Azpilcueta), 1556:** money is just another commodity — "**all merchandise becomes dearer when it is in great demand and short supply, and... money... is merchandise**." So prices rose "*after the discovery of the Indies, which flooded the country with gold and silver*" — i.e. **money had fallen in value**. He used this to justify moderate profit from **money-changing** (a relaxation of the usury ban).
- **Thomas de Mercado:** laws forbidding the **export** of money will fail — money leaves because it's **valued more abroad**; the only way to keep it is to **raise its domestic value**.

- **Jean Bodin (1568):** independently blamed the "price revolution" on the **abundance of gold and silver**, not on scarcity or monopoly — with detailed cross-Europe monetary evidence.
- **Why it matters:** these writers **push moral questions aside** to analyse *what actually happens* — a decisive step away from the scholastic "just price."

England under the Tudors — Sir Thomas Smith's *Discourse*

Core: the sharpest English economics of the period, the *Discourse of the Common Weal* (c. 1549, likely **Sir Thomas Smith**), reasons from **incentives and self-interest** — anticipating the price mechanism.

- **On inflation:** distinguishes **real vs money incomes** (rising prices hurt those on **fixed** incomes — fixed-rent landlords, fixed-wage workers — while buyers/sellers gain); explains inflation first by **currency debasement** (the "Great Debasement" of 1542–51), later (1581, after reading Bodin) by the **increase in the quantity of money** from imported silver.
- **On enclosure:** landlords fenced common land for **sheep** because **wool prices were high relative to grain**. Smith's fix is **not** to legislate against enclosure but to make sheep-farming **less profitable** — remove the **tariffs** that made wool exports so lucrative. (*"Men would not engage in difficult work unless they received an appropriate reward."*)
- **The break with scholasticism:** Smith backs **balance-of-trade** ("mercantilist") policies, **but** shows a **keen awareness of the price mechanism** and assumes men are **motivated by self-interest** — "a major break with scholastic economics," in the spirit of Machiavelli's method.

Cases & examples

- **The 16th-c. "price revolution."** American gold/silver flowed into Europe; prices, which had fallen for two centuries, **rose sharply** (English wheat 4–5× over the century). → *Illustrates: the quantity theory of money — more money, lower money-value, higher prices (Salamanca, Bodin).*
- **Colbert (France, under Louis XIV).** The archetypal mercantilist statesman: state-directed industry, tariffs, raising revenue through economic development. → *Illustrates: mercantilism as **policy** (not just ideas) — the target Adam Smith would later attack.*
- **Tudor enclosure.** Common land fenced for sheep because wool > grain in price. → *Illustrates: **incentives/price mechanism** driving behaviour — Smith's proto-economic reasoning.*

Key terms

Term	Meaning
Nation-state	Defined territory + shared identity + a king with a monopoly of force ; chronically short of revenue
Mercantilism	State power used to build industry, run an export surplus , and accumulate precious metals
Bullionism	The equation of national wealth/power with stocks of gold and silver
Balance of trade	Aim of exports > imports to bring in treasure
Quantity theory of money	Prices depend on the quantity of money in circulation (Salamanca, Bodin)
Price revolution	The 16th-c. inflation caused by American silver
Just price → self-interest	The shift from scholastic morality of price toward incentive/price-mechanism analysis

Exam pointers

- Define mercantilism by its three policy planks — and give Backhouse's **caveat** (a *later* label, no single doctrine, use sparingly).
- Explain the quantity theory of money via the price revolution (American silver → money falls in value → prices rise).
- Show how the nation-state's fiscal weakness *drove* mercantilist thinking (money for armies).
- Use Sir Thomas Smith and Machiavelli's method as the early cracks where **self-interest / the price mechanism** enters economics.

The French Physiocrats — the *Tableau économique* & laissez-faire (Backhouse, pp. 98–109)

Book: Backhouse, *The Penguin History of Economics*, ch. 5 "Absolutism and Enlightenment in Eighteenth-Century France" (extract pp. 98–109).

Reading résumé

The **Physiocrats** (*Les Économistes*) — **François Quesnay** and the **Marquis de Mirabeau**, active 1756–63 — were the **first organised group of economists**. Against the backdrop of the **Enlightenment** (reason, progress, liberty) and a French economy strangled by taxes and regulation, they built the first **abstract model of the whole economy**, the *Tableau économique*, and preached "**laissez-faire**." Their signature (and most contested) claim: only **agriculture** yields a **net product** (surplus) — it alone is "**productive**";

trade and manufacturing are "sterile." **Turgot** and **Gournay** extend the free-market case and push economics toward Adam Smith.

★ **The heart of the reading:** the economy is a **circular flow of money and goods** between three classes (proprietors, farmers, artisans), and only the **land** produces a genuine **surplus** (the "**net product**"). Model it (the *Tableau*), stop taxing and regulating agriculture, and let it circulate — "**laissez-faire, laissez-passer**" ("let it be, let it flow"). The state should **work with nature** (*physiocracy* = "rule of nature"), not against it.

The red thread. *Where does the surplus come from, and how do you keep it circulating?* Physiocracy's answer — **from the land; by leaving the economy alone** — is the first systematic case for **free markets**, even if its "only-agriculture-is-productive" premise is wrong.

Key concepts / "modes" to use

- **Physiocracy** — "rule of nature"; the economy obeys **natural laws** the state should respect (Quesnay was a *physician* — an analogy with the **circulation of blood**).
- **Productive vs sterile classes** — only **agriculture** yields a **net product**; **manufacturing & trade** merely cover costs.
- The *Tableau économique* (1758) — a **diagram of the circular flow** of money/goods among proprietors, farmers, artisans.
- **Net product / surplus** (*produit net*) — output above the costs of production; the source of **rent** and of growth.
- **Laissez-faire, laissez-passer** — remove taxes, tariffs, guild restrictions; let trade and cultivation be free (Gournay; Turgot).

Section-by-section main points

The Enlightenment backdrop

Core: the **Enlightenment** — belief in **reason, progress, liberty, toleration** — set the stage: reason would **replace** religious authority and tradition as the test of all things (Newton in nature, **Locke** in the mind and in politics).

- In **France**, relaxed censorship (mid-1740s) released a flood of criticism; **Diderot & d'Alembert's** *Encyclopédie* (28 vols, 1751–72) aimed to gather **all human knowledge**, including economics. The **Physiocrats** grew directly out of this reforming, reason-driven moment.

Quesnay & the productive/sterile classes

Core: **Quesnay** — court physician to **Madame de Pompadour** — analysed society like a **body**: to understand it you must understand **how it feeds itself**. His conclusion: **only agriculture yields a net product**, so it is "**productive**"; trade and manufacturing are "**sterile**" (they just cover their costs).

- **Why land is special:** an "advance" (capital) in farming produces **more** than it costs — a **surplus** that accrues to landowners as **rent**. Industry, however essential, "**produced no surplus... simply covered its costs.**" → **agricultural capital is the key to growth.**

- **Three classes: proprietors** (landowners, who receive rent), **farmers** (the productive class — esp. capital-rich **tenant-entrepreneurs** who can afford efficient techniques), and **artisans** (the sterile class — manufacturing/trade).

★ The *Tableau économique* — the first model of the economy

Core: Quesnay's *Tableau économique* (1758) is a **diagram of the circular flow** — how money and goods pass between the three classes over a year, assuming **ideal conditions for agriculture**. It's the ancestor of modern national-income/input-output analysis.

- **The worked numbers (Backhouse's version):** farmers start with **£2m** of capital (in corn), proprietors with **£2m** of money. Agriculture yields a **100% surplus**. Proprietors spend their **£2m rent** half on food, half on manufactures → money circulates in successive rounds (£1m + £0.5m + £0.25m...) so **each sector ends up with £2m of income**. But manufacturing spends its remaining £1m buying **raw materials from agriculture**, so **all the money flows back to the land**, which alone ends the year with a **£1m financial surplus** → paid to proprietors as **rent**. *The accounts balance, and only agriculture regenerates the surplus.*
- **Up to 24 conditions** must hold for this ideal flow — e.g. *the whole revenue is spent (not hoarded); taxes don't destroy revenue; farmers have enough capital for a 100%+ surplus; free external trade in raw produce; people free to cultivate as they think best.* **None** held in France → so achieving them was a **radical policy agenda**.
- **The political payoff:** Quesnay ran the *Tableau* to **show what wrecks the flow** — **taxation, interference with agriculture, artificial stimulation of manufacturing, keeping food prices low** (all Bourbon policies) → all **reduce output**. (*A small tax on both sectors, he showed, shrinks next year's agricultural advance — the economy declines.*)

Gournay, Turgot & laissez-faire

Core: the free-market slogan and its rationale come from this circle: **Vincent de Gournay** popularised "*laissez-faire, laissez-passer*," and **Turgot** gave it a principle — **every man knows his own interest best**.

- **Gournay:** mercantilist regulations (a city treating other Frenchmen as foreigners; ruining a weaver for sub-guild cloth) "**did not make sense**"; free trade would "excite the greatest competition... and the most advantageous price to buyers."
- **Turgot's principle:** "*in general every man knows his own interest better than another to whom it is of no concern*" → when **individual interest = the general interest** (as in unrestrained commerce), **leave men at liberty**. Government should **remove barriers to trade, simplify taxes, give everyone the right to work**.
- **Turgot's own reforms** (as Controller-General, 1774–76): freed the **grain trade**, abolished **guilds** and **forced labour (corvée)**, funded roads by a **land tax** — but "trampled on numerous vested interests" and he was **dismissed** in 1776 (many reforms reversed).
- **Turgot beyond Physiocracy (capital & value):** he broke with the Physiocrats by arguing **industry and lending also create wealth**. Savings become **capital** that can be **lent (interest)**, **buy land (rent)**, or **invested in industry (profit)** — and **competition equalises the returns** (adjusted for risk), so the **rate of interest is a price set by supply and demand**. He also developed a **subjective**

theory of value ("esteem value" → "exchange value"; value measured only against other goods, via a *numéraire*) — ideas that fed straight into **Adam Smith**.

Cases & examples

- **The Tableau économique (1758)**. The three-class circular-flow diagram with the £2m/£2m/100%-surplus arithmetic. → *Illustrates: the first **model** of the whole economy, and the claim that **only land** regenerates the surplus.*
- **Turgot's reforms (1774–76)**. Freeing grain, abolishing guilds and the corvée — then dismissal. → *Illustrates: **laissez-faire** meeting **vested interests**; economic liberalism as a **practical reform programme**, not just theory.*

Key terms

Term	Meaning
Physiocracy	" Rule of nature " — the economy obeys natural laws the state should respect
Productive vs sterile	Only agriculture yields a net surplus; trade/manufacturing merely cover costs
Net product (<i>produit net</i>)	Output above production costs — the source of rent and growth
<i>Tableau économique</i>	Quesnay's circular-flow diagram of money/goods among the three classes (1758)
Laissez-faire, laissez-passer	"Let it be, let it flow" — remove taxes, tariffs, guilds; free trade & cultivation
Esteem value / exchange value (Turgot)	Value is subjective , measured only against other goods

Exam pointers

- Explain the Tableau économique — the three classes, the **circular flow**, and why **only agriculture** ends with a surplus.
- Define productive vs sterile and state the **flaw** (manufacturing *does* add value — Turgot and Smith correct this).
- Trace laissez-faire from **Gournay's slogan** → Turgot's "**everyone knows his own interest**" → the bridge to Smith.
- Note Turgot's break with Physiocracy (capital/interest/industry, subjective value) as the direct feed into Smith.

Bridge. Physiocracy is the **hinge** between mercantilism and Smith: it keeps a *state-of-nature*-style faith that the economy has **natural laws** (like Grotius'/Hobbes' natural law in politics), drops mercantilist meddling for **laissez-faire**, but wrongly confines wealth-creation to the land. **Smith** keeps the free-

market conclusion, generalises "productive" labour beyond farming, and supplies the mechanism — the invisible hand.

Adam Smith & the Scottish Enlightenment (Backhouse, pp. 110–131)

Book: Backhouse, *The Penguin History of Economics*, ch. 6 "The Scottish Enlightenment of the Eighteenth Century" (extract pp. 110–131).

Reading résumé

The **Scottish Enlightenment** — a burst of intellectual life in a then-**backward** country — produced modern social science: **secular, empirical, historical**, tracing how societies **evolve through stages**. Its economics runs **Hutcheson → Hume → Steuart → Adam Smith**. Smith's *Wealth of Nations* (1776) is its crown: he explains **economic growth** through the division of labour, shows how **markets** channel **self-interest** into the public good via the invisible hand under a system of **natural liberty**, and attacks both the **mercantile** and **agricultural (Physiocratic)** systems — *but* he is **not** a pure laissez-faire dogmatist: he keeps a real role for the state (justice, defence, public works).

★ **The heart of the reading:** the wealth of a nation is the **annual produce of its labour**, and the engine of growth is the **division of labour** (limited by the **extent of the market**). Under **natural liberty**, individuals pursuing their own gain are led "as by an **invisible hand**" to serve society — so **free competition**, not state direction, creates wealth. Smith answers **Hobbes & Mandeville's** question — *what holds a commercial society together?* — with: **self-interest, within a framework of justice**.

The red thread. *How does a society of self-interested strangers grow rich and stay together?* Smith's answer weaves the moral question (*Theory of Moral Sentiments*) into the economic one (*Wealth of Nations*): **justice + liberty + the division of labour + the invisible hand**.

Key concepts / "modes" to use

- Four-stages theory — societies evolve: **hunting → pasture → agriculture → commerce** (each with its own property/law).
- **Sympathy & the impartial spectator** (*Theory of Moral Sentiments*, 1759) — how morality binds a commercial society.
- Division of labour — the main cause of growth; **limited by the extent of the market**.
- **Natural price vs market price** — competition makes market price **gravitate** to the natural (cost-covering) price.
- The invisible hand — self-interest under competition produces socially beneficial outcomes **unintended** by anyone.
- Productive vs unproductive labour — productive labour "fixes" value in a vendible commodity → capital accumulation ("parsimony").

- **Natural liberty / laissez-faire — with limits** — the state's **three duties** (justice, defence, public works).

Section-by-section main points

| The Scottish Enlightenment & the four stages of society

Core: the Scottish thinkers made social thought **secular, scientific, and historical** — they assumed **human nature is constant** but that its **environment changes**, so societies **progress through stages**.

- **The four stages: hunting/gathering → pasture** (domesticated animals → property → inequality) → **agriculture** (land as property, inheritance, law) → **the exchange/commercial economy** (classes, the division of labour, mutual dependence). "Economics, politics and law all bound up together."
- **Why Scotland?** Awareness of Scotland's **backwardness** vs England (post-1707 Union), a **Presbyterian/Calvinist** individualism, and a legal system based on **Roman/natural law** (not English common law) — all fed the comparative, historical outlook.

| Hutcheson, Mandeville & Hume

Core: two debates set up Smith: **Hutcheson vs Mandeville** on whether men are selfish, and **Hume** on money and labour.

- **Mandeville's *Fable of the Bees* (1714): "private vices, public benefits."** A prosperous hive thrives on **vice and luxury** (even burglars employ locksmiths); when a moral revolution imposes thrift, industries **collapse**. Moral: **men are naturally selfish, but in a well-ordered society this produces public benefit**. (*But Mandeville still wanted trade regulation — not full laissez-faire.*)
- **Hutcheson** (Smith's teacher) **rejected** Mandeville's pure selfishness: men are also **altruistic**, driven by "a variety of motives" (self-care, feeling for others, the desire to better one's condition). He stressed the division of labour and a supply-and-demand theory of value — both handed to Smith.
- **Hume:** ① **money is not wealth** — "the oil which renders the motions of the wheels of trade more smooth"; more money just raises prices (**quantity theory**), though a *rising* money supply can *temporarily* stimulate industry. ② **labour is the true source of wealth** ("everything... is purchased by labour"); **manufactures store up labour** the state can draw on. ③ He **demolished mercantilism** with the **price-specie-flow** idea: a trade surplus raises your prices and **drives industry abroad** — money "finds its own level" like water, so bullionist policy is **self-defeating**.
- **Sir James Steuart** (*Principles of Political Economy*, 1767 — first to use "political economy" and "supply and demand" in English): stressed the "**statesman**" managing the economy to keep **supply and demand balanced** and maintain **employment** — a **more interventionist** view that Smith's *Wealth of Nations* eclipsed a few years later.

| The Theory of Moral Sentiments — what holds society together

Core: Smith's **first** book (1759) asks how selfish creatures can **live together**. The key mechanism is **sympathy** — the capacity to see our own conduct through the eyes of an "**impartial spectator**" — reinforced by **moral rules** and, where needed, **positive law**.

- The crucial claim (the frame for *Wealth of Nations*): a commercial society can flourish even without mutual love — "from a sense of its utility... a mercenary exchange of good offices." But it cannot survive without justice: "society... cannot subsist among those who are at all times ready to hurt and injure one another." → **Beneficence is optional; justice is essential.** *This is why Smith's economics always assumes a framework of justice — unlike a Hobbesian state of nature.*

The division of labour & the extent of the market

Core: the most important cause of economic growth is the division of labour — and it is "limited by the extent of the market."

- **The pin factory:** one untrained worker might make 1 pin a day; split into 18 operations, ten workers make 48,000 pins a day. Division of labour is carried furthest in the most advanced countries.
- **Two levels:** within a factory, and the social division of labour (different people do different jobs and exchange). It springs from a natural human "**propensity to truck, barter, and exchange.**"
- **Limited by the market:** in a village one person is carpenter-joiner-cabinetmaker at once; in a city each is a separate trade. Bigger markets → finer specialisation → more growth (hence the importance of **water transport** for widening markets).

★ Value, natural price & the invisible hand

Core: competition makes the **market price** of a good gravitate toward its **natural price** (the price that just covers wages + profit + rent) — and this self-regulating mechanism is the "invisible hand": self-interest, under competition, unintentionally serves society.

- **Real vs nominal price:** the **real** price of a thing is "the toil and trouble of acquiring it" (a quantity of labour); the **nominal** price is its money price.
- **Natural vs market price:** the **market price** rises/falls with **supply and demand**; the **natural price** is "the central price, to which the prices of all commodities are continually gravitating." **Competition** does the work — if profits in hats are above normal, capital moves in, supply rises, the price falls back to natural.
- **The invisible hand:** because capital and labour are **free to move** to their most profitable use, the market "can work like an invisible hand, causing people to produce what other members of society want, even when individuals have **no intention** to do anything for anyone else." → **self-interest** → **public benefit.** (*Backhouse notes Smith uses the phrase only once in each of his major books — it was later generations who made it his emblem.*)
- This is why Smith **denounced mercantilist restrictions:** they benefit particular groups but **obstruct competition.**

Capital accumulation & productive labour

Core: growth needs **capital** ("stock"), and capital grows only if labour is employed **productively.** "Capitals are increased by parsimony [saving], and diminished by prodigality."

- **Productive vs unproductive labour:** productive labour "fixes itself in a vendible commodity" that can later be sold to command more labour (the manufacturer, the farmer); **unproductive** labour

leaves nothing behind (the menial servant — and even "the sovereign... judges... the army"). (*Here Smith is closer to **Turgot** than to Hume/Hutcheson.*)

- **Saving = investment (contra Mandeville):** Smith denies that **luxury spending** is needed to maintain demand — "what is annually **saved** is as regularly **consumed** as what is spent... but by a different set of people" (productive labourers). Saving is just spending that employs **productive** labour. (*This lets Smith dismiss the mercantilist worry about deficient demand.*)

★ Natural liberty & laissez-faire — with limits

Core: Smith's "system of natural liberty" — everyone **free to bring their capital into competition** — is contrasted with the **mercantile** and **agricultural (Physiocratic)** systems he criticises. **But Smith is not a pure laissez-faire ideologue:** he assigns the state **three essential duties**.

- **Against monopoly:** monopoly (usually a government-granted privilege) is "a great enemy to good management"; free competition forces efficiency.
- **The three duties of the sovereign (the limits on laissez-faire):**
 1. **Justice** — a system of law; **without justice, natural liberty can't function** ("the first duty of the sovereign"). (*Even the Navigation Acts — restricting shipping — Smith supported, for the sake of the Royal Navy's strength: defence before opulence.*)
 2. **Defence** — protection from other nations.
 3. **Public works & institutions** — things "advantageous to a great society" but unprofitable for any individual to build: **roads, bridges, canals, and primary education** (though he preferred **tolls/fees** so users pay and providers have incentives).
- **No role in one area:** Smith saw **no** government role in **maintaining employment** — his doctrine that "saving = spending" denied there was a problem; under perfect liberty, labour simply moves to where it's demanded. This **separated monetary economics from value/growth**, dominating 19th-c. thought.
- **Backhouse's corrective:** Smith's later image as "the **advocate of laissez-faire**" would have **surprised his contemporaries**, who saw how much **further from that position** he was than the French. His *Wealth of Nations* is best read as a **response to Hobbes and Mandeville** (what holds a commercial society together?), approached from **moral philosophy** — not as a free-market tract. His debts are so vast that some say it "contains not a single original idea" — but it was **his synthesis** that shaped economics.

Cases & examples

- **The pin factory.** 1 pin/day untrained vs **48,000 pins/day** for ten workers across 18 operations. → *Illustrates: the division of labour as the engine of productivity/growth.*
- **Mandeville's *Fable of the Bees*.** A hive thrives on vice/luxury; enforced virtue collapses it — "private vices, public benefits." → *Illustrates: the selfishness debate Smith inherits (and refines: self-interest works, but only within justice).*
- **The invisible hand (natural vs market price).** Capital flows to above-normal-profit trades, raising supply, pushing price back to natural. → *Illustrates: self-interested action → socially beneficial outcome, unintended.*

- **The Navigation Acts.** Smith *supported* these anti-competitive shipping laws — for **naval defence**. → *Illustrates: Smith is **not** a pure laissez-faire dogmatist — "defence is of much more importance than opulence."*

Key terms

Term	Meaning
Four-stages theory	Societies evolve: hunting → pasture → agriculture → commerce
Sympathy / impartial spectator	Smith's mechanism (in <i>Moral Sentiments</i>) for how morality binds society
Division of labour	The main cause of growth; limited by the extent of the market
Natural vs market price	Market price (supply/demand) gravitates to natural price (wages+profit+rent)
Invisible hand	Self-interest under competition → unintended public benefit
Productive vs unproductive labour	Productive labour "fixes" value in a vendible commodity → capital accumulation
System of natural liberty	Free competition; the state limited to justice, defence, public works

Exam pointers

- Explain the division of labour + extent of the market with the pin factory.
- State the invisible hand precisely — self-interest **under competition** and **justice** → unintended public good (and note Smith uses the phrase only once per book).
- List the three duties of the sovereign — the **limits** on laissez-faire — and use the Navigation Acts to show Smith ≠ dogmatic free-marketeer.
- Connect Smith to the debate opened by Hobbes & Mandeville: what holds a commercial society together? → **self-interest within justice**.

Bridge. Smith completes the module's arc: he **generalises** the Physiocrats' free-market conclusion beyond agriculture (all **productive labour** creates wealth), supplies the **invisible-hand mechanism** the Physiocrats lacked, and answers the Hobbes/Mandeville question about social order — while keeping a **framework of justice and a real (if minimal) state**.

"Is Mercantilism Back?" — Ghani, *Modern Diplomacy* (2018)

Source: Muhammad Usman Ghani, "Is the Mercantilism back?", *Modern Diplomacy*, 28 Sept 2018.

Résumé

A short opinion piece arguing that **Donald Trump's trade policy revives mercantilism** — the very doctrine the post-war order was built to bury. It's the module's "**so what today**": it lets you test the 16th–18th-century ideas against a live 21st-century case.

Core argument: tariffs and "economic nationalism" = **mercantilism reborn**. Trump's "*America First*," rejection of "globalization," and heavy tariffs on China (and the EU, Mexico, Canada) revive the mercantilist logic of **protecting domestic industry and running a trade surplus** — exactly what **Adam Smith** attacked and what **Bretton Woods** was designed to prevent.

- **The historical frame: mercantilism** flourished in the 16th c., never fully died; in the **1930s** fascist Italy/Germany embraced it, and tit-for-tat tariffs helped collapse world trade by ~65%, deepening the **Great Depression** (the US **Smoot–Hawley Act**). → After **WWII**, the **Bretton Woods** deal created the **IMF and World Bank** precisely to **get rid of mercantilism** and promote free trade (later the **GATT → WTO**, 1994).
- **The Smith hook (direct module link):** "*The maverick economist... Adam Smith condemned mercantilism... trade is **mutually beneficial** when countries **specialize** in producing the goods they are best at making.*" → the article's yardstick is **Smith's** argument against zero-sum trade.
- **The evidence of "mercantilism today":** tariffs on steel and Chinese goods; the **US–China trade war** (\$315bn 2017 deficit; Trump: "*Tariffs are working big time*"); **retaliation** (China on soybeans/planes/cars; Canada's 25% on \$12bn of US goods); and **immigration restriction** (the border wall) — cast as another mercantilist reflex (foreigners "consume the jobs of indigenous people").
- **The verdict (echoing Smith/Hume):** trade wars "**have not achieved their desired results**" — Smoot–Hawley deepened the Depression; Bush's 2002–05 steel tariffs brought **inflation and ~200,000 lost jobs**. Mercantilism is an "**outmoded**" policy ill-suited to an interconnected world — though the author concedes it's "earlier to predict" the outcome.

How to use it in an exam

- As the **living test case** for the module: identify the **mercantilist markers** (tariffs on manufactures, trade-surplus obsession, economic nationalism, bullionist/zero-sum thinking) and score Trump-era policy against them.
- As the **counterpoint that proves Smith/Hume right**: the article's whole critique is Smith's (mutual gains from **specialisation/comparative advantage**) plus Hume's (protection is **self-defeating**) — a chance to show the 18th-c. arguments still do the work.
- **Nuance to flag:** Backhouse's caution applies — "mercantilism" is a **loose label**; modern protectionism isn't identical to 16th-c. bullionism (no one's stockpiling silver), but the **zero-sum, surplus-seeking, industry-protecting logic** is the same family.

Key terms

Term	Meaning
Economic nationalism	Prioritising the nation's economy via protection/tariffs — mercantilism's modern face
Bretton Woods (1944)	Post-war deal creating the IMF & World Bank to curb mercantilism and promote free trade
Smoot–Hawley Act (1930)	US tariff act that deepened the Great Depression by triggering retaliation
GATT → WTO (1994)	The institutions liberalising world trade "free from disputes"
Comparative advantage / specialisation	Smith's (and Ricardo's) case that trade is mutually beneficial

Bridge — where it leads: Classical Political Economy (pp. 132–142) (*beyond the module's 1790 endpoint*)

The assigned range runs into **ch. 7**, past the module's "Economic Liberalism ~1790" cut-off. Brief orientation only — flag if you want this expanded into a full Module 4 later.

Core: after Smith, economics **separates from moral philosophy** and becomes a more "scientific," secular discipline — **classical political economy (1790–1870)**.

- **Malthus** (*Essay on Population*, 1798): population grows **geometrically**, food only **arithmetically** → a permanent tendency for population to **outstrip resources**, checked by **misery, vice**, and (2nd ed.) **moral restraint**. Used to attack utopian equality (Godwin, Condorcet) and to defend **private property**. (*Carlyle's jibe — economics as "the dismal science" — is aimed here.*)
- **Bentham & utilitarianism**: judge laws/policy by the "**greatest happiness**" (the **principle of utility**) — the philosophy of the **Philosophic Radicals** (James Mill, J.S. Mill, Ricardo).
- **Ricardo** (*Principles*, 1817): **rigorous, deductive** economics — the **theory of differential rent** (rent = the surplus of more-fertile land over the least-fertile in cultivation), the **labour theory of value**, and the claim that **landlords' interests oppose society's** (→ the case against the **Corn Laws**). Ricardo's abstraction "burnt deep scars" on economics and seeded **Marx**.
- **Say**: Smith's French interpreter; **Say's Law** — "supply creates its own demand," so no general glut is possible.

★ Fun facts & memorable details

Sticky bits from Module 3 (Mercantilism → Physiocrats → Smith).

Mercantilism

- "**Mercantilism**" is a hostile nickname. No mercantilist ever called themselves one — the word was popularised by **Adam Smith (1776)** as a label for **policies he was demolishing**.
- **American silver caused inflation** — the 16th-c. "price revolution": English wheat prices rose 4–5× in a century, and the **School of Salamanca** worked out why (the quantity theory of money) *two centuries before* it's usually credited.
- London exploded from **under 50,000 people in 1500** to **~575,000 by 1700** — the age of the **capital city**.

Physiocrats

- **Quesnay was a court physician** — doctor to **Madame de Pompadour** (Louis XV's mistress) — and modelled the economy on the **circulation of the blood**. "Physiocracy" literally means "**the rule of nature**."
- They were "**the first organised group of economists**" — with a journal (*Éphémérides*) and a textbook (*La Philosophie rurale*).
- The slogan "laissez-faire, laissez-passer" was popularised by **Vincent de Gournay** — a *businessman* who bought his way into public office.
- Quesnay's Tableau économique inspired **Karl Marx** — and prefigures modern national-income/input-output tables.

Adam Smith

- The famous **pin factory**: 1 pin a day alone → **48,000 pins a day** for ten specialised workers.
- Smith used "the invisible hand" **only once** in *The Wealth of Nations* (and once in *The Theory of Moral Sentiments*) — later economists made it his emblem.
- **Smith was not a laissez-faire purist**: he backed the anti-competitive **Navigation Acts** because "*defence... is of much more importance than opulence*," and gave the state **three duties** (justice, defence, public works).
- *The Wealth of Nations* was published in **1776** — the year of the American **Declaration of Independence**.
- In his own lifetime Smith was famous for *The Theory of Moral Sentiments*, not *The Wealth of Nations* — he saw both as parts of **one** science of society.

The article

- The **1930s** tariff wars (incl. **Smoot–Hawley**) helped shrink world trade by **~65%** and deepen the Great Depression — the cautionary tale behind Bretton Woods.
 - The **IMF and World Bank** were created at Bretton Woods (1944) *specifically* to **kill off mercantilism**.
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Module 4: Enlightenment and Political Liberalism (1660–1790)

Readings: Jeremy Waldron, 'Locke', in Boucher & Kelly (eds), *Political Thinkers* (2003), ch. 11, pp. 181–97 · J.S. McClelland, *A History of Western Political Thought* (1996), ch. 16, pp. 315–338 (Montesquieu) · Mary Wollstonecraft, *A Vindication of the Rights of Woman* (1792) — the Dedication "To M. Talleyrand-Périgord" + the Introduction · (optional) McClelland, ch. 13, pp. 250–274 (Rousseau).

Lecturer's steer (Joachim): focus on **Locke, Montesquieu, and Wollstonecraft**; the Rousseau piece is **optional**. For Wollstonecraft, read **only** the Dedication and the Introduction (not the whole book). This module follows that emphasis — Locke/Montesquieu/Wollstonecraft get full treatment; Rousseau is a lighter, clearly-marked **optional** section.

Theme of the module. The **Enlightenment** turns **reason** against inherited **authority** — and applies it to politics as the question of **liberty**: *after Hobbes, how do you secure just and fair rule without sliding into either anarchy or absolutism?* The four thinkers give four moves in one argument — **redefine the social contract so that power itself is bound**: **Locke** (the *people* are sovereign and may depose a ruler who breaks trust) → **Montesquieu** (divide and balance power — the separation of powers) → **Rousseau** (the *general will* makes the people both sovereign and subject) → **Wollstonecraft** (if the standard is Reason, then "*the people*" must include women).

★ **The heart of the module — one question, four answers:** the Enlightenment's political question is *how to constrain power with reason and law*.

- **Locke:** government rests on **consent** and holds its power **in trust** to protect natural rights (life, liberty, property); break the trust and the people may **resist/replace** it. The **people** — not the king — are sovereign.
- **Montesquieu:** liberty is "**tranquillity without fear**," secured not by one contract but by **institutional design** — **separate the powers** (legislative/executive/judicial) and **balance** the estates so no power can act despotically.
- **Rousseau (optional):** "*man is born free, yet everywhere he is in chains*" — a legitimate contract makes each person obey only the **general will** (their own real will as a citizen), so they stay free while being ruled.
- **Wollstonecraft:** the Enlightenment's own premise — **rights follow from reason** — logically **includes women**; deny them **education** and you make them "alluring mistresses," not rational wives, mothers, and citizens. Gender hierarchy is **socially constructed, not natural**.

The red thread. For every thinker ask the deck's two questions: (1) *what is government for, and how is power kept from becoming tyranny?* and (2) *who counts as "the people"?* The arc runs from **constraining** power (Locke, Montesquieu) to **whose** consent and reason count (Rousseau's "who is the people?", Wollstonecraft's answer: women too).

Lecture frame (from the deck) — the Age of Enlightenment & the question of liberty

(The deck is the skeleton; the readings below add the flesh. Deck points marked as such.)

| The Age of Enlightenment — reason against authority

Core: the Enlightenment (roughly 1660–1790) makes **knowledge and reason** the tools to **question authority** — political, religious, and traditional.

- **Two "New Worlds"** drove it: the **geographic** discoveries (Columbus, da Gama, Magellan → colonies + world trade) and the **scientific** one (Copernicus, Kepler, Brahe, Galileo, **Newton's** *Principia* 1687) — the real world is knowable by the **scientific method**.
- **Two method poles (deck):** **Francis Bacon** (1561–1626) — **empiricism**: knowledge from **observation, induction, experiment**; **René Descartes** (1596–1650) — **rationalism**: **reason, scepticism, deduction** from "self-evident principles." (*Locke and Montesquieu sit on the empiricist side; the Encyclopédie (Diderot) embodies the project.*)
- **God is "detached from reality"** and challenged by science — but note (deck): the Enlighteners were **"no democrats; few atheists."** Reason questioned authority *without* (yet) demanding democracy or rejecting God.
- **The radical fringe (deck):** most Enlighteners were moderate, but a **radical Enlightenment** pushed further — e.g. **Spinoza** (1632–77), who effectively **detached God from nature**. The *Encyclopédie* (Diderot & d'Alembert) is the movement's great collective monument.

| The question of liberty — after Machiavelli and Hobbes

Core: the political problem the Enlightenment inherits is set by **Machiavelli** (the *stato* survives only if the end justifies the means) and **Hobbes** (even without God, an **absolute** sovereign is justified as the provider of **order**). Hobbes's contract guarantees the government **unlimited** power.

- **Liberalism = Latin *libertas* (liberty) (deck).** The lecture's organising theme is the **question of liberty**: is a prince/sovereign's authority **God-given or part of the law of nature?** Is **absolutist/dictatorial rule** simply "the **political expression of anarchy**"? And the pivotal choice — is the sovereign a **protector** (Hobbes, 1651) or **repressive** (Locke, 1689)? (*Note the pun the deck flags: "Lord Protector of the Commonwealth."*)
 - **The new question (deck):** should we **fear each other** (Hobbes's state of nature) **or fear the state?** The Enlightenment answer is **moderation** — a balance between the state of nature (unlimited freedom) and *civil society* (government power).
 - **The decisive move** — **redefine the social contract**: *the monarch must be part of the agreement* (so the ruler is bound too), and **can the state give up some sovereignty?** This is exactly where Locke, Montesquieu and Rousseau go beyond Hobbes.
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Locke — Waldron, 'Locke' (*Political Thinkers*, ch. 11)

Book: Jeremy Waldron, 'Locke', in D. Boucher & P. Kelly (eds), *Political Thinkers* (2003), **ch. 11**, pp. 181–97. Main texts: Locke's *Two Treatises of Government* (1689) and *A Letter Concerning Toleration* (1689).

Chapter résumé

Waldron reads Locke as "**the earliest well-worked-out liberal political theory**" — and still one of the most influential. Against **political absolutism** (Hobbes; and Filmer's patriarchalism), Locke grounds government in **natural equality**, **natural law**, and **consent**: the state exists to **protect natural rights** (life, liberty, property), holds its power **in trust**, and may be **resisted** if it betrays that trust. Waldron's own thesis: Locke's value is **normative and theoretical**, not merely historical — he built the framework modern liberals still argue within (rule of law, toleration, government by consent, individual rights).

★ **The heart of the chapter:** because humans are **naturally free and equal** under a rational **natural law**, **no one may be placed under political authority except by their own consent**. Government is a **trust** to remedy the "inconveniences" of the state of nature (where each is judge in their own case) and to **protect natural rights**; if it turns absolute, arbitrary, or breaks the trust, the people may **resist and replace** it. Rights are **inalienable** — you cannot even consent to your own enslavement.

The red thread. Everything flows from **natural equality** → no natural rulers → authority only by **consent** → government as a limited **trust** → **resistance** when the trust is broken. For each step ask: *how does the premise of equality constrain what a ruler may do?*

Key concepts / "modes" to use (from Waldron's "Key ideas" box)

Concept	Meaning
Equality	Everyone in the <u>state of nature</u> is born equal — no natural superior (Locke even rejects the "natural" subordination of women in the <i>First Treatise</i>).
Executive power of the law of nature	In the <u>state of nature</u> everyone has the right to enforce <u>natural law</u> (punish offenders) — no one has authority over another.
Express vs tacit consent	Authority requires consent — either explicit (an oath) or tacit (merely enjoying a country's protection/using its highways).
Liberty vs licence	Liberty = acting within <u>natural law</u> ; licence = driven by passion, harmful to social life.
Mixing one's labour	The origin of property : labouring on something appropriates it (picking an apple).
Political vs patriarchal power	Undermines Filmer's derivation of political power from God's grant of fatherly authority to Adam.
Right to revolution	If governments act outside their constitutional constraints, there is a right of resistance — the " <u>appeal to heaven</u> ."
The social contract	A two-stage move: (1) individuals form political society ; (2) society entrusts a government . If the government falls, society remains and can institute a new one.

Section-by-section main points

Introduction — Locke as a liberal theorist

Core: Locke's writings are the **definitive starting point of modern liberal constitutionalism** — natural rights, limited government, toleration, executive accountability, the rule of law, and private property.

Waldron insists the interest is **normative** ("what's true/right"), not just historical.

- We today still accept **equality** and **some version of natural rights** but are unsure of their **grounds** — so Locke's *arguments* (not just his conclusions) repay study.

★ The lecture's Locke — the deck's argument (*deck*)

Core (*deck*): Locke answers Hobbes by re-grounding the social contract so that **the people, not the king, are sovereign** — and the ruler is **bound** by the contract too. (*The reading sections below develop each point; this box is the deck's spine.*)

- **Man as a social creature** — contrast Hobbes's **rational egotist** and Aristotle's "**political man**." Man is born a **blank slate** (*tabula rasa*) and gathers knowledge through **experience** (Locke the empiricist); he enters the world **free, equal and independent** under natural law, which lets him **contract with a law-giver to secure his freedom**. (*Detail: equality & natural law · the social contract.*)
- **Freedom is an inalienable property** — in two concrete forms (*deck*): ① **personal freedom** = freedom from arbitrary incarceration by the sovereign; ② **property rights** = the right to **sustain your life and support your family**.

- The people are sovereign → the contract is between *the people and the sovereign* (contrast Hobbes, where the sovereign is *not* a party). Government should handle **only affairs of common interest**, under the rule of law, with "an assembly of part-time representatives as its supreme legislature," and the king + ministers as a *checkable* executive.
- King and parliament can be deposed (cf. tyrannicide) if they **breach the contract** — under unjust, corrupt or incompetent rulers. Locke: subject to a prince's "extemporary, arbitrary decrees," people would be "in a far worse condition than in the state of nature." **Concrete anchors (deck):** England's **Bill of Rights (1689)** limited the King's powers; Denmark's **Håndfæstning** (royal charters binding the king, 1282–1660) is the local parallel. (*Full argument: rule of law & revolution.*)

Locke's use of the social contract idea

Core: the *Two Treatises* target **political absolutism** — "power unconstrained by law." The **First Treatise** demolishes **Filmer** (no God-given patriarchal monarchy descending from Adam; man and woman were both made in God's image); the **Second Treatise** builds the positive theory.

- **Why government exists:** to remedy the "**inconveniences of the State of Nature**" where "every Man is Judge in his own case" — insecurity, private aggression, no impartial umpire. (*In plain terms: without a common judge, disputes have no fair settlement.*)
- **The anti-absolutist punch:** being subject to **one** absolute man is *worse* than the state of nature — "he being in a much worse condition, who is exposed to the arbitrary power of **one** man, who has the command of 100,000, than he that is exposed to the arbitrary power of 100,000 single men."
- **Hypothetical vs literal contract.** Locke uses **both**: (a) *hypothetical* — "no rational person **would** consent to absolutism" (this does the normative work, condemning arbitrary rule); (b) *literal/historical* — he thinks the contract also **actually** best explains how government arose (governments grew from families, but by **implicit agreement/trust**, not natural patriarchal right).
- **"Born free" (the key premise).** Every human is **born free**, bound only by natural law, not by any contract made by parents/ancestors. Political obligation is therefore **self-incurred** — by **consent** (express or **tacit**, e.g. enjoying a country's protection, using the highways, lodging at an inn).
- **What consent does — and doesn't do.** Consent brings you **within "the people"** — a community entitled to **scrutinise laws, hold lawmakers accountable**, and *in extremis* **raise a revolution** against a corrupt/unjust/incompetent ruler (with consent your resistance is legitimate *civic grievance*, not mere banditry). But consent **does not make an unjust law just** — because many Lockean rights are **inalienable**, "an imputation of consent cannot excuse their violation."

Foundations — equality and natural law

Core: the **starting point** is **natural equality** — no one has an "evident mark of natural superiority," so no one may rule another **without consent**. The deeper ground is a **capacity we all share: reason**.

- **Why equality is grounded in reason, not species-membership:** a bare "same-species" account fails (why would human equality matter more than rabbits?). What matters is the "**power of abstracting**" — the capacity to **reason on general ideas** — which, for Locke, gives humans a **special moral relation to God**: we are God's "**workmanship**," "sent into the world about his business," his property.

- **Natural law is rationalistic** — "the law of reason." Reason teaches **duties: preserve yourself**, and (not in competition with that) **preserve the rest of mankind** — negative duties (don't harm) and positive duties (help preserve others, e.g. don't let them starve if you can help).
- **Rights are inalienable** because self-preservation is also a **duty owed to God** (stewardship): "no one may give up his right to preserve his own life or subject himself to the arbitrary power of another." → *No government may be founded on consent to one's own **enslavement**.*

Property, economy, and disagreement

Core: property rights arise **before** government, by **labour** — and government must **respect** (not confiscate) them, though the *right to subsistence* trumps property in extremis.

- **Labour-mixing:** appropriating from the common by "**mixing one's labour**" (at time *t*, person *X* labours on land *L* → *X* owns *L*); this can be transferred by gift/sale → a whole natural economy of property, **independent of positive law**.
- **The three provisos (limits):** (1) the amount must relate to the **labour** performed; (2) **no waste**; (3) "**enough, and as good, left in common for others.**"
- **The state may regulate but not confiscate/redistribute** property, unless needed to keep the natural-law constraints. But note the **charity/subsistence trump:** desperate poverty has a "**foundational, trumping right**" — "charity gives every man a title to so much out of another's plenty, as will keep him from extreme want."
- **The colonist worry (be fair to the critique):** Locke's labour theory **took the side of the encloser/colonist** — treating aboriginal America and English commons as available to be **appropriated** because they weren't farmed "intensively." Waldron: this is Locke taking a **contestable side** on a real question, not a knock-down refutation.
- **Disagreement is unavoidable:** people will hold **rival theories of property in good faith** → so a Lockean polity must **expect disagreement** about what natural law requires (this sets up the rule-of-law problem).

Limited government, toleration, the rule of law — and revolution

Core: the supreme power **cannot be absolute** — it must respect natural law and rights (esp. property: it "cannot take from any man any part of his property without his own consent"). Rulers must be **under the law**, and where an institutional umpire fails, the people "**appeal to heaven.**"

- **The rule of law:** natural law is **unwritten** (only "in the minds of men"), so society needs "**settled, standing laws**" and an impartial judge; and crucially **the rulers must be subject to the laws too** — otherwise society is like a farmyard where the farmer keeps the animals from harming each other but preys on them himself.
- **The Hobbes contrast (Waldron's honest caveat):** Locke's rule of law is *taken as* an answer to Hobbes — but "**it is not an answer at all**" to the *institutional* dilemma. If ruler and people disagree over whether the law was broken, there is "**no judge on earth**" → it can only be settled by **fighting** ("an appeal to heaven"). The **real** difference: Locke thinks a society is **better off** treating the *practice of accusing/resisting a lawbreaking ruler* as **legitimate** (it has a restraining effect), whereas **Hobbes** thinks that very opinion **dissolves** the commonwealth.

- **Revolution as the lesser evil:** in **extreme** cases, resistance/revolution — with all its disruption — is "**best for mankind**": better that "rulers should sometimes be liable to be opposed, when they grow exorbitant in the use of their power" than that the people be "always exposed to the boundless will of tyranny." (And in practice, people's **natural caution** means it leads to fighting far **less** often than one might fear.)
- **Toleration** (*A Letter Concerning Toleration*): the state has **no business** in religious belief — (a) belief **can't be coerced** (force can't produce inner conviction); (b) no one would trust a magistrate with their **soul**; (c) people aren't harmed by others' beliefs. **Two big exceptions:** **atheists** cannot be tolerated (no foundation for oaths/promises; and Locke's natural law is religiously grounded) and **Catholics** (allegiance to a foreign power, Rome). Religious *practice* can still be regulated for **secular** reasons (e.g. banning animal slaughter on public-health grounds).

Conclusion — Locke's legacy

Core: the enduring Locke = rule of law, **toleration**, **government by consent**, **moderate markets/property**. But note two limits Waldron flags:

- Locke **gestured at the separation of powers** but **did not develop** it — Montesquieu and *The Federalist* did.
- Locke was **democratic in spirit but not committed to democracy** as a principle — his views on the **franchise** are contested; his one firm position was a **part-time representative assembly** as the supreme legislature. His real legacy is a **foundation for thinking** about right, equality, and power.

Voltaire & the English influence — how Lockean liberalism spread (deck)

Core (deck): Voltaire (1694–1778) carried **English (Lockean) liberalism** to France — a "**cautious liberalism**" that wanted **liberties, not revolution or democracy**.

- Voltaire championed **freedom of speech** and **freedom of the press**, the **separation of church and state**, and **religious toleration**. The deck gives toleration a long lineage: Locke's *A Letter Concerning Toleration* (1689); a Roman **Edict of Toleration (AD 313)**; and Grotius' *Letter of Church Peace* (1613/14). (*The deck attributes the AD 313 edict to Theodosius, but the AD 313 toleration edict is usually the Edict of Milan under Constantine — worth knowing for the exam.*) **Contrast Hobbes**, who gave the sovereign the right of **religious censorship** (Module 2).
- **Habeas corpus** (no unlawful detention — England's Act of **1679**): the right to be brought **before a court**. This is the institutional guarantee of Locke's "**personal freedom**" (the deck's freedom-from-incarceration).
- "**Cautious liberalism**" (**deck's phrase**): early liberals wanted **rights and limited government** but were "**neither revolutionaries nor democrats**" — consistent with Locke's own distance from democracy as a principle. The revolutionary, democratic turn comes later (with Rousseau and 1789).

Cases & examples

- **Filmer's patriarchalism.** Sir Robert Filmer derived royal absolutism from God's grant of fatherly authority to **Adam**. Locke's *First Treatise* dismantles it (Scripture doesn't make Adam's heirs world-

rulers; man & woman equally God's image). → *Illustrates: cutting political power loose from patriarchal/divine-right foundations.*

- **Aboriginal America (labour & property).** Locke argues even the **landless** prosper more in a private-property economy — "a king of a large and fruitful territory [in America]... feeds, lodges, and is clad worse than a day-labourer in England." → *Illustrates: the labour theory of property — and its pro-colonist edge (land not farmed "intensively" is treated as available).*
- **The "appeal to heaven."** When no earthly judge can settle whether a ruler broke the law, the people's last resort. → *Illustrates: the limit of Locke's rule of law and the ground of the right to revolution.*

Key terms

Term	Meaning
State of nature	Pre-political condition of freedom & equality under natural law — but with "inconveniences" (each is judge in own case)
Natural law / natural rights	Rational law of "reason"; rights to life, liberty, property — inalienable
Consent (express/tacit)	The only legitimate source of political authority
Trust	Government holds power in trust to protect rights; break it → forfeiture
Labour theory of property	Property arises by "mixing one's labour," subject to three provisos
Appeal to heaven	Resistance/"revolution" when no earthly judge can decide
Toleration	State out of religious belief — except atheists & (foreign-loyal) Catholics

Exam pointers

- Reconstruct the chain: equality → no natural ruler → **consent** → government as **trust** → **right of revolution**; and explain **hypothetical vs literal** contract.
- Ground Lockean equality in reason (the "power of abstracting," workmanship of God) and explain why rights are **inalienable** (no self-enslavement).
- State the labour theory of property + its **three provisos** + the **subsistence trump** — and the colonist critique.
- Explain Locke **vs Hobbes** on the rule of law: why Waldron says Locke's answer "**is not an answer at all**" institutionally, and the revolution-as-lesser-evil point.

Bridge. Locke **constrains** power by **consent + trust + a right to resist** — but leaves the *institutional* umpire problem unsolved (appeal to heaven). **Montesquieu** answers exactly that gap: don't rely on one contract — **engineer** the constitution so power checks power.

Montesquieu — McClelland, *Enlightenment and Government Through Law* (ch. 16)

Book: J.S. McClelland, *A History of Western Political Thought* (1996), ch. 16, pp. 315–338. Main text: Montesquieu, *De l'Esprit des Lois* / *The Spirit of the Laws* (1748).

Chapter résumé

Montesquieu (1689–1755), a Bordeaux **noblesse de la robe** magistrate, turns the Enlightenment's scientific ambition on politics: laws are "the necessary relations deriving from the nature of things," and a society's whole culture — its **esprit général** — is shaped by **physical causes** (climate, geography) and **moral causes** (religion, custom, government). *The Spirit of the Laws* (1748) is famous for **two doctrines**: the **influence of climate** and the **separation of powers**. Montesquieu classifies governments by **nature + principle** (republic/virtue, monarchy/honour, despotism/fear), prizes **moderation**, and — studying **England** and **Rome** — argues that **liberty** ("tranquillity without fear") is secured by **balancing and separating powers**, not by one social contract. (*Deck aside: his fascination with Rome's rise and fall runs parallel to Edward Gibbon's The Decline and Fall of the Roman Empire* (1776–88); the counter-image throughout is *Louis XIV's absolutism*.)

★ **The heart of the chapter:** laws are not arbitrary — they fit a society's **esprit général** (the mix of climate, geography, religion, custom, history). Governments have a **nature** (their structure) and a **principle** (the passion that drives them: **virtue** in a republic, **honour** in a monarchy, **fear** in a despotism). Since power corrupts, **liberty is secured institutionally** — by **separating the legislative, executive and judicial powers** and **balancing the social estates**, so that "power checks power." Liberty = **security of person and property; tranquillity without fear**.

The red thread. Montesquieu is a **sociologist of law** before the word existed: *why do different peoples have different laws, and what institutional arrangement secures liberty?* Answer: laws must fit the **esprit général**, and liberty needs **moderation + separated/balanced powers**.

Key concepts / "modes" to use

- **Spirit of the laws** / **esprit général** — laws as "relations deriving from the nature of things"; a society's culture = **physical causes** (climate, soil) × **moral causes** (religion, custom, government).
- **The theory of climate** — "climate is the first of all empires"; temperature shapes bodies, passions, and hence manners and government (must sometimes be **legislated against**).
- **Three types + their principles** — republic → virtue · monarchy → honour · despotism → fear (and their *natures* and *ends/objects*).
- **Moderation** — all non-despotic governments are "moderate" (rule **by law**); the wise legislator returns a government to its **first principle**.
- **Pouvoirs intermédiaires** (intermediate/mediating powers) — nobility, chartered towns, the Church, the **parlements** — buffers between king and subject that soften monarchy.
- **Separation of powers** — legislative / executive / judicial, in **different hands**; the answer to the "corrupt sovereign."

- **Mixed government** — a balance of monarchic + aristocratic + democratic elements (Rome; England: king/lords/commons).

Section-by-section main points

| The Spirit of the Laws — laws fit the *esprit général*

Core: the Enlightenment wants **scientific** understanding — bring many phenomena under a few laws. Montesquieu applies this to society: human **positive law** can change (unlike physical/moral law), and good law must fit the society's ***esprit général***.

- **Definition:** laws in general are "**the necessary relations deriving from the nature of things**" — "all beings have their laws" (divinity, matter, beasts, man).
- **The *esprit général*** = the interaction of causes forming a society's whole (moral/social/political) culture: **physical causes** dominate early (climate, soil/landscape), then **moral causes** grow (religion, laws, government, custom, manners). It is the **legislator's "raw material"** — legislate **against** it and your laws will "fail to work" or destroy the society. (So Montesquieu is no fatalist: a wise legislator has "plenty of room for reform" within the *esprit général*, and sometimes must legislate against it.)
- **Not a pure relativist:** Montesquieu still holds **pre-social laws of nature** (peace, self-preservation, sexual attraction, life in society, reasonableness, equality, freedom by birth...) derived from **how humans actually live** — and thinks **nature prompts men to virtue** (the anti-Hobbesian **Troglodytes** parable: a society run on pure self-interest **disintegrates**).

| The theory of climate

Core: "climate is the first of all empires" — a **materialist** doctrine: temperature acts on the body's "fibres" and nerves, shaping passions, manners, and hence forms of government.

- **North (cold):** contracting/expanding fibres → vigorous blood → **courage, confidence, frankness;** hearty pleasures; **fewer vices**.
- **South/East (heat):** relaxed fibres, exposed nerves → **sluggishness, indolence**, but **imagination/sensitivity**; taste for "exotic and wicked pleasures," **monasticism**, despotism. (*Ergo the East's political immobility.*)
- **The legislator's job:** at the **extremes**, climate must be **legislated against** (religion + manners + law together) — but where **all laws point the same way** (China), change is very hard. (*Caveat: this is stereotype-laden 18th-c. "science"; McClelland presents it as Montesquieu's, not as fact.*)

| Types of government and their principles

Core: Montesquieu classifies three types by their **nature** (structure), **principle** (the driving "spring"), and **object** (end). The **principle** is the real insight — the passion **without which** each government **cannot survive**.

- **The deck's framing** — "**Monocracy or Polycracy**" (rule by one vs many). The lecture sets Montesquieu's typology **against Aristotle's** (Module 1): where **Aristotle** paired each good form with a corrupt twin (Monarchy vs **Tyranny** · Aristocracy vs **Oligarchy** · Politeia vs **Democracy/mob-rule**), **Montesquieu** re-cuts it by the **guiding principle** — **Monarchy (Honour)** vs **Despotism (Fear** — cf

Hobbes) vs **Republic (Virtue)**. The deck's sharp line: **Hobbes merely replaced fear in the state of nature with fear of the state; Montesquieu wants the opposite — good government = security of person and property, "tranquillity without fear."**

Type	Nature (structure)	Principle (its "spring")	Notes
Republic (democracy or aristocracy)	the people (or part) are sovereign	Virtue — love of country, self-sacrificing passion for equality & frugality	Needs to be small ("face-to-face"); Sparta/Athens/ Rome at their best; a "thing of the past" for large modern states
Monarchy	one person ruling by fixed/constitutional laws	Honour — ambition/rank (roots in the medieval knightly code)	Moderate ; tends to degenerate into despotism unless a real constitutional law and pouvoirs intermédiaires check the king
Despotism	one man ruling without law , by caprice	Fear	The form he most dislikes : unstable, "silence of the subjugated," corrupt; "despotism begins with sleep"

- These principles are *negative definitions*: *without* virtue a republic can't survive; *without* honour/fear a monarchy/despotism can't. And the legislator's crucial task is to **return a decayed government to its first principle** (from Machiavelli's *Discourses*).
- All non-despotic government is "moderate" — i.e. government according to law (close to Aristotle). Despotism alone is lawless.
- Rome as the great case: its class war (patricians vs plebs) kept a **balance** (tribunes checking consuls/senate) → moderate, free, long-lived. Its **fall**: success as a **conquering power** → too big → virtue declined → private opulence → factions → civil war → emperors/tyranny. (He distinguishes *historical "causes"* — long-term, systemic, irreversible — from "*occasions*" — accidental triggers like a particular Caesar.)

Monarchy, the *noblesse* and the *pouvoirs intermédiaires*

Core: monarchy is **moderate** but corruptible; what keeps it from despotism are **intermediate powers** that make royal power flow "through the proper channels."

- The **noblesse de la robe** (the legal aristocracy — Montesquieu himself) are the "**natural guardians**" of the constitution: they **mediate** between the king's will and the subjects.
- **Pouvoirs intermédiaires** = nobility, chartered/incorporated towns, Church privileges, and above all the **parlements** (provincial law-courts exercising a kind of **judicial review** of royal edicts). *This is why he defends "feudal" privileges — given monarchy's corruptibility, only an independent legal channel can "moderate autocratic pretension" and secure the feeling of liberty.*

★ The separation of powers — the case of England

Core: liberty = the feeling of **security within the law** ("tranquillity without fear"), and it is secured where **not all the powers of government are in the same hands**. England is the model.

- **The doctrine:** the **legislative, executive, and judicial** powers should be **balanced, independent, and in different hands**; the closer they connect, the higher the risk of **despotism** — "power checks power." (*This is the answer to Hobbes's and Locke's problem of the corrupt sovereign: don't trust a person — divide the office.*)
- **England (studied 1729–31):** its animating spirit and **end** is **liberty** (unlike Rome, whose end was virtue). Liberty is preserved by the **independence of the judiciary** (carried furthest in England: **trial by jury** — ad hoc juries decide guilt, judges sentence; judges serve "during good behaviour," not the king's pleasure; the Lords as supreme tribunal), and the division between **Parliament (legislative)** and **king (executive)**.
- **The honest caveat (McClelland):** Montesquieu is **accused of naïveté** — in Hanoverian England the powers were **not** really separate (the king shared the legislative via **veto** and **patronage**; ministers sat in Parliament). Montesquieu chose to see England through the eyes of the **anti-Walpole opposition**.
- **What really preserved English liberty (McClelland's reading):** not *pure* separation, but **mixed government** (king/lords/commons sharing sovereignty) kept honest by an outside corrective — the "**King Mob**," a half-tolerated "Fourth Estate" whose **riots** (like the Roman plebs) keep the aristocratic/monarchic parts from over-reaching. (*Montesquieu's admiration for republican Rome rested on the same idea: the "turbulence of the people" as a self-correcting brake.*)
- **Two Montesquieus (the payoff):** the **separation-of-powers** Montesquieu wants to make government **difficult** (check power); the **mixed-government** Montesquieu wants to make it **easy** (balanced cooperation). The **American founding** debate — **Jeffersonian** (minimal) vs **Hamiltonian** (strong central) government — is a debate *between the two Montesquieus*. Republics can be large if **federated** (the Greek leagues; *The Federalist Papers* — "the USA is Homer's revenge").

Cases & examples

- **The Troglodytes (*Persian Letters*).** A people throw out their king and live by pure self-interest (a Hobbesian state of nature) → society **disintegrates**; only two families survive by living **virtuously**, and prosper. → *Illustrates: Montesquieu's anti-Hobbes — some virtue is natural and necessary for any society to function.*
- **Rome — rise and fall.** Class war (patricians/plebs) produced **balance** and longevity; **conquest and opulence** killed **virtue** → factions → civil war → despotism. → *Illustrates: the **principle doctrine** (virtue sustains a republic) and **causes vs occasions**.*
- **England.** Separation of powers + independent judiciary + trial by jury + the "King Mob" corrective. → *Illustrates: **liberty secured institutionally** — the model for modern constitutionalism.*
- **The French *parlements*.** Provincial courts exercising judicial review of royal edicts (Montesquieu was a *président à mortier*). → *Illustrates: pouvoirs intermédiaires — an independent legal channel that moderates monarchy.*

Key terms

Term	Meaning
<i>Esprit général</i>	A society's whole culture, formed by physical (climate/soil) × moral (religion/custom/government) causes
Spirit of the laws	Laws as "the necessary relations deriving from the nature of things" — they must fit the <i>esprit général</i>
Theory of climate	Temperature shapes bodies/passions → manners & government; must sometimes be legislated against
Nature / principle / object	A government's structure / driving passion (virtue·honour·fear) / end
Moderation	Government by law (all non-despotic forms); return to "first principle"
Pouvoirs intermédiaires	Intermediate powers (nobility, towns, Church, <i>parlements</i>) buffering monarchy
Separation of powers	Legislative/executive/judicial in different hands → liberty ("power checks power")
Mixed government	Balance of monarchic + aristocratic + democratic elements (king/lords/commons)

Exam pointers

- Explain the *esprit général* and the climate theory — laws must fit a society's nature (and its limits/critique).
- Reproduce the three types + principles table (republic/virtue, monarchy/honour, despotism/fear) and the "return to first principle" idea.
- State the separation of powers precisely (three powers, different hands, "power checks power") and use England — including the *naïveté* caveat and the **mixed-government** / "King Mob" reading.
- Contrast Montesquieu **with Locke and Hobbes**: he secures liberty by **institutional design**, not by one social contract; "**tranquillity without fear**."

Bridge. Montesquieu answers Locke's unsolved umpire problem with **institutions** (separated, balanced powers). **Rousseau** pushes the *other* way — not on institutions but on **legitimacy**: what would make obedience *fully* compatible with freedom? His answer, the **general will**, reframes who "the people" are — which **Wollstonecraft** then asks *includes whom?*

Wollstonecraft — *A Vindication of the Rights of Woman* (Dedication + Introduction)

Text: Mary Wollstonecraft, *A Vindication of the Rights of Woman* (1792) — the **Dedication** "To M. Talleyrand-Périgord, Late Bishop of Autun" and the **Introduction** (the only assigned sections).

Reading résumé

Wollstonecraft (1759–1797) turns the Enlightenment's **own premise against it**: if **rights and dignity follow from Reason**, and women possess reason, then **women must share those rights** — above all the right to a real **education**. A supporter of the French Revolution disillusioned by its **denial of rights to women**, she argues (in the **Dedication**) that the new French constitution is **incoherent** if it excludes half the human race, and (in the **Introduction**) that a **false, ornamental education** — designed by men to make women "**alluring mistresses**" rather than "**rational wives**" — has deliberately kept women weak. Gender hierarchy is **socially constructed, not natural**.

★ **The heart of the reading**: the Enlightenment says **rights and virtue flow from reason** — so "by a **parity of reasoning**" the rights of woman "will not shrink from the same test" as the rights of man. Women are made weak and vain not by **nature** but by a **miseducation** that trains them to please men instead of developing their minds. Give women **education** and rights, and they become **rational wives, mothers, and citizens**; deny them, and you "render both men and themselves vicious." "**The first object of laudable ambition is to obtain a character as a human being, regardless of the distinction of sex.**"

The red thread. Two moves: (1) *consistency* — the rights of man **logically entail** the rights of woman (Dedication); (2) *diagnosis* — women's apparent inferiority is the **product of miseducation**, not nature, and the cure is **reason/education** (Introduction).

Section-by-section main points

■ **The Dedication — "To M. Talleyrand-Périgord": rights of man ⇒ rights of woman**

Core: Wollstonecraft addresses the French legislator (author of a report on national education that excluded girls) and argues that the **principles of the new constitution demand the inclusion of women** — not as special pleading but as **logical necessity**.

- **The consistency challenge**: if the abstract **rights of man** withstand scrutiny, then "those of woman, by a parity of reasoning, will not shrink from the same test." She throws Talleyrand's own words back: excluding half the race from government is a "**political phenomenon** that... it is impossible to explain" — so "**on what does your constitution rest?**"
- **Reason is not sex-specific**: "*Who made man the exclusive judge, if woman partake with him the gift of reason?*" Legislators who "crush reason" while claiming to "usurp its throne only to be useful" are acting "**like tyrants.**"
- **The civic stakes — education & motherhood**: a woman's **moral development** needs an education grounded in **reason**, not sentiment; and "**if children are to be educated to understand the true principle of patriotism, their mother must be a patriot.**" (*Women's rights aren't only for women — a republic needs rational mothers to raise citizens.*)
- **The corruption argument**: treat women as objects of desire rather than rational agents, and you corrupt **both sexes** — "**if women are not permitted to enjoy legitimate rights, they will render both men and themselves vicious, to obtain illicit privileges.**"

| The Introduction — false education makes women weak

Core: the misery and weakness of women trace to a "neglected/false education" designed for male pleasure, which sacrifices women's strength and usefulness to beauty.

- **The botanical metaphor:** like flowers "planted in too rich a soil," women have had "strength and usefulness sacrificed to beauty" — grown showy but useless.
- **The root cause — books "written by men":** authors who, "considering females rather as women than human creatures, have been more anxious to make them alluring mistresses than rational wives." So women are trained to "inspire love, when they ought to cherish a nobler ambition."
- **Against the "Mahometanism" of treating women as sub-human:** women are treated as if they were not "a part of the human species, when improvable reason is allowed to be the dignified distinction which raises men above the brute creation."
- **The attack on Rousseau (crucial link):** she admires Rousseau's genius, but "indignation always takes place of admiration" at his prescriptions for female education — his Sophie (in *Émile*) is designed to please men and be kept dependent and governed by fear. Rousseau and his followers have "contributed to render women more artificial, weaker characters... and, consequently, more useless members of society." (*This is the direct quarrel the deck flags: Wollstonecraft vs Rousseau on women's education.*)
- **Physical vs moral inferiority:** she concedes men's greater physical strength ("in the government of the physical world... the female... is inferior to the male") — but this gives no warrant for keeping women intellectually stunted. Nature provides physical differences; it does not provide social hierarchies.
- **Dignity through reason, not "accomplishments":** she dismisses "soft phrases, susceptibility of heart, delicacy of sentiment" and "fascinating graces" as weakness dressed up as virtue. The aim: "to obtain a character as a human being, regardless of the distinction of sex." Ornamental education (a "smattering of accomplishments") makes women dependent, cunning, and prone to a "propensity to tyrannize."
- **Method & audience:** she deliberately rejects "flowery diction" — "I aim at being useful, and sincerity will render me unaffected"; she wishes "to persuade by the force of my arguments, [rather] than dazzle by the elegance of my language." She addresses mainly the middle class, as "in the most natural state" (uncorrupted by wealth or crushed by poverty).

Cases & examples

- **Rousseau's Sophie (*Émile*).** Rousseau designs the ideal woman to be charming, dependent, and educated only to please her husband. Wollstonecraft makes this her prime target. → *Illustrates: the miseducation thesis — even a great Enlightenment mind reasons women into weakness; the Wollstonecraft-vs-Rousseau clash.*
- **Talleyrand's education report.** His plan for French national education excluded girls from the rights the Revolution proclaimed. → *Illustrates: the consistency argument — the rights of man are incoherent if they exclude women.*

Key terms

Term	Meaning
Parity of reasoning	Rights of man $\Rightarrow$ rights of woman — the same test applies to both
Reason	The Enlightenment ground of rights/dignity — not sex-specific
Education	Wollstonecraft's key lever: rational education makes women rational wives/mothers/citizens
"Alluring mistresses" vs "rational wives"	The false (male-designed) vs true aim of women's formation
Socially constructed hierarchy	Gender hierarchy is made by society/education, not by nature (which gives only physical difference)

Exam pointers

- State the consistency argument ("by a parity of reasoning") — how she uses the **rights of man** to demand the **rights of woman**.
- Explain the miseducation thesis: women made weak by an education for **male pleasure**; the cure is **reason/education**; hierarchy is **constructed, not natural**.
- Use the Rousseau/Sophie clash as the worked example — and connect to the deck's question "did 'the people' include women?"
- Give her civic point: rational **mothers** are needed for a free republic (education is a **public**, not merely private, matter).

Bridge. Wollstonecraft completes the module's arc: Locke/Montesquieu/Rousseau **constrain and re-ground** power, but still leave "**the people**" implicitly male. She turns the Enlightenment's **own standard** — **reason** — into a demand for **inclusion**: the rights of man are empty until they are also the rights of woman.

Rousseau — McClelland, *Social Contract III* (ch. 13) (optional)

Book: J.S. McClelland, *A History of Western Political Thought* (1996), **ch. 13, pp. 250–274**. Main text: Rousseau, *Du contrat social / The Social Contract* (1762). (Marked **optional** by the lecturer — lighter treatment; the essentials for the module's "who are the people?" thread.)

Résumé & key ideas

Rousseau (1712–1778) accepts the social-contract form but pushes it to a **radical** conclusion: a legitimate contract must let each person "**obey himself alone and remain as free as before**." His device is the **general will** (*volonté générale*) — and his slogan, "*Man is born free, and everywhere he is in chains*," is both a political and a **moral** indictment of existing society.

★ **The heart:** ordinary society divides us against ourselves (self-interest vs conscience) and makes us **unfree and unequal**. The way out is a contract in which each person surrenders everything to the whole and receives citizenship back: "**Each of us puts his person and all his power in common under the supreme direction of the general will.**" Obeying the **general will** is obeying your own **real will** as a citizen — so you are **free while being ruled**. The people are **sovereign**; but who they are, and who speaks for them, is the problem the next century (and Wollstonecraft) presses.

- "Man is born free..." — a **moral** statement: those who do "best" in a corrupt society are its **greatest slaves** ("one thinks himself the master of others, and still remains a greater slave than they"). Freedom = distance *back* toward natural innocence.
- **Two states of nature (contra Hobbes):** natural inequality is **harmless**; it's **society** (force and fraud) that turns it into the **inequality of rich and poor** that "really matters." So Rousseau is **anti-Hobbesian** and **anti-Lockean**: he won't accept liberty as a "more-or-less" trade of freedom for security. For him liberty is "**either-or**" — either wholly free or not free at all.
- **The general will (*volonté générale*):** when a sovereign people assembles **as equals**, each consults the **same** shared interest, so its decisions are **unpredictable and therefore free** (a choice fixed by private self-interest isn't free). The **Sovereign** (the active people) "merely by virtue of what it is, is always what it should be" — acts of the general will **can't be wrong** (≠ merely what a majority happens to want).
- **The Legislator:** a people used to being ruled by self-interest may need a "**perfect outsider**" — the **Legislator** — to help them see what they **really** will and to give them a system of **civic values** (including a civil religion).
- "Forced to be free" (**his most famous paradox**): a dissenting minority **coerced** to follow the general will is being "forced to be free" — coerced back to their **own real will**. This rests on **positive liberty** (freedom as **self-fulfilment / self-mastery**, my "better self" ruling my "worse self"), as opposed to the **negative liberty** ("freedom from") that **liberals** insist on. (*McClelland: this is the seed of the whole modern totalitarianism debate — Rousseau was even blamed for the French Revolution by Burke.*)
- **Citizen vs subject:** we are **citizens** (active) when we help **make** law, **subjects** (passive) when we **obey** it — obeying laws we ourselves authored.

Why it matters for the module (the link to Wollstonecraft)

Rousseau makes **the people sovereign** and freedom **collective** — but leaves wide open **who "the people" are** and **who expresses their will** (the deck's pointed question: *did "the people" include women?*). His own answer excluded women (his **Sophie** is educated only to please men) — which is **exactly** what **Wollstonecraft** attacks. So even in an "optional" role, Rousseau is the **hinge** to the module's climax: the Enlightenment enlarges *and* exposes the boundaries of "the people."

Key terms

Term	Meaning
General will (<i>volonté générale</i>)	The shared will of the people as sovereign — obeying it = obeying your real (citizen) self
"Man is born free..."	Moral + political indictment: society, not nature, enslaves; the "master" is the greater slave
Legislator	The wise outsider who helps a people see what it really wills + founds its civic values
Forced to be free	Coercing a dissenter to the general will = returning them to their own real will (positive liberty)
Positive vs negative liberty	Self-mastery/self-fulfilment vs "freedom from" interference (liberals insist on the latter)
Citizen vs subject	Active (law-making) vs passive (law-obeying) — the same persons in two capacities

Exam pointers (*optional topic*)

- Explain the general will and why Rousseau says the Sovereign "is always what it should be."
- Unpack "forced to be free" via positive vs negative liberty — and why **liberals** reject it.
- Use Rousseau as the bridge to "who are the people?" and the **Rousseau–Wollstonecraft** clash on women.

(Anchor: *general will* — see the résumé above.)

★ Synthesis — how the four answer the module's two questions

Core: the deck's spine is two questions — *how is power constrained?* and *who are "the people"?* Here is the whole module on one page.

Thinker	Human nature	What secures liberty / good rule	Who are "the people"?
Locke	social, rational; "born free & equal"	consent + trust + rule of law + right of revolution ; protect natural rights	property-holding men (democratic <i>in spirit</i> , not committed to democracy)
Montesquieu	shaped by <i>esprit général</i> (climate/custom)	separation & balance of powers ; moderation; "tranquillity without fear"	the estates (king/lords/commons) in balance — incl. a " King Mob " corrective
Rousseau (opt.)	born free & good; corrupted by society	the general will ; people both sovereign & subject; "forced to be free"	the assembled people as sovereign — but <i>who counts?</i> left open (excludes women)
Wollstonecraft	rational — regardless of sex	extend reason, rights & education to women ; hierarchy is constructed	"the people" must include women — the rights of man ⇒ rights of woman

The movement: from **constraining** power (Locke → Montesquieu) to **whose** reason and consent count (Rousseau's open question → Wollstonecraft's answer). All four share the Enlightenment premise — **reason, not birth or divine right, legitimates authority** — but they disagree on the institutions and on the boundaries of "the people."

★ Reading questions — worked answers (the deck's "For Consideration")

1 · What were the Enlightenment's basic messages about human nature?

Answer: humans are **rational** (reason is the mark that raises us above beasts and grounds our rights/dignity), **naturally free and equal**, and **improvable** (Locke's *tabula rasa* — we learn from experience). Against Hobbes's fearful egoist, the Enlighteners lean toward humans as **social** (Locke, Montesquieu's Troglodytes) and educable (Wollstonecraft). Reason is **not** the property of one sex or class.

2 · What kind of government did they prefer — and why?

Answer: **constrained, law-bound, moderate** government — *not* Hobbesian absolutism and (mostly) *not* democracy either.

- **Locke:** government by **consent**, holding power **in trust** to protect natural rights, with a **right of revolution** if it breaks trust; a **representative legislature** as supreme.
- **Montesquieu:** **constitutional monarchy** with **separated powers** and **balanced estates** (a republic being impossible for large modern states); liberty = "tranquillity without fear."
- **Rousseau (opt.):** a **republic** expressing the **general will**, with the people **sovereign** (radically democratic in principle, but demanding).

- **Wollstonecraft:** a rights-and-reason-based order that **includes women** — the form matters less than the **inclusive principle**. (*Common thread: legitimacy comes from **reason and consent**, and power must be **limited** — by law, by institutions, or by the people's will.*)

3 • Who were "the people" — inclusion and exclusion?

Answer: the Enlightenment **expanded** "the people" in principle (all rational beings) while **excluding** many in practice.

- **Locke:** effectively **property-holding men** (franchise views contested).
- **Montesquieu:** the **estates** in balance — not a democratic "people."
- **Rousseau:** the **assembled sovereign people** — but he leaves **who counts** unclear and **excludes women** (Sophie).
- **Wollstonecraft:** presses the contradiction — if rights follow from **reason**, "the people" **must include women**. → *This is the module's punchline: the Enlightenment's universal premise (reason) kept colliding with its narrow practice — and Wollstonecraft turned the premise against the exclusion.*

4 • Locke vs Montesquieu vs Rousseau — how do they constrain power differently?

Answer: **Locke** constrains power **externally** (consent + trust + the threat of **revolution**), but leaves the institutional umpire unsolved ("appeal to heaven"). **Montesquieu** constrains it **internally/institutionally** (**separate and balance** the powers so "power checks power"). **Rousseau** dissolves the problem differently — power is legitimate only as the **people's own general will**, so obeying it is obeying yourself. (*Locke = rights + resistance; Montesquieu = institutional design; Rousseau = popular sovereignty.*)

★ Fun facts & memorable details

Sticky bits from Module 4 (Locke • Montesquieu • Wollstonecraft • Rousseau).

Locke

- Locke published the *Two Treatises* **anonymously** (1689) — a "call for a revolution" so dangerous it "might easily have cost the author his life" had it appeared in the 1680s.
- His epistemology and politics **distrust intellectual pretension**: the *Treatises* warn that "the busy mind of man" can "carry him to a brutality below the level of the beasts."
- Waldron's zinger on Locke vs Hobbes on the rule of law: it is "**not an answer at all**" to the institutional problem — both end at "an appeal to heaven" (i.e. **fighting**).
- Locke **wouldn't tolerate atheists** — not out of bigotry alone but because his whole system of rights is **religiously grounded** (we are God's "workmanship").

Montesquieu

- A **beggar** was made one of Montesquieu's godparents so he'd remember all his life that "**the poor are our brothers.**"
- His scholar's motto: "**read much and note little.**"
- "**Climate is the first of all empires**" — he half-seriously blamed **hot weather** for despotism and **monasticism**, and joked you'd have "to flay a Muscovite alive to make him feel anything at all."
- "**Despotism begins with sleep.**" And he thought even a *benevolent* despot can't really rule a big empire — his governors become "**petty tyrants.**"
- The "**two Montesqueius**" (separation of powers vs mixed government) map onto the **Jefferson vs Hamilton** fight over the US Constitution.

Wollstonecraft

- She wrote *A Vindication of the Rights of Men* (1790) **before** the one on **Woman** (1792) — part of the "**Revolution Controversy**" answering Edmund Burke.
- Her target in the Introduction is **Rousseau's Sophie** — she **admired** his genius but felt "**indignation**" at his idea that women should be educated only to **please men.**
- Her rallying line: "**the first object of laudable ambition is to obtain a character as a human being, regardless of the distinction of sex.**"
- Deliberately plain style: "**I aim at being useful, and sincerity will render me unaffected**" — she refused "flowery diction."

Rousseau (*optional*)

- "**Man is born free, and everywhere he is in chains**" — nine words that "sum up the entire history of the human race."
- The man who wrote *Émile* (on education) deposited **all five of his own children** in the Foundling Hospital.

Module 5: American and French Experiments — Social Liberalism and Liberal Democracy (1830–1873)

Readings: Welch, 'Tocqueville' (*Political Thinkers*, ch. 17, pp. 288–306) • Tocqueville, *Democracy in America* (1835) • J. S. Mill — *On Liberty* (1859), *Considerations on Representative Government* (1861), *The Subjection of Women* (1869) • Backhouse, *Penguin History of Economics* (pp. 157–59, 165–69) • Cassidy, 'Is America an Oligarchy?' (*New Yorker*, 2014).

Theme of the module. Modules 1–4 asked *how do we justify and constrain political authority?* Now the **age of democratic revolutions** (America 1776, France 1789) has actually **built** popular government — so the question shifts from *whether* the people should rule to **how a society of equals can rule itself without destroying liberty.** Both thinkers are **liberals writing after the revolutions**, worried that **democratic equality** and **majority rule** could crush the individual. **Tocqueville** answers *sociologically* (democracy is a **social condition**; its dangers are cultural — conformity, individualism, "soft despotism"; the antidote is **participation**). **Mill** answers *philosophically* (protect a fenced-off zone of individual liberty

with the harm principle, and design **representative government** so no interest is left out). Together they define "**social liberalism**" / **liberal democracy**: democracy is accepted as inevitable and good, *but* it must be **civilised by liberty**.

★ **The red thread — the two thinkers in ONE idea each** (everything below hangs off these):

- **Tocqueville** → democracy is **equality of social conditions**, not a set of institutions — an **irresistible** historical tide. Its *political* danger is new: not a tyrant but the **tyranny of the majority** and a mild, tutelary "**soft despotism**" bred by **individualism**. The antidote is **political participation** — local self-government, juries, associations, religion — which pulls atomised individuals back into public life.
- **Mill** → the individual must be **sovereign over the self-regarding sphere**: society may coerce a person **only to prevent harm to others** (the **harm principle**). **Representative government** is the ideally best polity because participation both **protects** every interest ("no guaranty" for the excluded) and **improves** citizens' character — and its logic "**knows no gender difference**" (*The Subjection of Women*).
- **The shared problem**: how to reconcile **liberty** with **democratic equality** / **majority rule** — "*under what conditions could a society of equals also be a free people?*"

★ **Lecture 5 (BAP) — After the Revolutions: reconciling freedom with democratic equality**

The lecture (**Benjamin Ask Popp-Madsen**) sets the 19th-century stage — the aftermath of the American and French revolutions — then reads **Tocqueville** and **Mill** as the two great attempts to make the new democratic age **safe for liberty**. This section carries the deck's **framing** (historical context; the birth of Left/Right; ancients-vs-moderns); the Tocqueville and Mill readings follow.

Historical context: the modern revolutions and their aftermath

Core: Tocqueville and Mill write in the **long wake of two revolutions** that turned "popular sovereignty" from theory into fact — but where **America stabilised** into a working constitutional democracy, **France lurched** through republic, empire, monarchy and back for 60 years. That contrast is the lecture's puzzle: why did one democratic experiment hold and the other keep collapsing?

American Revolution	French Revolution & aftermath
1775–83 Revolutionary War	1789 Revolution; <i>Declaration of the Rights of Man</i>
1776 Declaration of Independence	1792 monarchy abolished (First Republic)
1787–88 state constitutional conventions	1804 Napoleon crowned emperor
1789 Constitution ratified	1815 monarchy restored
1791 Bill of Rights / First Amendment	1830 July Revolution → July Monarchy
1861–65 Civil War	1848 Revolution → Second Republic ; 1851 coup → Second Empire (Napoleon III)

Read the two columns side by side: America builds **one** durable constitution (1789) with entrenched rights; France cycles through **five-plus** regimes. Tocqueville — a French aristocrat — crosses the Atlantic (1831) precisely to learn from the stable case what France keeps getting wrong.



How to read it (why this painting, here). Delacroix painted this to commemorate the **July Revolution of 1830** — the exact event on the French timeline that produced the "July Monarchy." It is the emblem of the **democratic tide** the module is about: "the people," of all classes (top hat beside street boy), pouring into the streets to claim sovereignty. Tocqueville's whole project is to ask what happens *after* the

barricades — once "the people" actually rule, how do you keep that energy from curdling into either **anarchy** or a new **despotism**?

Political thought after the revolutions: the birth of Left, Right & the modern ideologies

Core: the revolutions **reorganised political thought itself**. The very words "**Left**" and "**Right**" come from where deputies sat in the French National Assembly (1789); out of the rubble come the three **modern ideologies** — **liberalism, conservatism, socialism** — each a different answer to the new master-question: *now that "the people" are sovereign, how should they govern, and which institutions express "the will of the people"?*

- **The new master-question — popular sovereignty.** Everyone post-1789 accepts, at least rhetorically, that legitimacy flows **from the people**. The fight is no longer *king vs people* but *how* the people rule: directly or through **representation**? Majority rule *unlimited*, or **checked** by rights? Who even counts as "the people"? (Recall Module 4's unfinished business — Wollstonecraft's question of *who is included*.)
- **The three ideologies as reactions** (deck; developed next module):
 - **Liberalism** — protect the **individual** and their liberty *from* the state and *from* the majority (Tocqueville, Mill).
 - **Conservatism** — distrust abstract revolutionary reason; defend tradition, gradual change (Burke — next module).
 - **Socialism** — equality must be **social and economic**, not merely political/legal.

Ancients vs moderns: how the revolutions redefined "liberty" and "the people"

Core: the reading that frames both thinkers is **Benjamin Constant's *The Liberty of the Ancients Compared with that of the Moderns*** (1819): **ancient liberty = collective self-rule** (directly sharing in sovereignty), **modern liberty = private independence** (security to enjoy your own life, protected by rights). Modern, large, commercial societies **cannot** run on direct participation — so they need **representation** — but Constant warns that if moderns forget public life entirely, they will let despotism return while they mind their private pleasures. *This is the exact hinge Tocqueville and Mill work on.*

- **Constant's two liberties** (deck quotes):
 - *Ancient liberty* "consisted of the active and constant participation in the collective power" — "exercising, collectively, but directly, several parts of the whole sovereignty."
 - *Modern liberty*: "The aim of the moderns is the enjoyment of security in private pleasures; and they call liberty the guarantees accorded by institutions to these pleasures."
- **The scale problem (why moderns must represent, not assemble).** *The Federalist* no. 63 (1788) makes the same move: what really distinguishes modern America from ancient democracy is "**the total exclusion of the people, in their collective capacity**" from *directly* governing — the people rule **only through representatives**. Representation is not a betrayal of democracy; for a large state it is the **only** feasible form.
- **The danger built into modern liberty (the bridge to Tocqueville & Mill).** If citizens cash in public participation for private comfort, they hand the field to power. Constant's worry becomes

Tocqueville's "soft despotism" (individuals retreat into private life; a mild state manages them) and shapes Mill's insistence that representative government must keep citizens **actively** participating, not passive. → Both thinkers try to graft a dose of **ancient** participatory liberty back onto a **modern** society of private individuals.

Alexis de Tocqueville — *Democracy in America* (Welch, *Political Thinkers*, ch. 21)

Reading: Cheryl Welch, 'Tocqueville', in D. Boucher & P. Kelly (eds), *Political Thinkers* (2003), **ch. 21**, pp. 388–407. (The syllabus lists this as "Cheryl French, ch. 17, pp. 288–306" — that is a slip; the chapter is by Welch and paginates 388–407.) Primary source discussed: Tocqueville, *Democracy in America* (vol. i 1835, vol. ii 1840), with his later *The Old Regime and the Revolution* (1856).

Résumé. Tocqueville — a young French aristocrat — spent **nine months in America** (1831) and came back with a thesis that reframed the whole debate: **democracy is not a set of institutions but a social condition** — "equality of conditions" — and it is an irresistible, providential tide sweeping Europe. His life's question: "under what conditions could a society of equals also be a free people?" America is his laboratory and Europe's "**mirror of the future**." He is at once **hopeful** (Americans really have built a free society of equals) and **afraid** (equality breeds new, distinctively democratic dangers — the tyranny of the majority, individualism, and a mild "soft despotism"). His answer is sociological: **political participation** — local self-government, juries, and above all **civil associations** — is the "art of being free" that pulls atomised individuals back into public life. Welch reads him not as a system-builder but as a **philosophical historian** of democracy's culture, and is sharply critical of his views on **religion and women**.

★ Tocqueville's red thread: equality is the "**providential fact**" of the modern age — unstoppable, and to be **guided, not resisted**. Its gift is prosperity and self-government; its curse is a new, gentle servitude that grows out of **equality → individualism → withdrawal from public life → soft despotism**. The **antidote is participation**: associations turn "self-interest well understood" into public spirit. "A new science of politics is indispensable to a new world."

Key concepts to apply: equality of conditions • *democracy as a social state* • political sociology / *mœurs* • tyranny of the majority (conformity of opinion) • individualism (vs egoism) • soft / tutelary despotism • centralization • associations & local liberty • self-interest well understood (intérêt bien entendu) • the *comparative method* (democracy vs aristocracy).

What is "democracy"? — equality of social conditions, not a form of government

Core: Tocqueville uses "democracy" as a *social*, not a political, word. It means equality of conditions — a society with **no hereditary aristocracy, careers open to all** — and *all the passions and habits that equality breeds*. Institutions (elections, assemblies) are downstream; the **social state** is the cause.

- The "**fundamental fact**." On arriving in America "nothing struck me more forcibly than the **general equality of conditions**" — "the fundamental fact from which all others seem to be derived." Equality "creates opinions, engenders sentiments, suggests the ordinary practices of life, and modifies

whatever it does not produce." *In plain terms*: flatten the social hierarchy and you change **how people think, feel and live**, not just how they vote.

- **Democracy vs aristocracy (his master contrast)**. Democracy's opposite is **aristocracy** — a **caste society** of hierarchy, inequality and mutual dependence between ranks. Tocqueville always thinks by **comparing the two ideal-types** (his method). (*Aristocracy "made a chain of all the members of the community, from the peasant to the king; democracy breaks that chain."*)
- A "**providential fact**" — **irresistible**. Surveying 700 years of French history, every event — Crusades, communes, gunpowder, printing, Protestantism, commerce — turned "to the advantage of equality." So: "**The gradual development of the equality of conditions is a providential fact... it is universal, it is durable, it constantly eludes all human interference.**" To resist democracy is "to resist the will of God." → The question is therefore **never whether democracy, only how** to make it free instead of despotic.
- **The two intentions of the book** (deck): one **descriptive** — study America as democracy's "mirror of the future" for a Europe heading the same way; one **normative** — build "an institutional theory of how to combine **individual freedom with democratic equality**." The book is written under "a kind of **religious dread**," and issues its famous mandate: "**A new science of politics is indispensable to a new world**" — democracy "cannot be stopped, but it is not yet so rapid that it cannot be **guided**."

Method: political sociology — society *beneath* institutions (and how it differs from Hobbes)

Core: Tocqueville's method is **empirical political sociology**: he studies the **culture** of democracy — its "inclinations, character, prejudices and passions" — the **mœurs (mores)** that lie *beneath* formal institutions and make them actually work. This is the sharp contrast with the **social-contract tradition** (Hobbes).

- **Politics rests on the social**. For Tocqueville, the **social, civil society, and culture are the foundation of the political**. "The social norms, relations and 'life-forms' of civil society" are what make formal institutions function. *In plain terms*: a constitution is only paper; whether it produces freedom depends on the **habits and beliefs of the people underneath it**.
- **Three causes of a society's character** (echoing Montesquieu): **circumstances (geography), laws, and mœurs (mores)** — and he ranks **mœurs the most important**. (Recall Module 4: Montesquieu's *esprit général*.)
- **Vs Hobbes (the reading-question contrast)**. Hobbes builds politics from an **abstract thought-experiment** — imagine a "state of nature," deduce the social contract. Tocqueville does the **opposite: no thought-experiments, just empirical observation and comparison** of really-existing societies (democratic America vs aristocratic Europe). Where Hobbes reasons *deductively* from human nature to the sovereign, Tocqueville reasons *inductively* from **social conditions to political culture**. (*Welch: he is less a political scientist than a "philosophical historian" of democracy's culture — closer to later histories of mentalités and even to Weber's "ideal-types."*)
- **Welch's caution**. His ideal-types ("mother ideas," *idées mères*) sometimes "**seduced him**" — he occasionally "spun out deductions" from them and confused the deduction with reality. Useful nuance: *a method that reads culture is powerful but can slide into projecting the model onto the facts.*

Individualism — the disease equality breeds

Core: Tocqueville coins "individualism" as a technical term — and it is **not** the same as selfishness. It is the **calm, considered withdrawal** of each citizen into private life, cutting the social bonds that collective self-government needs.

- **Definition** (2nd *Democracy*): "the habit of thinking of oneself in isolation and imagining that one controls one's own destiny," which "disposes each citizen to **cut himself off from the mass of his fellow men and withdraw into the circle of family and friends.**" It is a "**reflective and tranquil sentiment**" — not a hot vice like egoism, but a cool shrug.
- **Individualism vs egoism.** *Egoism* = passionate, exaggerated **self-love** (an old vice, found everywhere). *Individualism* = a **new, democratic** disposition to **quietly disengage** from public life. Egoism is a sin of the heart; individualism is a **mistaken judgement** that you don't need anyone else.
- **Why equality causes it.** In an aristocracy everyone is **linked in a chain** of duties up and down the ranks. Equality **snaps the chain**: "Those who went before are soon forgotten; of those who will come after no one has any idea... democracy breaks that chain, and severs every link of it." Each person, owing nothing to anyone, retreats into a small circle — and **public life empties out.**
- **The slide to atomisation.** Tocqueville is an early prophet of the sociology of **modernity**: individualisation → **atomisation** → **indifference**. Welch links it forward to **Durkheim's *anomie*** and even suicide — the psychic vacuum left when there is "no common core of truth at the centre of collective life." (Difference from Durkheim: Tocqueville does **not** trust that modern industry will spontaneously produce a new social bond.)

The first danger: tyranny of the majority (and the conformity of opinion)

Core: universal (male) suffrage makes **the majority** an **unbounded power** — and its most insidious form is not force but **the tyranny of opinion**: in a society where the majority is the highest court of appeal, everyone falls silent and conforms.

- **A reinvented concept of tyranny.** Classic tyranny = one despot crushing bodies. Democratic tyranny = **the majority crushing minds**. With nothing above majority will — no king, no aristocracy, no higher appeal — the majority's opinions, interests and passions meet "no durable obstacles."
- **Conformity — the killer quote:** "I know of no country in which, generally speaking, there is **less independence of mind and true freedom of discussion than in America.**" Once the majority "makes up its mind once and for all, everyone falls silent." People **abdicate their own judgement** and hitch themselves to the majority "chariot." *In plain terms*: you are legally free to speak, but social pressure makes dissent almost unthinkable — a **soft, psychological censorship**.
- **Not just America.** Welch stresses this is a **fault line of democracy as such**, not a quirk of the U.S. Equality itself generates the pressure to conform.
- **Tyranny of the majority vs despotism (reading-question distinction).** *Tyranny of the majority* = an **active, present** majority imposing its will/opinion on minorities (a danger of the **1835** volume). *Soft despotism* (next) = a **centralised state** managing passive, private individuals — the majority isn't even ruling anymore (the danger of the **1840** volume). One is **too much collective power over minorities**; the other is **too little collective life at all.**

| The deeper danger: "soft" / tutelary despotism

Core: the truly new threat is a **mild, all-providing central power** that treats grown citizens like children — not a tyrant but a **guardian**. It doesn't smash you; it **manages** you, until you forget how to act for yourself. And it can wear the mask of **popular sovereignty**.

- **A genuinely new thing.** Ancient tyranny was "violent, but its range was limited" — it hit a few hard. The new despotism "would be **more extensive and more mild; it would degrade men without tormenting them.**" Tocqueville says the old words *despotism* and *tyranny* don't fit: "the thing itself is new; and since I cannot name it, I must attempt to define it."
- **The famous portrait** (Bk 4 ch 6 — the single most quotable passage):
 - *the people*: "an innumerable multitude of men all equal and alike, incessantly endeavouring to procure the petty and paltry pleasures with which they glut their lives," each "a stranger to the fate of all the rest" — a portrait of **individualism** realised.
 - *the power above them*: "**an immense and tutelary power**" — "absolute, minute, regular, provident, and mild" — like a parent, except it "seeks... to **keep them in perpetual childhood,**" sparing them "all the care of thinking and all the trouble of living."
 - *the mechanism*: it "covers the surface of society with a **network of small complicated rules**"; it "does not tyrannise, but it **compresses, enervates, extinguishes, and stupefies** a people, till each nation is reduced to be nothing better than a **flock of timid and industrious animals, of which the government is the shepherd.**"
- **It coexists with democracy (the crucial twist).** People "want to be led, and they wish to remain free," so they "combine the principle of **centralization** and that of **popular sovereignty**": one all-powerful state, **but elected**. "They console themselves for being in tutelage by the reflection that they have chosen their own guardians." Tocqueville's retort: "**the nature of him I am to obey signifies less to me than the fact of extorted obedience**" — an elected shepherd is still a shepherd. A people "shake off their state of dependence just long enough to select their master, and then relapse into it."
- **The root cause is apathy.** In a footnote he names the real enemy: not anarchy or tyranny as such but the "**general apathy which is the consequence of... individualism**" — apathy "may almost indifferently beget either the one or the other." → *This is exactly Constant's warning: moderns who cash in public life for private comfort invite despotism.*

| The antidote: participation, associations & "self-interest well understood"

Core: the cure for democracy's ills is found **inside democracy itself**. You cannot un-equalise society; but you can **turn its energies toward public life**. The engine is **political participation** — local self-government and, above all, **freely-formed associations** — which teaches individuals that their **private interest is bound up with the public good** ("self-interest well understood").

- **Local liberty = the primary school of freedom.** Deck quote: "**Local institutions are to liberty what primary schools are to science; they put it within the people's reach.**" Township, county, jury: small arenas where ordinary people **actually govern** and learn the "art of being free." (America's strength "resides in the local community.")
- **Why participation works — it breaks the individualist spell.** "When the members of a community are forced to attend to public affairs, they are necessarily drawn from the circle of their own interests... As soon as a man begins to treat of public affairs in public, he begins to perceive that **he is**

not so independent of his fellow-men as he had at first imagined." *In plain terms*: doing politics together **re-weaves** the social bonds that equality had cut.

- **Self-interest well understood (*intérêt bien entendu*)** — Tocqueville's key mechanism (Welch calls it his most influential argument). Americans don't become public-spirited by heroic virtue; they discover that **cooperating serves their own long-run interest**. "What was calculation becomes instinct... by dint of working for the good of one's fellow citizens, one ultimately acquires the habit of serving them along with a **taste** for doing so." → The **poison becomes the cure**: the very self-interest that breeds individualism, *properly channelled through associations*, produces citizens.
 - **His innovation** (Welch): unlike the Utilitarians, who took individual wants as simply *given*, Tocqueville treats this fusion of private and public interest as a **social and psychological artefact** — something built by institutions, not automatic. Interest has to be **restructured** by civil and political life before it does its good work.
- **Associations as the transmission belt**. Free associations (permanent ones like townships; temporary civic and political ones) "**link self-interest... to the interest of the whole**." Habits learned in one sphere **spill over** into the other: "Americans take habits formed in trade and carry them over into the world of politics," and political agitation "spreads to civil society." Over time these habits become **new mœurs** — a democratic culture that **stabilises** freedom and shrinks the need for a central state. (*Reception: this is why Tocqueville is claimed by both pluralists and by "Bowling Alone"-style laments about lost community — his phrase "habits of the heart" titles one such book.*)
- **The conclusion (deck)**. *Democracy in America* is "an antidote to the atomisation of modernity and its inherent 'soft despotic' nature, by constructing a political space where 'thick' communities and social relations are placed in a **democratic, participatory context**" — the way to **combine freedom and equality**, and the answer to the Federalists' and Constant's worry.

French lessons: *The Old Regime and the Revolution* (1856) — why France kept failing

Core: Welch's second big section. Where America shows democracy *done right*, France shows it *done wrong*. Tocqueville's thesis: the Revolution's apparent rupture **masks a deep continuity** — the centralising **absolute monarchy** had *already* made France a society of equals-in-servility, and the Revolution simply **inherited the state machine** it destroyed.

- **The hidden continuity**. The changes that define modern France were made "during the final 150 years of the French monarchy" — by the **Bourbon kings' relentless centralization**. They hollowed out the aristocracy's real social functions (leaving only its hated privileges) and "**regulated everything themselves**." After the Revolution the same centralised state re-emerged: its foundations "remained in the very souls of its destroyers." The "**river**" of the French administrative mentality "went underground... but re-emerged afterwards, ready to carry all before it."
- **"Group individualism" — France as the inversion of America**. The *ancien régime* had lots of associations, but each group "narrowly minds its 'own' business, but not the public's." Nobles, bourgeois and peasants all "associate civil status with **freedom from public demands**" (a noble even objects to being taxed "as a father of common rank would be"). Welch's label: "**self-interest ill understood**" — the exact mirror of American *intérêt bien entendu*. Centralisation had "actively deprived the people of the only possible antidote to democratic individualism: **self-government**."

- **Why it still resonates.** *The Old Regime* is "a classic study of **how one political culture dies and another is born**" — hence its revival among post-Marxist and post-communist thinkers assessing whether liberal democracy can be **built** where the soil is hostile. Method note: Tocqueville restores a sense of **contingency and agency** — his history always "provokes the question 'What if?'" (Welch's best example: the **French peasant**, whose blocked hopes for dignity become "a revolutionary time bomb.")

Democracy's need for "stabilizing beliefs" — religion & women (and Welch's critique)

Core: Welch's third section — and where she is most **critical**. Tocqueville argues democracy needs **moral ballast** — shared, unquestioned beliefs — to keep atomised individuals from spinning into nihilism; he locates it in **religion** and in **strictly ordered family life**. Welch shows how his own **anxieties** distort these arguments, especially on women.

- **Religion as ballast.** Democracy unsettles all inherited belief, leaving a dangerous **psychic vacuum**. Religion refills it — not because it fits commercial life but because it "**tethers the imagination**," giving individuals a minimum of fixed dogma so they can exercise free will "safely." (Counter-intuitive twist Welch flags: this logic actually **favours Catholicism** over Protestantism, which "does not adequately police the vulnerable borders of faith" — hence his "strange conclusion" that Americans will drift back "to Rome.") **Contrast with Burke:** Tocqueville says democracy is "*naturally*" religious — religion is democracy's own fruit, not a pre-democratic relic it erodes.
- **"Purity of morals" and the seclusion of women.** Tocqueville claims democracy has an "unexpected affinity" with strict sexual morality and the **confinement of women to the domestic sphere** — women "buffer" men against the instability of democratic desire, and domestic absorption "crowds out" the adultery and disorder that would poison public life.
- **Welch's critique (exam gold).** This argument, she says, "**reveals more about his own moral anxieties than about democracy's natural inclinations.**" Uniquely, his discussion of women "**fails to enter into the woman's point of view**"; he projects onto women a "heroic," self-sacrificing renunciation of the very equality and independence democracy promises everyone else — a *parti pris* (pre-decided position) that slides "into the realm of rhetorical apologetic." When his own comparative intellect nudges toward awkward questions — *might democracy naturally mean public freedom for women too?* — "he smothers these questions" under counter-argument. → *Powerful move for an essay:* **Tocqueville the sceptical sociologist becomes a special pleader the moment the subject is religion or gender.**

Cases & examples — Tocqueville

Tocqueville reasons by **cases and comparisons** (America ↔ France; democracy ↔ aristocracy). Read each for the concept it carries:

- **Jacksonian America (the master case).** Nine months' observation (1831) becomes the model of a **society of equals that is also free** — via townships, juries, associations, religion and "self-interest well understood." But he criticised it too: majority conformity, "lack of grandeur," and "the glaring injustices of **race slavery** and the elimination of native peoples." → *Illustrates:* both the promise (participation civilises equality) and the perils (majority tyranny) of democracy.

- **The New England township / the jury.** Small units where ordinary citizens actually govern. "The idea of the jury turns up in games played in school, and parliamentary forms influence even banquet arrangements." → *Illustrates*: local liberty as the "primary school" of freedom; how public habits spill into private life.
- **The French *ancien régime*.** The **counter-image** to America: centralised, servile, "group-individualist," its self-government stripped away by the kings. → *Illustrates*: what democracy looks like **without** the antidote — equality producing dependence, not freedom.
- **The French peasant.** A small proprietor "simmering in an abyss of poverty and isolation," his hopes for dignity blocked at every turn by absentee lords and tax-collectors. → *Illustrates*: Tocqueville's empathetic-sociological method, and how frustrated equality becomes revolutionary fury.
- **"The women of America."** Portrayed as bearing economic "revolutions" with "quiet, indomitable energy," their desires contracting and expanding with their fortunes. → *Illustrates*: Welch's gender critique — the case where Tocqueville stops observing and starts prescribing.

Key terms — Tocqueville

Term	Meaning
Equality of conditions	the defining social fact of democracy: no hereditary hierarchy; the cause of all democratic passions
Democracy (as social state)	a <i>society</i> of equals and its culture — not merely a set of political institutions
Providential fact	the equalising trend: universal, durable, unstoppable — to be <i>guided</i> , not resisted
Mœurs (mores)	a people's habits, beliefs and attitudes — the most important cause of a regime's character
Political sociology	studying the social/cultural foundations beneath institutions (vs Hobbes's abstract contract)
Tyranny of the majority	the unbounded rule of majority will/ opinion ; crushes independence of mind
Individualism	the <i>coined</i> term: calm withdrawal into private life (≠ egoism/selfishness)
Soft / tutelary despotism	a mild, all-providing central power keeping citizens in "perpetual childhood"; coexists with elected government
Centralization	the state absorbing the independent functions of citizens/local bodies — democracy's fatal affinity
Associations	freely-formed civil/political groups; the transmission belt linking self-interest to the public good
Self-interest well understood (<i>intérêt bien entendu</i>)	the discovery that cooperating serves one's own long-run interest — calculation that becomes public-spirited habit
"A new science of politics"	the reflective art needed to <i>guide</i> democracy toward freedom rather than despotism

John Stuart Mill — *On Liberty*, *Representative Government* & *The Subjection of Women*

Readings (primary excerpts): J. S. Mill, *On Liberty* (1859) · *Considerations on Representative Government* (1861, ch. 3) · *The Subjection of Women* (1869). Plus Backhouse on Mill's economics (below) and the deck's utilitarian framing.

Résumé. Mill (1806–73) is the classic **liberal** answer to the same problem Tocqueville poses — how to keep the sovereign majority from crushing the individual — but he answers **philosophically**, not sociologically. He was raised by his father James Mill to be a strict **Benthamite utilitarian**, then broadened it. Two engines drive his thought and pull against each other: **utilitarianism** (judge everything by whether it maximises aggregate happiness) and **liberalism** (fence off a zone of individual

freedom that the majority may not invade). *On Liberty* draws that fence with the harm principle; *Representative Government* argues that **participatory representative democracy** is the ideally best polity because it both **protects** every interest and **improves** citizens; *The Subjection of Women* applies the very same logic to sex — his liberalism and utilitarianism "know no gender difference."

★ **Mill's red thread**: the individual is **sovereign over everything that concerns only themselves**; society may coerce a person **only to prevent harm to others** (the **harm principle**). Democracy is the best government because **participation** both **guards** each person's interests ("no guaranty" for the excluded) and **elevates their character** — and there is **no reason to stop the argument at sex**. The permanent puzzle: does his **utilitarianism** (aggregate happiness, majority rule) actually secure his **liberalism** (individual rights), or does it threaten it?

Key concepts to apply: utilitarianism (act vs aggregate) • the harm principle • self-regarding vs other-regarding actions • self-sovereignty • negative vs positive liberty • anti-paternalism / pluralism • liberty of thought & discussion (dead dogma; "knows only his own side"; part-truth) • the two criteria of good government • active vs passive character • the "no guaranty" argument • the utilitarianism–liberalism tension.

Utilitarianism — the moral yardstick

Core: utilitarianism judges actions **by their consequences** — specifically by their **utility**, i.e. how much **happiness (pleasure) they produce and pain they prevent**. As a *political* philosophy it aggregates: the right law/policy is the one that maximises **total** happiness across everyone.

- **The principle** (from Bentham, via James Mill): actions are good insofar as they promote happiness, bad as they produce the reverse; "the greatest happiness of the greatest number." Individuals should act to **maximise happiness and minimise suffering**.
- **From personal to political**. Aggregate the utilities and you get a **standard for judging government**: laws are good when they track the summed preferences/interests of all. This directly powers Mill's argument for democracy (below).
- **Mill's crucial refinement** (*On Liberty*): he **grounds even liberty in utility, not in "abstract right."** "I regard utility as the ultimate appeal on all ethical questions; but it must be **utility in the largest sense, grounded on the permanent interests of man as a progressive being.**" *In plain terms*: Mill won't say "you have a natural right to be free"; he says "**letting people be free produces the best long-run results for humanity.**" (This is the move that sets up the tension with liberalism — hold onto it.)

Why representative democracy is the best government (*Representative Government*, ch. 3)

Core: the ideally best form is one where sovereignty rests in the **whole community** and every citizen not only has a **vote** but is "**called on to take an actual part**" in public functions. Two tests prove it best; both favour popular, participatory government.

- **The two criteria of good government** (memorise these):
 1. **How well it manages present affairs** using the citizens' existing moral, intellectual and active qualities.

2. **What it does to those qualities** — whether it **improves or degrades** the people's character (the *educative* test). Representative government is "pre-eminent in both."
- **Criterion 1 — the protective / "no guaranty" argument** (this is the deck's *utilitarian argument for democracy*):
 - Principle: "the rights and interests of every person are only secure from being disregarded **when the person interested is himself able, and habitually disposed to stand up for them.**"
 - Even **benevolent** rulers cannot *represent* an interest they do not share: "Does Parliament, or almost any of the members composing it, ever for an instant look at any question with the eyes of a **working man?**" The excluded interest isn't deliberately sacrificed — it is simply **overlooked**.
 - Hence the key line: "**In proportion as any, no matter who, are excluded from [government], the interests of the excluded are left without the guaranty accorded to the rest.**" → Every exclusion (of the workers, of women) is a *defect*. This one sentence seeds *The Subjection of Women*.
 - Against **benevolent despotism**: even a good dictator leaves people passive and stunted; historically, free communities (Greek cities vs Persian satrapies; the Italian and Flemish republics vs feudal monarchies) were more prosperous and less unjust. **You cannot safely let anyone else "tie up your hands."**
 - **Criterion 2 — the educative argument: active vs passive character**. The deepest case for democracy is what it *does to people*. Participation forms the **active, self-reliant, "uncontented" character** that "struggles against evils" — and "improvement in human affairs is **wholly the work of the uncontented characters.**" Despotism (however mild) breeds the **passive** character that merely endures. → *Tie to Tocqueville*: both make **participation the school of citizenship** — Tocqueville sociologically (associations), Mill morally (it improves the individual).
 - (*Excerpt scope: this is Mill's case for why representative government is ideal; his famous safeguards — plural voting for the educated, proportional representation, open voting — are elsewhere in the book, not in the excerpt.*)

Mill's liberalism & the harm principle

Core: *On Liberty* draws the boundary of legitimate coercion. The **one very simple principle**: society may exercise power over an individual against their will **only to prevent harm to others** — never merely for the person's *own* good.

- **The harm principle (the sentence to know verbatim)**: "The only purpose for which power can be rightfully exercised over any member of a civilised community, against his will, is **to prevent harm to others**. His own good, either physical or moral, is **not a sufficient warrant.**"
- **Self-sovereignty**: "Over himself, over his own body and mind, **the individual is sovereign.**"
- **The only freedom worth the name**: "the only freedom which deserves the name, is that of **pursuing our own good in our own way**, so long as we do not attempt to deprive others of theirs." And the utilitarian justification: "**Mankind are greater gainers by suffering each other to live as seems good to themselves, than by compelling each to live as seems good to the rest.**"
- **Anti-paternalism & pluralism**. The state (and public opinion — Mill fears **social** coercion as much as legal) may **argue, persuade, entreat** you, but **not compel** you, "even though they should think our conduct foolish, perverse, or wrong." There is **no patent on the good life**; freedom includes "liberty of tastes and pursuits... of framing the plan of our life to suit our own character." *In plain terms*: you may live wrongly by others' lights as long as you harm no one else.

- **Negative vs positive liberty** (deck framing; Berlin's later labels). Mill is the great theorist of negative liberty — *freedom from* interference: a protected space where no one may meddle. This contrasts with **positive liberty** — *freedom to* achieve self-mastery/self-realisation (the tradition running through Rousseau's "forced to be free"). Mill's harm principle is negative liberty in its purest form: the state's job is to **leave you alone**, not to make you virtuous.
- **The scope limits (an awkward caveat to flag)**. The principle applies only to "human beings in the maturity of their faculties" — **not** to children, and (notoriously) not to "backward states of society," where Mill thought "despotism is a legitimate mode of government in dealing with barbarians, provided the end be their improvement." → A real tension in Mill's liberalism, tied to his career at the **East India Company**; worth naming critically.

Self-regarding vs other-regarding actions

Core: the harm principle works by sorting conduct into **two zones**. This distinction is the hinge of the whole theory.

Type of action	Definition	What the state may do
Self-regarding	affects only the agent (or others only with their free, informed consent)	nothing — "his independence is, of right, absolute"; total liberty
Other-regarding	affects other people (harms or risks harming them)	may be regulated or forbidden by law or opinion

- The self-regarding sphere is "the appropriate region of human liberty": (1) **inward liberty of conscience, thought and feeling** + freedom to express opinion; (2) **liberty of tastes and life-plans**; (3) **liberty to combine** with others for any harmless purpose.
- **Complication Mill himself notes:** harm can come by **inaction** too (failing to save a life, not bearing your share of common defence), and even self-regarding vice can *indirectly* touch others — so the line is contested. But the *point* of the distinction is to carve out an **inviolable core** the majority may never enter.
- **Exam handle:** most political disagreements are about **where the line falls** — is drug use / seatbelt laws / hate speech "self-regarding" or "other-regarding"? Mill gives you the *framework* for the argument, not a mechanical answer. (*The deck's discussion question: name a case where the state regulates a purely self-regarding act — e.g. seatbelt/helmet laws, recreational drugs, assisted suicide — and ask whether that violates the harm principle.*)

Why liberty of thought & discussion? — the argument from truth (*On Liberty*, ch. 2)

Core: even a **true** opinion must be freely and fiercely contested, or it dies. Silencing discussion robs humanity whether the silenced view is true, false, or (usually) part-true. Three arguments:

1. **It might be true** (the fallibility argument): to silence an opinion is to **assume your own infallibility**.
2. **"Dead dogma."** Even if the received view is true, held without challenge it becomes "a dead dogma, not a living truth" — believed as prejudice, its grounds forgotten. **"He who knows only his own**

side of the case, knows little of that." You must hear opponents "in their most plausible and persuasive form" (the origin of the **devil's-advocate**).

3. **The part-truth argument** (Mill's favourite, "commoner than either"): conflicting doctrines usually **"share the truth between them"** — the heretical view supplies the piece the orthodoxy left out. "One-sidedness has always been the rule, and many-sidedness the exception." (Example: **Rousseau's paradoxes** "exploded like bombshells," carrying neglected truths back into a smug civilisation.)

→ This is Mill's direct answer to Tocqueville's **tyranny of majority opinion**: the cure for stifling conformity is institutionalised, protected dissent.

| The tension: liberalism vs utilitarianism

Core: Mill runs on **two engines** — individual liberty (rights-like) and aggregate happiness (majority-friendly) — and the deck's central question is whether they can both fire without colliding.

- **The problem.** If everything reduces to **maximising total happiness**, what stops a majority from calculating that **overriding one person's self-regarding liberty** increases the sum? A pure utilitarian *could* license exactly the majority tyranny liberalism forbids.
- **Mill's device.** He makes the self-regarding sphere **near-absolute** ("his independence is, of right, absolute") — it functions **like a right** — yet insists it is justified by **utility "in the largest sense... of man as a progressive being."** The bet: **protecting liberty always maximises long-run utility** (progress, truth, character), so the two engines pull the same way.
- **The exam question.** Is that bet stable? Critics say Mill **smuggles rights back in** under a utilitarian label; defenders say his "utility in the largest sense" genuinely does the work. Either way, **"are rights pre-political, or can the majority dissolve them for some group?"** is the knife-edge — and it's exactly the question *The Subjection of Women* answers by refusing to let the majority disqualify **women**.
- **Where it bites:** *rights vs aggregate utility · individual freedom vs society's happiness · minority protection as a basic principle vs majority rule*. This is the hinge between **liberalism and democracy** for the whole module.

| The Subjection of Women (1869) — Mill the "first male feminist"

Core: Mill argues the **legal subordination of women is "wrong in itself" AND a drag on human progress**, and should be replaced by "a principle of **perfect equality**." It is the cleanest case of him running **both engines at once** — a justice argument *and* two utilitarian arguments.

- **The thesis (verbatim):** "the legal subordination of one sex to the other... **is wrong in itself, and now one of the chief hindrances to human improvement**; and... ought to be replaced by a principle of perfect equality, admitting no power or privilege on the one side, nor disability on the other." (Note the twin claim: **wrong and inefficient**.)
- **The burden-of-proof move.** The presumption should be **for freedom and equality**; those who defend a **disability/restriction** must prove it. The subjection of women is "a single relic of an old world of thought... exploded in everything else." And the appeal to "experience" fails: **"Experience cannot possibly have decided between two courses, so long as there has only been experience of one."** (We've never *tried* equality, so tradition proves nothing.)
- **Three benefits of equality** (ch. 4 — the payoff):

1. **Justice.** Ordering "the most universal of all human relations" by justice instead of force. The family is otherwise a **school of injustice**: "all the selfish propensities... derive their principal nourishment from the present constitution of the relation between men and women."
 2. **Doubling the talent pool** (utilitarian): freeing women would mean "**doubling the mass of mental faculties available for the higher service of humanity**" — plus the stimulus of competition. "The loss to the world, by refusing to make use of **one half of the whole quantity of talent** it possesses, is extremely serious."
 3. **"The unspeakable gain in private happiness"** (utilitarian): the difference to women "between a life of subjection to the will of others, and a life of rational freedom." "After... food and raiment, **freedom is the first and strongest want of human nature.**"
- **His liberalism & utilitarianism "know no gender difference."** The harm principle applies to all human beings; **utility** counts everyone's happiness equally. So there is **no principled place to stop** the argument at sex — the same logic that frees men frees women. **Self-proving competence**: "any woman who succeeds in an open profession **proves by that very fact that she is qualified for it**"; a law shutting the door on the exceptions "cannot be justified by any opinion respecting the capacities of women in general." (cf. Mill & Harriet Taylor Mill, *Enfranchisement of Women*, 1851: "**Let every occupation be open to all... employments will fall into the hands of those... found by experience to be most capable.**")
 - **The ideal: marriage of equals.** Not obedience but a partnership of "**reciprocal superiority**," each "leading and being led in the path of development." "The moral regeneration of mankind will only really commence when the most fundamental of the social relations is placed under the rule of **equal justice.**"
 - **The limit of Mill's feminism (flag it).** He still calls it "the most suitable division of labour" for the husband to earn and the wife to run the household — often cited as the **conservative ceiling** on his feminism, in tension with his own proviso that faculties "exceptionally adapted to any other pursuit" should be free to follow their vocation. → *Neat contrast with Tocqueville & Welch's critique*: where **Tocqueville** prescribes women's domestic seclusion as democracy's stabiliser, **Mill** attacks that subjection as democracy's unfinished business — the two thinkers are **mirror images on the "woman question."**

Cases & examples — Mill

- **The excluded working man** (*Representative Government*). Even a benevolent Parliament never looks at a question "with the eyes of a working man." → *Illustrates*: the "no guaranty" argument — why every interest needs its *own* vote.
- **Rousseau's "bombshells"** (*On Liberty* ch. 2). Rousseau's error-laden paradoxes still carried neglected truths that jolted a complacent 18th century. → *Illustrates*: the **part-truth** argument for free discussion.
- **Women in the professions & arts** (*Subjection*). Women excel where they go **professional** (acting), lag only where they remain **amateurs** (the fine arts) — a structural, not natural, gap; and they have "no time" because society monopolises it. → *Illustrates*: apparent female "inferiority" is an artefact of exclusion, not nature.

Key terms — Mill

Term	Meaning
Utilitarianism	judge actions by consequences → maximise aggregate happiness (pleasure minus pain)
Harm principle	coerce a person against their will only to prevent harm to others ; not for their own good
Self-sovereignty	"over his own body and mind, the individual is sovereign"
Self-regarding action	affects only the agent → absolute liberty
Other-regarding action	affects others → may be regulated/forbidden
Negative liberty	<i>freedom from</i> interference (Mill's core) vs positive liberty = <i>freedom to</i> self-realise
Anti-paternalism / pluralism	no "patent on the good life"; the state may persuade, not compel
Dead dogma	an uncontested truth held as lifeless prejudice; hence free discussion
Two criteria of good government	(1) uses existing qualities well; (2) improves citizens' character
"No guaranty" argument	any excluded interest is left unprotected → extend the franchise
Active vs passive character	democracy breeds the striving, improving citizen; despotism the enduring one
Perfect equality (of the sexes)	"no power or privilege on the one side, nor disability on the other"

Mill the economist — Backhouse, *Penguin History of Economics* (pp. 157–59, 165–69)

Core: Mill was also the era's dominant **economist**. His *Principles of Political Economy* (1848) kept the **Ricardian** framework but bent it toward reform, via one decisive distinction — the **laws of production** are fixed by nature, but the **laws of distribution** are **made by human institutions**, and so can be changed.

- **The pivotal distinction.** Production of wealth "has its necessary conditions" (physical facts, knowledge) — not up to us. But distribution "depends on the statutes or usages" of a society — **up to us**. → **Social reform** = **redesigning the institutions of capitalism**, without pretending to repeal economic law.
- **A qualified move toward socialism.** Influenced by **Harriet Taylor** and the **Saint-Simonians**, Mill grew "much more sympathetic to socialism" — but a socialism that **preserves incentives** (his line between *socialism* and *communism*). He backed **peasant proprietorship**, **producers' co-operatives** and **profit-sharing** — institutions that give workers "control over their own lives" while keeping the spur to effort.
- **Qualified laissez-faire.** A liberal who set a "general presumption in favour of laissez-faire" — then called the **exceptions "large."** He listed **five classes of action the state must perform** (from cases

where individuals aren't the best judges of their interest — e.g. **education** — to actions needed for others' benefit — e.g. **poor relief**), and allowed that "there is scarcely anything... which it may not be desirable that the government should take upon itself." → *The same Mill*: individual liberty as the default, but pragmatic, reform-minded exceptions — the economics of **social liberalism**.

- **Bridge (Backhouse pp. 165–69)**. After Mill, economics **professionalises** and takes the **marginalist turn** — **Jevons** and **Walras** (1870s) rebuild value theory on **marginal utility** (value = utility of the *last* unit), displacing the Ricardian cost-of-production theory Mill had defended. "*Political economy*" becomes "*economics*." → where the story heads *after* this module.

Cassidy, 'Is America an Oligarchy?' (*New Yorker*, 18 Apr 2014) — a contemporary test

Core: a short application piece. It reports the **Gilens & Page (2014)** study, which asks empirically **whose preferences actually become US policy** — and finds the answer is **economic elites, not the median citizen**. It puts Tocqueville's and Mill's worries to a modern data test.

- **The study**. Gilens (Princeton) & Page (Northwestern) built a statistical model with three drivers of policy: the views of the **rich (90th percentile)**, the **middle (50th)**, and **organised interest groups**. Result: "**the majority does not rule — at least not in the causal sense of actually determining policy outcomes. When a majority of citizens disagrees with economic elites... they generally lose.**"
- **The numbers**. When elites **back** a change it has ~**45%** chance of enactment; when they **oppose** it, <**18%**. And "the probability of policy change is nearly the same (**~0.3**) whether a **tiny minority** or a **large majority** of average citizens favour it." The rich effectively hold a **veto**. (The authors prefer "**economic-elite domination**" to the headline word "oligarchy.")
- **Why it matters for the module (the twist)**. Tocqueville feared the **tyranny of the majority**; Cassidy's evidence suggests the modern danger may be the **opposite — rule by an elite minority** behind democratic forms (closer to Tocqueville's *soft despotism*, where the outward machinery of popular sovereignty masks a loss of real self-rule). And it directly challenges **Mill's** protective argument: if whole classes are effectively "**left without the guaranty**," the utilitarian case for democracy is only as good as democracy's actual responsiveness. → *Great exam move*: use Gilens & Page to ask whether real democracies deliver the protection Mill promised, or the elite capture Tocqueville half-predicted.

★ Synthesis — Tocqueville vs Mill on one page

Core: two liberals, one problem — **how to keep democratic equality / majority rule from crushing the individual** — but **different diagnoses and different cures**. Tocqueville works on the **culture**; Mill on the **principles and institutions**.

	Tocqueville	Mill
What is democracy?	a social condition — <u>equality of conditions</u> (a whole culture)	a form of government — representative self-rule to be designed well
Method	empirical <u>political sociology</u> (<i>mœurs beneath</i> institutions)	philosophical argument from utility + liberty
Chief danger	soft despotism grown from individualism + centralization; tyranny of majority opinion	the majority (or opinion) invading the self-regarding sphere
The cure	participation — associations, local liberty, "self-interest well understood"	the <u>harm principle</u> + representative government that protects & educates
On women	prescribes domestic seclusion as democracy's stabiliser (<i>Welch: his parti pris</i>)	attacks subjection; demands perfect equality ("no disability")
Shared ground	<i>both</i> make participation the school of the free citizen ; <i>both</i> fear an unchecked majority; <i>both</i> answer Constant's ancients-vs-moderns problem	

The pairing: Tocqueville tells you **why** a society of equals tends toward a gentle servitude and **what social habits** resist it; Mill tells you **which principle** fences off the individual and **which institutions** secure every interest. Read together, they define **liberal democracy** — democracy *civilised by liberty*.

★ Reading questions — worked answers

The module's assigned reading questions (Tocqueville & Mill). Each answer links to the developed passage.

Tocqueville

1 • What does Tocqueville mean by 'democracy', and why *social conditions* rather than constitutional form? *Answer:* democracy = equality of social conditions — a society without hereditary hierarchy, careers open to all — *plus* the whole culture of passions and habits that equality breeds. He puts the **social state first** because it is the **cause**: it "creates opinions, engenders sentiments... and modifies whatever it does not produce." Institutions (elections, assemblies) are **downstream effects** of the social condition; change the constitution and you change little if the underlying *mœurs* stay aristocratic (his verdict on France). And because equality is a "providential fact" — universal and irresistible — the real question is never *whether* democracy but *how* to make it free.

2 • The major dangers — and tyranny of the majority vs despotism? *Answer:* three linked dangers: the tyranny of the majority, individualism, and soft/tutelar despotism. The distinction the question wants:

- Tyranny of the majority = an **active majority** imposing its **will and (worse) its opinion** on minorities — "less independence of mind... than in America." It is *too much collective power* wielded

against dissenters (the danger of the 1835 volume).

- **(Soft) despotism** = a **mild, centralised state** that manages **passive, private** individuals like children — here the majority isn't really ruling at all; people have **withdrawn** into private life and handed power to a "tutelary" state (the danger of the 1840 volume). It is *too little collective life*, and it can even be **elected**. → One is majority *over* minority; the other is state *over* an atomised, apathetic people.

3 • What does Tocqueville mean by individualism? *Answer:* see individualism. A **coined term**, *not* selfishness: the "reflective and tranquil" habit of **withdrawing into the small circle of family and friends** and abandoning public life. Equality snaps the aristocratic "chain" linking people across ranks, so each citizen, owing nothing to anyone, disengages — draining public life and preparing the ground for **soft despotism**. (Egoism = a hot vice of self-love; individualism = a cool *misjudgement* that you don't need your fellow citizens.)

4 • Tocqueville's method — and how it differs from Hobbes? *Answer:* see method. Empirical political sociology: observe and **compare** real societies (democratic America vs aristocratic Europe), reading the **mœurs beneath institutions**. The contrast with **Hobbes** is method itself: Hobbes reasons **deductively** from an **abstract thought-experiment** (imagine the state of nature → derive the sovereign); Tocqueville reasons **inductively** from **observed social facts** to political culture. Hobbes builds politics from a model of human nature; Tocqueville builds it from **how equal societies actually live**.

Mill

5 • What is the 'harm principle', and its relation to liberty? *Answer:* see the harm principle. Society may coerce an individual against their will **only to prevent harm to others** — never for the person's own physical or moral good. Its relation to liberty: it **defines** the sphere of liberty. Over the self-regarding zone (conduct affecting only oneself) "the individual is sovereign" and free absolutely; only **other-regarding** conduct is open to regulation. So liberty is **not** unlimited licence — it is precisely the space the harm principle fences off, justified (Mill insists) by utility "in the largest sense," not abstract right.

6 • Political disagreements protected by the harm principle? *Answer:* any dispute over conduct that is arguably **self-regarding**, i.e. where the state punishes a person "for their own good": **recreational drug use, assisted dying/suicide, seatbelt & helmet laws, gambling, consensual sexual conduct, refusing medical treatment**. Also, via the liberty of thought, free-speech disputes (offensive or heretical opinions that harm no one). The Millian move in each: *is anyone else actually harmed, or merely offended / paternalistically "protected"*? If the latter, the harm principle **shields** the conduct. (The live argument is always **where the line falls** — e.g. is hate speech "harm" or mere offence?)

7 • Mill's argument for representative democracy as the best government? *Answer:* see representative government. Judge any government by **two tests** — (1) how well it manages affairs with the people's existing qualities, and (2) how far it **improves** those qualities. Representative democracy wins both. On (1), the "**no guaranty**" argument: interests are only safe when their holders can **defend them themselves** — even benevolent rulers **overlook** interests they don't share ("with the eyes of a working man"), so *every* exclusion is a defect. On (2), participation forms the **active, self-reliant character** that drives all human improvement, where despotism breeds passivity. (Underlying it

is the utilitarian claim that wider participation → laws tracking more people's real interests → greater aggregate good.)

8 • Mill's position on the political position of women? Answer: see The Subjection of Women. Full political and civil **equality** — the vote, offices, professions all open to women — because the "legal subordination of one sex to the other... is **wrong in itself, and now one of the chief hindrances to human improvement.**" His harm principle and **utilitarianism** "know no gender difference," so there is no principled place to stop the argument at sex. Three grounds: **justice**; the utilitarian **doubling of society's talent pool**; and the "**unspeakable gain in private happiness**" to women. Any woman who succeeds in an open profession "proves by that very fact that she is qualified." (Flag the **limit**: he still treats the male-breadwinner household as the "suitable" default — the conservative ceiling on his feminism.)

★ Fun facts & memorable details

Sticky bits from Module 5 (Tocqueville • Mill).

Tocqueville

- He was sent to America (1831) on an official mission to study **prison reform** — *Democracy in America* was, in effect, a spectacular **side-project**. He travelled with his friend **Gustave de Beaumont**.
- He coined a word we still use: "**individualism**." It didn't mean "self-reliance" (a compliment) — for him it was a **diagnosis of a disease**, the quiet death of public life.
- He wrote the book under "**a kind of religious dread**" at democracy's unstoppable advance — and concluded you must **educate and guide** the tide, because "to attempt to check democracy would be to resist the will of God."
- The "**flock of timid and industrious animals, of which the government is the shepherd**" line (soft despotism) is one of the most quoted passages in all political theory — and he admits he **can't even name the new thing**: "since I cannot name it, I must attempt to define it."
- Welch's zinger: Tocqueville endures "**not because he delivers 'a new political science'... but because he does not**" — he's a **philosophical historian**, closer to **Foucault than to Marx**. His phrase "**habits of the heart**" later became a book title mourning the America he described.
- His blind spots are as famous as his insights: on **race slavery, native peoples**, and above all **women** (whom he consigned, "heroically," to the household), the sceptical sociologist turns into a nervous **special pleader** (Welch).

Mill

- A staggering **forced-march education** by his father: **Greek at three, Latin at eight, political economy and logic at twelve**. He had a nervous breakdown at 20 — and credited **poetry (Wordsworth)** and **Harriet Taylor** with rebuilding him.
- **Harriet Taylor** was his intellectual partner for decades (he married her in 1851, 21 years after they met); he credited her with much of *On Liberty* and his feminism. The line "**Let every occupation be open to all**" is from their joint 1851 essay.

- He sat in the **House of Commons (1865–68)** and in 1866 introduced the **first parliamentary motion to give women the vote** — proposing to replace "man" with "person" in the Reform Bill. It failed, but it was the **first time women's suffrage was ever debated in Parliament**.
- He spent his career as an administrator at the **East India Company** — which sits awkwardly beside his own carve-out that "despotism is a legitimate mode of government in dealing with barbarians." A real stain/tension to name.
- The **harm principle** is possibly the most-cited sentence in liberal political thought — the backbone of modern debates over drug laws, free speech, and "victimless crimes."
- Mill's line between **socialism and communism** was simply **incentives**: socialism (peasant proprietors, co-ops, profit-sharing) keeps the spur to effort; communism, he thought, kills it.

Exercise Class 3: The Pros and Cons of Democracy

Readings: Montesquieu, *The Spirit of the Laws* (1748), Books II, III, VIII · Tocqueville, *Democracy in America* (1835), **Introduction & Book 1 chs 4, 8, 9 & Book 4 ch 6** · CNN, 'House votes to impeach' (13 Jan 2021).

The class's question (from Joachim). Prepare three things: (1) the **views on democracy** in Montesquieu and Tocqueville — *is democracy feasible in their eyes, and what are its pros and cons?* (2) *How does Montesquieu build his argument* — the **structure** of his text and how he defines the **types of government?* (3) *What are Tocqueville's threats to democracy, and his arguments?* This class pairs the **18th-century typologist** (Montesquieu, whom we met in Module 4) with the **19th-century sociologist** (Tocqueville, Module 5) — two very different ways of asking whether a people can safely rule itself.

★ **The red thread:** both think democracy is **possible but fragile**, and that its survival depends less on **institutions** than on the **moral condition of the people**. For Montesquieu, democracy runs on **virtue** (love of country + equality) and dies of "**extreme equality**" — feasible only in a **small state**. For Tocqueville, democracy is an **irresistible social condition**, feasible in large modern nations **only if guided** — its threats are **tyranny of the majority, individualism and soft despotism**. The exam-usable convergence: **democracy = feasible but fragile; it stands or falls on the people's mores (virtue / mœurs), not its constitution**.

Montesquieu — *The Spirit of the Laws* (Books II, III, VIII)

Résumé. These three books are Montesquieu's **theory of regime types**. He classifies governments, then explains what makes each **run** and what makes each **rot**. Democracy appears here not as *the* ideal but as **one type among three**, admirable in some respects, structurally fragile in others. (*For his separation of powers and esprit général, see Module 4; this class is about the nature / principle / corruption framework.*)

How he builds the argument: nature → principle → corruption

Core: Montesquieu's method is **architectural** — **one Book per stage**. He defines each government (its **nature**), then finds the **passion** that drives it (its **principle**), then shows how it **decays** when that passion fails (its **corruption**). *This three-stage structure IS his answer to "how does he establish his arguments."*

- **Book II — the nature of a government:** its **structure** — "that by which it is constituted": *who holds supreme power*, and the fundamental laws that follow.
- **Book III — the principle of a government:** its **motor** — "the human passions which set it in motion." The **nature/principle distinction** is his "**master key**" ("the key of an infinite number of laws").
- **Book VIII — the corruption of a government:** "the corruption of a government generally begins with that of its principles" — kill the passion and the regime rots.
- **His style / how he persuades** (for the "how" question): **comparative and typological** (everything sorted into the same triad and cross-compared); **aphoristic/imagistic** ("monarchies lose themselves in despotic power" as "rivers hasten to mingle with the sea"); **historical-empirical** (Athens, Sparta, Rome, Carthage, China — "the unanimous testimony of historians"); **causal** (climate, geography, religion, the size of territory); and **prescriptive** — the principles state what a regime *ought* to run on, "otherwise the government is imperfect."

The types of government — nature & principle

Core: three species (democracy is a sub-type of the first), each defined by *who rules* (nature) and *what passion sustains it* (principle).

Government	Nature (who holds power)	Principle (its animating passion)
Republic — Democracy	the whole body of the people is sovereign, via suffrage	Virtue (political virtue)
Republic — Aristocracy	a part of the people holds power	Virtue, esp. moderation
Monarchy	one rules by fixed, established laws through <i>intermediate powers</i> (nobility, courts)	Honour
Despotism	one rules by will and caprice , through a <i>vizir</i>	Fear

- **Democracy's nature in detail** (Bk II): "the people are in some respects the sovereign, and in others the subject." Sovereignty is exercised **only through suffrage**, so "**the laws which establish the right of suffrage are fundamental to this government.**" The people **choose magistrates** but do not administer directly.
- **The choose-vs-govern point** (the exam-critical passage): the people are "**extremely well qualified for choosing**" those they entrust with power — they judge by "facts obvious to sense" (a general's victories, a judge's record). **But** "are they capable of conducting an intricate affair... of seizing the critical moment of action? **No; this surpasses their abilities.**" → **Good at electing, bad at administering.** ("The people's motion is always either too remiss or too violent.")

- **Monarchy needs nobility** (Bk II): "**no monarch, no nobility; no nobility, no monarch; but there may be a despotic prince.**" The **intermediate powers** are what keep a monarchy from collapsing into despotism — an idea echoing his separation of powers and picked up by Tocqueville's fear of lost intermediate bodies.

Democracy's principle: VIRTUE

Core: democracy is the government that most **depends on the character of its citizens**. Its motor is **virtue** — and by "virtue" Montesquieu means something specific and *political*.

- **Why democracy needs virtue most.** In a monarchy the **laws** and in a despotism the **prince's arm** are enough; but in a popular state, where the people are *both* rulers and ruled, "**one spring more is necessary, namely, virtue.**" When the executor of the laws is also subject to them, only an inner devotion keeps the system honest. "When... there is a suspension of the laws... the state is certainly undone."
- **What "virtue" means** (his own footnote — crucial, so it isn't confused with Christian morality): "**political virtue... moral virtue as it is directed to the public good**" — i.e. **love of country, love of equality, love of frugality**, self-renunciation for the common good. *In plain terms:* citizens must **care more about the republic than about themselves**. *Not* private piety; *not* revealed religion.
- **When virtue goes, democracy dies:** "ambition invades... and avarice possesses the whole community." Athens had the same *forces* (20,000 citizens) in her glory and her fall — the difference was **virtue**: "It was ever after as easy to triumph over the forces of Athens as it had been difficult to subdue her virtue."

Democracy's corruption: the "spirit of extreme equality"

Core: Book VIII. Democracy can rot in **two opposite ways** — by losing equality, or by pushing equality to a mad extreme. The second is the famous one, and it leads straight to **despotism**.

- **The two excesses** (memorise this): democracy has "**two excesses to avoid — the spirit of inequality, which leads to aristocracy or monarchy, and the spirit of extreme equality, which leads to despotic power.**"
- **What "extreme equality" is.** True equality means we "**obey and command our equals**" — everyone equal *as citizens*, under law. **Extreme** equality is when "each citizen would fain be upon a level with those whom he has chosen to command him" — the people, "incapable of bearing the very power they have delegated, want to manage everything themselves, to **debate for the senate, execute for the magistrate, and decide for the judges.**" *In plain terms:* when nobody will accept **any** authority — not magistrates, not elders, not parents — all order dissolves.
- **The cascade & the demagogues.** Respect collapses "for magistrates... senators... old age... parents... masters," until "there is no such thing as manners, order, or virtue." Into this chaos step **demagogues** who "flatter the people's avarice," buy suffrages, and "**the greater the advantages they seem to derive from their liberty, the nearer they approach the critical moment of losing it.** Petty tyrants arise... a single tyrant starts up." → **Extreme democracy ends in despotism.**
- **Principles trump laws:** "When once the principles of government are corrupted, the very best laws become bad... but when the principles are sound, even bad laws have the same effect as

good." → *The same lesson as Tocqueville's mœurs*: a democracy is only as good as the character of its people, not its paper constitution.

| The feasibility verdict: democracy needs a *small* state

Core: Montesquieu's structural limit on democracy — and the deepest reason he doubts it for a large modern nation.

- "It is natural for a republic to have only a small territory; otherwise it cannot long subsist." In a large republic there are "men of large fortunes, and consequently of less moderation"; the public good "is sacrificed to a thousand private views." In a small one "the interest of the public is more obvious, better understood, and more within the reach of every citizen."
- **The scaling law: small states → republic; middling → monarchy; large empires → despotism.** ("Monarchies lose themselves in despotic power" as states grow.) → *This is exactly the problem Constant, the Federalists, and Tocqueville inherit*: if genuine democracy needs a **small, virtuous** city, how can a **vast, commercial, modern** nation be free? Their answer — **representation** — is what Montesquieu's small-republic pessimism sets up.

Montesquieu — pros & cons of democracy:

- **Pros:** the people are **excellent judges** of merit (good electors); sovereignty genuinely resides in them; they can hold rulers to account; when animated by **virtue** they produce heroic public spirit (Athens vs Persia).
- **Cons / limits:** the people are **bad administrators**; democracy **requires virtue**, which is hard to sustain and fatal to lose; it faces **two opposite corruptions** (loss of equality → oligarchy; extreme equality → anarchy → despotism); and it is **feasible only in a small territory**.
- **Verdict:** feasible but **fragile and small-scale**; Montesquieu's own preference tilts toward **moderate monarchy with intermediate powers** for large modern states.

Tocqueville — *Democracy in America* (Intro, Bk 1 chs 4/8/9, Bk 4 ch 6)

Résumé. The same primary text at the heart of Module 5 — so the concepts (equality of conditions, individualism, tyranny of the majority, soft despotism, the antidote of participation) are developed there. Here we focus on the **specific extracts** this class assigns and the class's "threats" question.

| Sovereignty of the people (Intro; Bk 1 ch 4)

Core: in America the **sovereignty of the people** is not a hidden fiction (as in Europe, where "the will of the nation" is "abused by the wily and the despotic") but an **open, working, all-pervading principle** — followed "without impediment... to its most remote consequences."

- Democracy is grounded in the "providential fact" of equality of conditions (Intro) — "universal, durable... it constantly eludes all human interference." To resist it "would be to resist the will of God."
- In America "**society governs itself for itself**"; laws are made by the people directly ("as at Athens") or by representatives "chosen by universal suffrage."

- **The universal-suffrage ratchet:** once you start extending the franchise, "no stop can be made short of universal suffrage" — each extension strengthens the demand for the next. → Democracy is **self-radicalising**.

What *maintains* a democratic republic (Bk 1 chs 8–9)

Core: ch. 8 is Tocqueville's admiring reading of the **Federal Constitution** — how good institutional design **channels** popular sovereignty; ch. 9 pivots toward its **danger**.

- **Federalism as a brake** (ch. 8): "the government of the States remained the rule, and that of the Confederation the exception" — powers "carefully enumerated," the rest reserved. He praises America's calm, **bloodless self-correction**: when the first Union failed, a great people "patiently waited two whole years until a remedy was discovered... without having wrung a tear or a drop of blood." "**The Revolution of America terminated when that of France began.**" (There's the whole historical contrast in one line.)
- **The Senate/House compromise:** "the independence of the States prevailed in the Senate, and the sovereignty of the nation in the House."
- **The pivot to danger** (ch. 9): "**In the United States the majority governs in the name of the people**" — "the people is... the real directing power." Above all institutions sits "a sovereign power... that of the people," and nothing checks its will → the doorway to the **tyranny of the majority**. (*These extracts introduce the theme; Tocqueville's full treatment of majority tyranny's effect on the mind is in chs 15–16, beyond the assigned pages.*)

The tutelary despotism (Bk 4 ch 6)

Core: the class's other centrepiece — Tocqueville's portrait of the **new soft despotism**, fully developed in the Module 5 notes. The one-paragraph version: a mild "**immense and tutelary power**" keeps an atomised, comfort-seeking people in "**perpetual childhood**," casting "a network of small complicated rules" until the nation is "a flock of timid and industrious animals, of which the government is the shepherd."

- Its uniquely modern danger: it **coexists with popular sovereignty** — people "combine the principle of centralization and that of popular sovereignty," electing their own guardians and "consol[ing] themselves for being in tutelage." An elected shepherd is still a shepherd: "the nature of him I am to obey signifies less to me than the fact of extorted obedience."
- Root cause: the "**general apathy which is the consequence of individualism**" — the real enemy, which "may almost indifferently beget either anarchy or despotism."

The threats to democracy (the class's Tocqueville question)

Core: gather them into a ledger — Tocqueville's **arguments**, not just labels:

Threat	The argument
<u>Tyranny of the majority</u>	with nothing above majority will, minorities and independent minds are crushed — above all by the conformity of opinion ("less independence of mind... than in America")
Individualism	equality snaps the social "chain"; citizens withdraw into private life, draining the public sphere
General apathy	the consequence of individualism; the true enemy, which "may indifferently beget anarchy or despotism"
<u>Soft / tutelary despotism</u>	a mild central power manages passive citizens into "perpetual childhood" — wearing the <i>forms</i> of freedom
Over-centralization	democracy destroys the intermediate bodies that once resisted tyranny; the state inherits their power (<i>the point Montesquieu also makes about intermediate powers</i>)
Botched transition	equality <i>without</i> the guiding mores/institutions (France) slides toward despotism, not freedom

- His arguments' shape: each threat is **sociological** — it grows from the **social condition of equality itself**, not from bad laws or bad men. That's why his cure is also social: participation, associations and local liberty, which re-weave the bonds equality dissolves.

★ Montesquieu vs Tocqueville — the exercise class's payoff

	Montesquieu (1748)	Tocqueville (1835)
What is democracy?	one regime type among three (nature + principle)	an irreversible social condition (<u>equality of conditions</u>)
What sustains it?	virtue (love of country, equality, frugality)	mœurs — associations, religion, local liberty, "self-interest well understood"
Its characteristic death	extreme equality → anarchy → a "single tyrant"	individualism → apathy → soft despotism
Feasible where?	only in a small state	in large modern nations — but only if guided
Method	typological, comparative, historical	empirical political sociology
Shared conclusion	<i>democracy is feasible but fragile; it depends on the character of the people, not the constitution</i> — "corrupt the principle and the best laws turn bad" (M) / mores matter more than institutions (T)	

- The bridge between them: both fear a **loss of intermediate bodies** and both make **the people's moral condition** the load-bearing wall. Montesquieu supplies the **static typology** and the **small-**

state pessimism; Tocqueville supplies the **dynamic, sociological** update for the age of **mass** democracy — and the twist that democracy's gravest danger is not too much *turbulence* (Montesquieu's anarchy) but too much *comfort* (soft despotism).

CNN — 'House votes to impeach' (13 Jan 2021) — a live test

Core: the contemporary anchor: one week after the **6 January 2021** attack on the US Capitol, the House voted **232–197** to impeach the President a **second time** on a single charge — "**incitement of insurrection**." **Ten Republicans** joined all Democrats, including the No. 3 House Republican, **Liz Cheney**.

- **Why it's on this syllabus (link it to the theory).**
 - **Montesquieu:** Book VIII warned that **demagogues** who flatter the people are how democracies slide toward a "single tyrant" — and that a republic's survival rests on **virtue** and on institutions holding their nerve. Impeachment is the constitutional machinery for a republic **defending its principle** against exactly that danger. It also stages his **choose-vs-govern** worry and the fragility of popular passions.
 - **Tocqueville:** the episode dramatises both his **fear** (an inflamed majority/leader vs the rule of law; the vulnerability of self-government) and his **hope** (the "**intermediate**" institutions and constitutional forms that check power — Congress, courts, federalism — the very "barriers against despotism" he admired in America). The **peaceful transfer of power**, contested and then upheld, is the American self-correction he praised ("without a tear or a drop of blood") under stress.
- **Exam use:** a ready case for "*is democracy fragile or resilient?*" — evidence **both** ways. Fragile (a mob storms the legislature; a majority of one party declines to convict) *and* resilient (institutions impeach, courts hold, power transfers). Pair it with Cassidy on oligarchy for a rounded modern picture of democracy's health.

★ Prep-question answers

1 • The views on democracy in Montesquieu & Tocqueville — is it feasible? Pros & cons? Answer: both see democracy as feasible but fragile, resting on the people's moral condition. **Montesquieu:** democracy is one regime type, running on virtue; its pros are the people as **good electors** and genuine self-rule; its cons are their incompetence at **administration**, the difficulty of sustaining virtue, its two corruptions (esp. **extreme equality** → **despotism**), and its feasibility **only in a small state** — so for large modern nations he leans to **moderate monarchy**. **Tocqueville:** democracy isn't a choice but an irresistible social condition; feasibility is not the question — *guidance* is. Its pros are prosperity, self-government and equality-before-the-law; its cons are the tyranny of the majority, individualism and soft despotism. **Both converge:** democracy survives on **mores/virtue**, not on its constitution.

2 • How does Montesquieu build his argument? Structure? Types of government? Answer: see structure and types. A three-stage architecture, one Book each: **nature** (Bk II — who holds power) → **principle** (Bk III — the animating passion) → **corruption** (Bk VIII — how the principle rots). He argues by **comparison, historical example, aphorism, and physical causes** (climate, size). The types: **republic** (democracy = the whole people, principle **virtue**; aristocracy = a part, principle **moderation**),

monarchy (one under fixed laws via intermediate powers, principle **honour**), **despotism** (one by caprice via a vizir, principle **fear**). The **nature/principle distinction** is his "master key."

3 · Tocqueville's threats to democracy — and his arguments? *Answer:* see the threats ledger. The major threats are tyranny of the majority (esp. the **conformity of opinion**), **individualism**, **apathy**, and **soft/tutelar despotism**, compounded by **over-centralization** and **botched transition**. His **argument** is distinctive: these dangers grow **out of the social condition of equality itself** — not from bad laws or wicked rulers — which is why they are so insidious and why the remedy must also be **social: participation, associations and local self-government** that rebuild the civic bonds equality dissolves.

★ Fun facts & memorable details

Sticky bits from Exercise Class 3 (Montesquieu · Tocqueville · the pros & cons of democracy).

- **Montesquieu's democracy runs on "virtue" — but not the virtue you think.** He had to add a **footnote** insisting he meant **political** virtue (love of country and equality), "very little of **private moral virtue**, and not at all of that which relates to revealed truths." Generations misread him anyway.
 - **"The people are admirable at choosing, hopeless at governing."** Montesquieu's split verdict — great **electors**, bad **administrators** — is the ancestor of every modern argument for **representative** (not direct) democracy.
 - His **scaling law** is almost a formula: **small state → republic, middling → monarchy, large empire → despotism**. "Rivers hasten to mingle with the sea; and monarchies lose themselves in despotic power."
 - **Extreme equality kills democracy.** For Montesquieu the danger isn't too little equality but **too much** — when no one will obey *anyone*, "petty tyrants arise... a single tyrant starts up." Anarchy is the **antechamber of despotism**.
 - A translator's note in the class extracts warns that the standard **English Tocqueville** (Reeve's) "vividly coloured what was contrary to Democracy and almost erased what could do harm to Aristocracy" — a reminder that even the **translation** carries a politics.
 - **"The Revolution of America terminated when that of France began."** Tocqueville's whole comparative project in nine words — one revolution built a lasting order, the other opened 60 years of turmoil.
 - The class deliberately ends in **2021**: an insurrection, an impeachment, and a contested-but-completed transfer of power — proof that Montesquieu's and Tocqueville's questions about whether a free people can govern itself are **not** museum pieces.
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Module 6: Reactions to Liberalism — Conservatism and Classical Political Economy (1790–1830)

Readings: Edmund **Burke**, *Reflections on the Revolution in France* (1790), pp. 25–31, 246–49 • **Backhouse**, *The Penguin History of Economics* (2023), pp. 143–48 (**Malthus & Ricardo**) • J. K. **Galbraith**, *A History of Economics* (1987), pp. 73–88. (Lecturer: Joachim Lund — deck "Dismal economists, Conservatism.")

Theme of the module. Modules 4–5 built the **liberal-Enlightenment** project — reason, rights, progress, liberal democracy. This module gathers the **two great reactions against it (1790–1830)**, both provoked by the **French Revolution**: (1) the "dismal" classical economists — **Malthus** and **Ricardo** — who turned Smith's optimism into a bleak science of **limits** (population outrunning food; wages stuck at subsistence; growth grinding to a "stationary state"); and (2) **political conservatism** — **Edmund Burke** — who attacked the Revolution's **abstract reason** in the name of **tradition, inheritance and gradual change**. Both are *counter-Enlightenment*: the economists puncture the faith in **progress**, Burke punctures the faith in **abstract reason remaking society**.

★ The red thread — the reaction against liberal optimism, in two registers:

- **The dismal science (Malthus & Ricardo):** Smith promised growth and a "general plenty." The classical economists reply: **there are limits**. **Malthus** — population grows *geometrically*, food only *arithmetically*, so misery is the natural check. **Ricardo** — as growth pushes farming onto worse land, **rent** rises and eats **profits**, while wages sink to **subsistence** (the "iron law"); growth stalls in the **stationary state**. Economics becomes the study of **scarcity and distribution**, not plenty.
- **Conservatism (Burke):** the Revolution's error is **abstract reason** — tearing down inherited institutions to build society from a blueprint. Against it Burke defends **tradition, prescription, prejudice** and an **inter-generational partnership**; reform must be **gradual and organic** — "a state without the means of some change is without the means of its conservation."
- **The link:** both are "the limits to Enlightenment" — one says nature limits *material progress*; the other says inherited wisdom limits *rational politics*. (Note the irony: Burke's phrase for the new age is "sophisters, economists, and calculators" — the dismal economists are exactly who he means.)

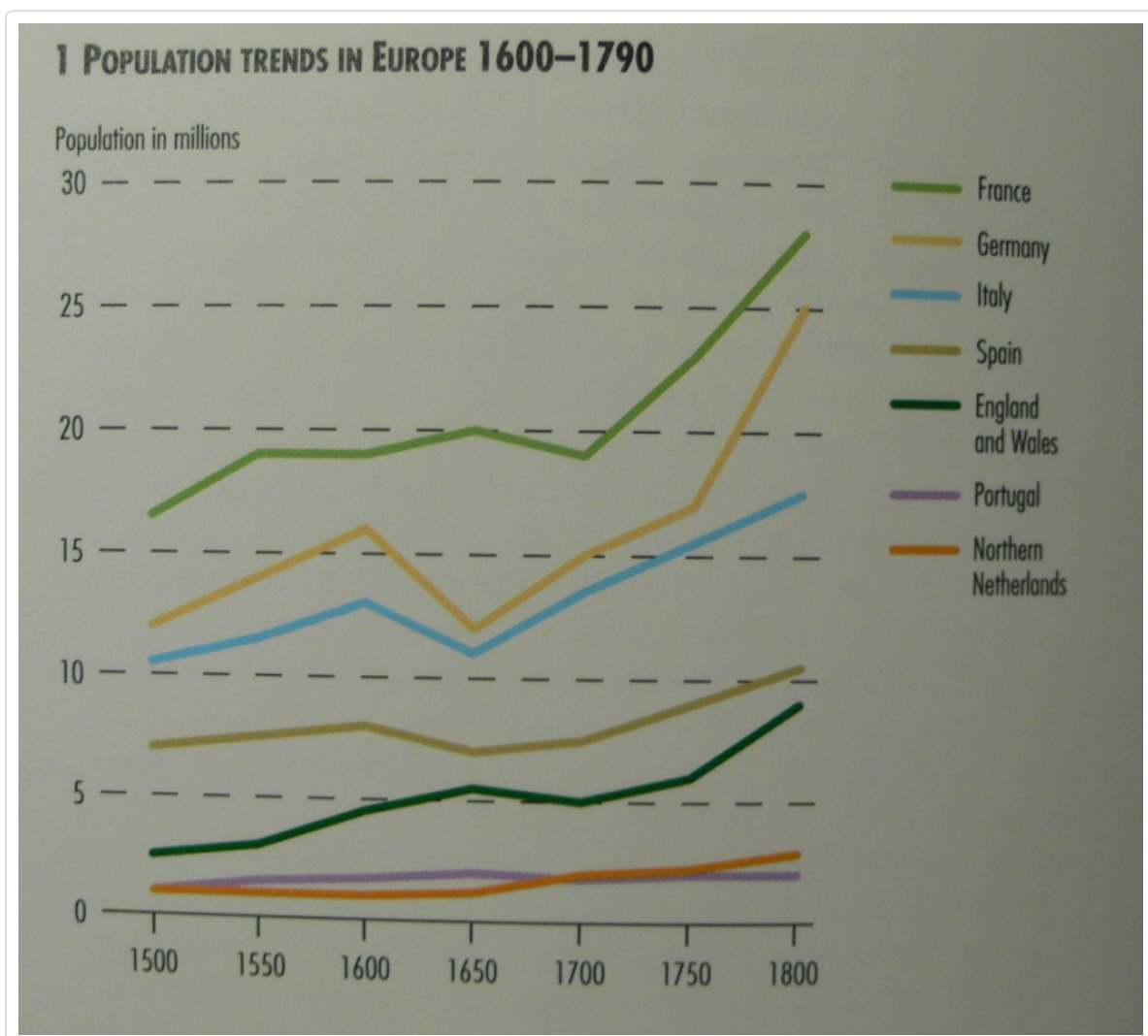
Key concepts to apply: *the dismal science* • *the population principle (geometric vs arithmetic)* • *positive* • *preventive* • *moral checks* • *the Malthusian trap / stationary state* • *the social question* • *the poor laws / Speenhamland* • *market gluts vs Say's Law* • *differential rent* • *margin of cultivation* • *diminishing returns* • *distribution (rent • wages • profit)* • *the iron law of wages* • *labour theory of value* • *the "Ricardian detour"* • *Say's subjective utility* • *the Corn Laws* • *free trade* • *comparative advantage* • (Burke) *prescription* • *prejudice* • *the inter-generational partnership* • *organic reform*.

Historical context — the "social question"

Core: Britain leads the world (empire, trade, naval power after the **Seven Years' War, 1756–63**) and is convulsed by the **First Industrial Revolution** (cotton, coal, iron, steam) and a **population explosion** —

creating mass urban misery that contemporaries called "**the social question.**" This is the world the classical economists tried to explain.

- **The industrial take-off:** division of labour moves from **manufactures to factories**; London grows from **575,000 (1700) to 1 million (1800)**; UK population rises **~50% (1801–41)**, doubling by 1901.
- "**The social question**" — the new urban poverty: uncontrolled **migration to the cities**, lack of housing/sanitation/public health, **tenement slums**, **women and children in factories and mines**, a "worn-down workforce," disease, poor schooling. *In plain terms*: growth was producing **wealth and squalor at once** — and everyone wanted to know *why*, and *what to do*.
- **The shadow of France:** the **French Revolution (1789)** and the wars (1793–1815) raised "the spectre of republicanism" and popular unrest; wartime **inflation, high grain prices, protectionism** and taxes pressed on the poor. Fear of a British revolution frames the whole debate (and provokes Burke).



How to read it. Every line **bends sharply upward in the 1700s** — this is the demographic surge (esp. after ~1750) that made **Malthus's** question urgent: if people multiply this fast, can food ever keep up? (England & Wales — the dark green line — roughly doubles across the century.)

Adam Smith — the optimism they reacted against (recap)

Core: the classical economists all **build on Adam Smith (1723–90)** — but they invert his mood. Smith founded "**political economy**" as an optimistic, liberal science of **growth and harmony**; Malthus and Ricardo turn it into a science of **limits and conflict**.

- **Smith's system** (from Module 3): "**political economy**" as an academic discipline, inspired by **political liberalism & natural law** (Locke) and the **Physiocrats** (Quesnay's input–output model; Gournay's *laissez-faire*; Turgot's free trade), opposing **mercantilism**.
 - **The core ideas they inherit:** the division of labour (cheap goods in quantity); the invisible hand; **abolish state regulation** of trade/production; the labour theory of value (production costs determine the "natural price"); **economic growth via capital accumulation**; and a **harmony of interests**.
 - **The reversal:** Smith saw growth spreading a "**general plenty... through all the different ranks of society**." Malthus and Ricardo deny it — for them the system tends toward **subsistence wages, falling profits and a stationary state**. *That pessimism is why Carlyle would dub it "the dismal science."*
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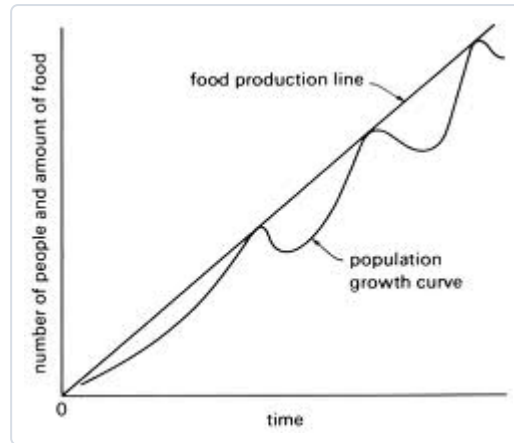
Thomas Malthus (1766–1834) — the population principle

Core: a clergyman-economist who made his name **arguing against utopian optimism**. Against radicals like **Godwin and Condorcet** (who said abolishing **private property** would end poverty), Malthus replied: poverty is rooted in a natural law — population's tendency to **outstrip food** — that no redistribution can repeal.

| An Essay on the Principle of Population (1798)

Core: the famous mismatch of two growth rates. **Population, unchecked, grows geometrically** ($\times 2$ every 25 years: 1, 2, 4, 8...); **food can grow only arithmetically** (1, 2, 3, 4...). So population always **presses against the food supply**, and something must give.

- **The checks that hold population down:**
 - **Positive checks** — raise the **death rate**: war, famine, pestilence ("misery").
 - **Preventive checks** — lower the **birth rate**.
 - **Moral restraint** — added in the 2nd edition (1805): **postponed marriage** without "irregular gratification." *This third check matters because it opens a door to **progress** without catastrophe.*
- **Why it's "the dismal science":** if the poor get more income or relief, they simply **have more children** until they're pushed **back to subsistence** — so misery is the system's built-in regulator. The essayist **Thomas Carlyle** later coined "**the Dismal Science**," and "**Malthusian**" became a term of abuse for this hard-hearted, materialist "modern political economy."
- **Against the utopians (the point of the Essay):** Malthus argued **private property is essential** (without it, Smith's productive self-love fails), and that giving money to the poor doesn't help "unless someone else consumes less" — it just **raises dependence on the state**. *He shared the Enlightenment's faith in **reason** (he saw himself applying Newton to society) but not its faith in **human perfectibility**.*



How to read it (the Malthusian trap). Food (the straight line) grows **steadily**; population (the wavy curve) keeps **surging up to the food ceiling**, then gets **checked back down** (famine, disease) whenever it overshoots. Living standards can never durably rise above subsistence — every gain is **eaten by extra mouths**. This is the "trap" that made growth look hopeless.

| The poor laws and Malthus's "solutions"

Core: Malthus's policy conclusion is bleak and controversial: **abolish poor relief**. He argued the **Speenhamland System** (1795) — topping up wages according to the **bread price** and the **number of children** — made poverty worse.

- **Why Malthus thought poor relief backfired** (deck): it created perverse incentives — an **incentive to have more children**, an **incentive for employers to lower wages** (the parish tops them up), an **incentive to idleness**, and it **strips people of personal responsibility**. (*In his view, "poverty reduces the number of births and surviving children" — so relief only postpones the reckoning.*)
- **His stance:** poor relief is **counterproductive**; **private property is the foundation of growth**; and — see gluts — the **landed aristocracy** has a positive economic role. → *Malthus is the more socially conservative of the two economists: a defender of the old landed order.*

| Market gluts — Malthus vs Say's Law

Core: Malthus's most original (and heretical) idea: an economy can suffer a **general "glut"** — **too much output and too little demand at once** — so growth can **stall for lack of buyers**. This directly contradicts Say's Law.

- **Say's Law** ("supply creates its own demand"): the orthodox view (from **Jean-Baptiste Say**, 1767–1832, and accepted by Ricardo) that **every act of production generates exactly enough income to buy the output** — so a **general glut is impossible**. *Galbraith's gloss:* from the price of every product comes a return in **wages, interest, profit or rent** sufficient to buy it — "**somebody, somewhere, gets it all**," and then spends it. Even **saving** is no leak (it becomes **investment**). → *So no state or central bank need manage demand — the intellectual charter of laissez-faire. (Say also gave us the entrepreneur — the risk-taking "motive force" of the economy.)*
- **Malthus's challenge:** demand *can* be **deficient**. Because impoverished workers can't buy much and capitalists plough profits back in rather than consuming, industry can produce **more than the market will absorb** → **overproduction and gluts** → unemployment. His remedy is striking: the "**unproductive consumption**" of the **landowners** (who spend their **rents** on servants, luxuries,

estates) **soaks up the surplus** and **fights unemployment**. → So Malthus *defends the aristocracy on economic grounds* — *their idle spending keeps demand up*.

- **The 130-year exile — and vindication: Ricardo "rescued" Say's Law** from Malthus, and it "survived in triumph until the Great Depression," when Keynes **repealed it** — arguing demand *can* fall short (people hoard money), so the state must spend to fill the gap. *That repeal "gave birth to macroeconomics,"* and belatedly vindicated **Malthus** as its forerunner. (Keynes: Ricardo "captured Britain... as the Holy Inquisition captured Spain.")
-

David Ricardo (1772–1823) — rent, distribution and the stationary state

Core: a stockbroker turned economist (and MP) who made political economy **rigorous and abstract** ("as certain as Euclidean geometry"). His *Principles of Political Economy and Taxation* (1817) fused Smith's growth, Malthus's population, and a new **theory of rent** into a grim model of **distribution and class conflict** — in which the **landlord is the villain**.

| Differential rent & diminishing returns

Core: Ricardo's signature move — the **first systematic use of marginal thinking**. **Rent** arises because land differs in **fertility**, and as the economy grows it must farm **worse and worse land**.

- **The theory of differential rent** (worked out ~1815, with Malthus, West, Torrens): plots differ in fertility and land has **no alternative use**. Competition means the **least fertile plot in use earns no rent** (its corn just covers costs). **Every better plot yields a surplus** — and the **landlord pockets that surplus as rent**. So **rent = the surplus of the more-fertile land over the marginal (worst) land**.
- **Diminishing returns** (the engine): as population and corn prices rise, farmers push onto **marginal land** and work existing land **harder** — but each extra dose of labour/capital yields **less** extra corn. → **Growth → higher corn prices → cultivate marginal land → rents rise → returns diminish**. (*This is the marginal-productivity idea, decades early.*)

| Distribution & the iron law of wages → the stationary state

Core: Ricardo splits national income among three classes and shows the shares are locked in a self-defeating dynamic that ends in the **stationary state**.

- **Three incomes:** **rent** (to landlords), **wages** (to workers), **profit** (to capitalists — the *residual* after rent and wages).
- **The iron law of wages** — against Smith's "general plenty," Ricardo insists **labour is a commodity like any other**. Its **natural price** = the wage that just lets workers **subsist and reproduce** (so it tracks the **price of grain**); its **market price** fluctuates around that with supply and demand. Result: **the worker always lives at the margin of subsistence**.
- **The growth machine that eats itself:** high profits → capitalists invest → demand for labour rises → population grows → corn prices rise → the **margin of cultivation** extends → **rents rise and profits**

fall (wages can't fall below subsistence). Falling profits **choke investment** → growth halts. →
Welcome to the stationary society.

- **The villain: the landlord.** Because rising rents are what strangle profits and growth, **the landlords' interest is opposed to the interest of everyone else.** "*Peasants pay rent to be allowed to work; workers are paid wages to work.*" Growth's problem is **structural** — and it's the **landowners' fault.**

▮ Ricardo's solution — free trade & the Corn Laws

Core: if home-grown corn is the bottleneck (dear corn → high wages → low profits), then **import cheap corn.** Ricardo's cause was **repealing the Corn Laws.**

- **The Essay on... the Profits of Stock (1815)** and the campaign against the **Corn Laws (1815–1846)** — the tariffs protecting British landowners. **Tariff-free corn imports** would hurt landlords but **secure industry's profits**, promoting **investment and growth.**
- **Comparative advantage:** free trade lets nations exploit their **comparative advantages** (the international division of labour) — everyone gains. (*Repeal came in 1846; British free trade was cemented by the 1860 Cobden Treaty with France.*)

★ The value debate — the labour theory & the "Ricardian detour"

Core: the study-question hinge — **how is the value of a good determined?** Smith, Malthus and Ricardo mostly agree on a **labour/cost theory of value**; a rival, **subjective-utility** view (Say) is waiting in the wings.

- **Smith's answer:** value comes from **labour / the cost of production** — the "**natural price**" is set by production costs (recall his **use-value vs exchange-value** puzzle, the water–diamond paradox). Malthus and Ricardo both **accept the labour theory of value** (it's on their "agree" list).
- **Ricardo's version:** prices are **proportional to the labour required to produce goods** — he needed a value theory to compare food and manufactures. (*He knew the snag: under competition prices track **production costs, which include capital, not just labour** — the technical crack in the labour theory that Marx would later seize on.*)
- **The "Ricardian detour"** (deck's key critical point): by fixing economics on the **labour theory of value**, Ricardo **led the discipline down a path that neglected two things** — the **demand side** (which Smith had kept in view) and **subjective utility value.** → A whole century of value theory arguably took a wrong turn until the **marginal-utility revolution** rediscovered demand.
- **Say's alternative — subjective utility:** Jean-Baptiste Say located value not in labour-cost but in **subjective usefulness to the buyer** — anticipating the later marginalist view that **demand and utility** set value. (*Say thus opposes Malthus twice over: on **value** — utility vs labour — and on **gluts** — Say's Law says gluts can't happen.*)
- **The sting in the tail — Ricardo → Marx.** Ricardo's **labour theory of value + iron law of wages** carried a radical implication he never intended: if labour creates all value but the worker gets only **subsistence**, then the capitalist's **profit** looks like **value taken from the worker** — "an unearned... theft." **Marx** built his whole theory of exploitation on this **Ricardian** foundation. Galbraith's quip: "If

Marx and Lenin deserve busts, somewhere in the background there should be room for an effigy of **Ricardo** — the conservative stockbroker who accidentally armed the revolution.

Malthus vs Ricardo — where they agree and split

Core: the two "dismal economists" share a framework but **clash on politics** — above all on the landed aristocracy.

	Agree	Disagree
Value	both hold the <u>labour theory of value</u>	—
Poor laws	both want to abolish poor relief	—
The landed aristocracy	—	protectors of the social order & absorbers of gluts (Malthus) vs free-riders strangling growth with rent (Ricardo)
Free trade / Corn Laws	—	it undermines the social order (Malthus, pro-landlord) vs it supports growth (Ricardo, repeal the Corn Laws)
Gluts / Say's Law	—	general gluts are possible (Malthus) vs Say's Law holds , gluts impossible (Ricardo)

- **The deeper split:** **Malthus** is the **conservative** economist — defending land, rent and the old order as economically *useful*; **Ricardo** is the **liberal** economist — attacking rent and the landlords as parasites on growth, championing free trade. → *Same dismal diagnosis, opposite political prescriptions.*

Edmund Burke (1729–97) — conservatism, "a call for restraint"

Reading: Edmund Burke, *Reflections on the Revolution in France* (1790), pp. 25–31, 246–49.

Core: the founding text of modern **political conservatism** — a furious reaction against the **French Revolution** and against the English radicals who cheered it. Burke's target is the Enlightenment habit of tearing down inherited institutions in the name of **abstract reason** and **abstract "rights of man."** Against it he defends **inheritance, tradition, prescription and gradual reform.**

- **The great irony of Burke:** he was **not** a lifelong reactionary. He was a **Whig**, an MP, a **constitutionalist**, and a **supporter of the American Revolution** — a **political liberal** who turned **conservative in the face of the French Revolution.** Conservatism is born as **liberalism recoiling** from revolution.

| The context — the French Revolution & the English 1688

Core: Burke writes in 1790, watching France slide from reform toward terror, and contrasts it with England's own "**Glorious Revolution**" of 1688–89 — which he reads as the **opposite** of 1789: a *preservation*, not a *fabrication*.

- **The French descent** (deck timeline): bankruptcy → **Estates-General** (May 1789) → the Third Estate declares a **National Assembly** → **storming of the Bastille** (July 1789) → constitutional monarchy (1791) → **the Terror (Robespierre, 1792–94)** → king executed (1793) → **Napoleon** (1799 consul, 1804 emperor). Burke wrote *before* the Terror — and looked prophetic when it came.
- **His real target — the "Revolution Society" & Dr. Richard Price.** English radicals claimed 1688 had established **three "rights"**: to **choose our own governors**, to **cashier (remove) them for misconduct**, and to **frame a government for ourselves**. Burke's whole first excerpt **demolishes this reading**:
 - 1688 fixed a *hereditary* succession precisely "to preclude for ever the people of England from choosing their own governors";
 - deposing James II rested on **narrow necessity** (he "broke the original contract," subverted church and state), **not** a general right to sack kings for "misconduct" — "**no government could stand a moment, if it could be blown down with any thing so loose and indefinite as an opinion of 'misconduct.'**" Cashiering kings is "**an extraordinary question of state, and wholly out of the law**" — a matter of *war*, not constitution.
- **1688 = preservation; 1789 = fabrication** — the exam-usable spine: the English secured liberty by **inheriting** it; the French are **fabricating** a new order from scratch, which fills Burke "**with disgust and horror.**"

★ Burke's core ideas

Core: legitimacy flows not from **abstract reason** but from what is **old, tested and inherited**. Six moves:

1. **Against abstract reason & "the rights of man."** Real rights are **concrete and inherited** — an "entailed inheritance derived to us from our forefathers, and to be transmitted to our posterity" (Magna Carta → Coke → Blackstone) — **not** deductions from reason. The French are "**illuminated with the light**" they boast of, but Enlightenment "light" is vanity next to the "**ignorance and fallibility of mankind.**" *In plain terms:* don't trust one generation's clever reasoning against the accumulated experience of centuries.
2. **Inheritance & prescription.** "We wished... to derive all we possess as an inheritance from our forefathers." Institutions are legitimate **because they are old** and have been **tested by time** ("the fashions they have never tried; nor go back to those which they have found mischievous on trial"). The constitution is a **plant grown**, not a machine built — you graft on no "**scion alien to the nature of the original plant.**"
3. **Society as an inter-generational inheritance.** The crown and constitution are a "**stock and root of inheritance**" binding the **dead** (who framed it), the **living**, and **posterity** (to whom it's transmitted). (Burke's famous fuller phrase — *society as "a partnership between those who are living, those who are dead, and those who are to be born"* — comes later in the book; the assigned pages give it in its **constitutional form.**)
4. **Gradual, organic reform — change to preserve.** Burke does **not** reject all change — "**I would not exclude alteration... but even when I changed, it should be to preserve.**" Reform must repair "as nearly as possible in the style of the building." (*This is the practical meaning of the deck's Burke line — "a state without the means of some change is without the means of its conservation."*) Contrast the reckless French — "the **aeronauts of France**" on "desperate flights" — with the Englishman standing "**on the firm ground of the British constitution.**"

5. True liberty is liberty *tempered by restraint*. Burke refuses to praise liberty in the abstract: "what is liberty without wisdom, and without virtue? It is the greatest of all possible evils." A "free government" must "temper together these opposite elements of liberty and restraint" — a hard craft of prudence, not a quick deduction. And he skewers revolutionary assemblies: "moderation will be stigmatized as the virtue of cowards; and compromise as the prudence of traitors" — his diagnosis of how they radicalise by outbidding each other.
6. Defence of the settled order — hierarchy, monarchy, the established church, and property. The poor "must respect that property of which they cannot partake"; destroying the "settled order" and "natural subordination" strikes "at the root of all acquisition as of all conservation." (He even attacks speculative *financiers* — annuities and paper — as enemies of "settled" landed property: an early conservative critique of finance.)

Burke — take-aways

Core: defending the social order against revolution; the watchwords are order, harmony, cohesion, authority.

- **Against democracy / "mob rule":** "see what happened in France." The privileged few (the nobility/aristocracy) are the guarantors of order.
- **Tradition is essential:** the relationship between state and people is the fruit of a slow, historical "process of growth" — echoing (deliberately) Adam Smith's "natural progress."
- **It provoked the radicals.** Burke's *Reflections* triggered a wave of replies — most famously Mary Wollstonecraft's *A Vindication of the Rights of Men* (1790): "a desperate disease requires a powerful remedy" (and, two years later, her *Rights of Woman* — [Module 4](#)). → Burke's conservative counter-attack split liberals from radicals and defined the political spectrum for two centuries.
- **The module's irony:** Burke's phrase for the new, disenchanted age — "the age of chivalry is gone; that of sophisters, economists, and calculators has succeeded" — names, almost exactly, the other half of this very module. The dismal economists are Burke's villains.

★ Study-question answers

The lecture's four study questions, worked. (All four are on the economics half; each links to the developed passage.)

1 • How did Adam Smith define the value of a good? Did Malthus and Ricardo agree? **Answer:** see [the value debate](#). Smith gave a labour/cost-of-production theory: a good's "natural price" is set by what it costs to produce (wages + profit + rent), and behind that lies labour — value as *labour commanded* or *labour embodied*. He also split use-value from exchange-value (the water–diamond paradox: water is useful but nearly free; diamonds are useless but dear — so usefulness alone can't set price). Ricardo agreed and sharpened it into a rigorous [labour theory of value](#) (price $\propto$ labour required to produce a good; scarcity governs only non-reproducible goods like rare art), though he treated utility as a mere precondition for value. Malthus largely accepted the labour theory too (it's on the "agree" list) — but the three differ in emphasis, and Malthus broke with Ricardo elsewhere (on

gluts and the **landlords**). The rival view is **Say's subjective-utility** theory (value = usefulness to the buyer), which the "**Ricardian detour**" pushed aside for a century.

2 • What was "the social question," and what were Malthus's solutions? *Answer:* see the social question and Malthus on the poor laws. "**The social question**" = the mass **urban poverty** thrown up by the Industrial Revolution and the population explosion — slums, disease, no sanitation, women and children in factories and mines, wages at subsistence: *why are the working masses poor, and what can be done?* **Malthus's answer is bleak:** poverty is rooted in a natural law (population outruns food), so no charity can cure it. His "solutions": (a) **moral restraint** — later marriages and pre-marital chastity, the one check that offers hope; and (b) **abolish the poor laws** — poor relief (the **Speenhamland** wage-top-ups) is **counterproductive**, because it encourages the poor to have **more children**, lets employers **cut wages**, breeds **idleness**, and destroys **personal responsibility**. In short, Malthus puts "the poverty of the poor on the shoulders of the poor."

3 • How did Ricardo explain "the social question"? *Answer:* see distribution & the iron law of wages. Ricardo explained poverty **structurally**, through the **distribution of income** among three classes. By the **iron law of wages**, labour is a commodity whose **natural price = subsistence** (the wage that just lets workers survive and reproduce, tracking the grain price); the **market wage** oscillates around it, but population growth always drags it back — so **the worker is permanently stuck at the margin of subsistence**. Meanwhile **differential rent** rises as growth pushes farming onto poorer land, and rising rent **squeezes profits** until growth halts (the **stationary state**). The poor are poor by **economic law, not accident** — and (Ricardo insists) any rescue by state, employer or union is **futile**. His culprit is the **landlord**, whose unearned rent grows with everyone else's misery; his remedy is **free trade** — repeal the Corn Laws to cheapen food, relieve wages, and revive profits.

4 • What did Malthus mean by "market gluts," and what is Say's Law? *Answer:* see market gluts & Say's Law. **Say's Law** = "*supply creates its own demand*": every act of production pays out exactly enough income (wages, interest, profit, rent) to buy the output — "**somebody, somewhere, gets it all**" — so a **general glut (economy-wide overproduction) is impossible**, and government need not manage demand. **Malthus's "market gluts"** challenge this: demand **can** fall short of output (impoverished workers can't buy much; capitalists reinvest instead of consuming), so the economy **can** suffer **general overproduction, unsold goods and unemployment**. His fix: the "**unproductive consumption**" of the landowners (spending their rents) mops up the surplus. Ricardo sided with Say and won the argument for a century — until **Keynes** revived Malthus's insight and "**repealed**" Say's Law, founding macroeconomics.

★ Fun facts & memorable details

Sticky bits from Module 6 (Malthus • Ricardo • Say • Burke).

The dismal economists

- **Why "the dismal science."** The phrase is **Thomas Carlyle's** — his jibe at the "**Respectable Professors of the Dismal Science**," those hard-hearted economists who proved that charity is futile and misery inevitable. The nickname stuck for two centuries.
- **Ricardo the accidental revolutionary.** A conservative **stockbroker** who made a fortune in ~5 years, retired to a **landed estate**, and sat in Parliament — yet his labour theory of value + iron law

handed **Marx** the theory of exploitation. Galbraith: "If Marx and Lenin deserve busts... there should be room for an effigy of Ricardo."

- **Keynes on Ricardo's dominance:** he "captured Britain as completely as the Holy Inquisition captured Spain" — Say's Law became the badge that separated "reputable scholars from frauds and crackpots."
- **Malthus vs Ricardo — best frenemies.** The two were close friends who disagreed about almost everything ("wide-ranging and admiring disagreement") — value, gluts, the landlords, free trade. Economics as a friendship built on argument.
- **Malthus, quietly vindicated.** His "market gluts" idea was ignored for a century — then Keynes dusted it off in the 1930s and made him the grandfather of **demand-management**. The pessimist had been half-right.
- **Galbraith's zinger** on leaving population to the market (à la Reagan): ardent couples, instead of going to bed, "would betake themselves to the nearest **shopping mall**."

Burke & conservatism

- **Conservatism was founded by a liberal.** Burke was a **Whig**, a reformer, and a **supporter of the American Revolution** — who recoiled so hard from the **French** one that he wrote the founding text of the **Right**.
- **He wrote before the Terror — and looked like a prophet.** *Reflections* (1790) predicted the Revolution would end in violence and military dictatorship; the guillotine and **Napoleon** duly obliged.
- **"The aeronauts of France."** Burke's image for the revolutionaries: reckless **balloonists** drifting free of the ground, against the Englishman standing "**on the firm ground of the British constitution**."
- **"Even when I changed, it should be to preserve."** Burke's whole method in seven words — repair the house "**in the style of the building**," never demolish it.
- **He provoked a feminist classic.** *Reflections* triggered Mary Wollstonecraft's *A Vindication of the Rights of Men* (1790) — "a desperate disease requires a powerful remedy" — two years before her more famous *Rights of Woman*.

Exercise Class 4: Growth and Limits to Growth in Early Industrial Capitalism

Readings: excerpts from J. S. Mill, *Principles of Political Economy* (1848) • Konrad Zweig, "Smith, Malthus, Ricardo, and Mill: the Forerunners of Limits to Growth" (*Futures*, Dec. 1979, pp. 510–23) • **Wikipedia**, *The Jevons Paradox* • Brett Clark & John B. Foster, "William Stanley Jevons and *The Coal Question*" (*Organization & Environment* 14(1), 2001, pp. 93–98) • **film:** *Snowpiercer* (2013).

The class's question. Building on Module 6, this class asks the big one: **is economic growth self-sustaining — inherent in capitalism — or does it hit limits?** The startling answer from **classical political economy** is that growth **ends**: every classical thinker (Smith, Malthus, Ricardo, Mill) expected the economy to grind toward a "**stationary state**." The class then follows the idea forward — **Mill** re-imagines the stationary state as *desirable*; **Zweig** casts the classicals as the **forerunners of the 1972**

"Limits to Growth" debate; and **Jevons** extends limits from *land/food* to *coal/energy*, giving us the **Jevons paradox** — the 19th-century ancestor of today's climate & "green-growth" argument.

★ **The red thread:** for classical political economy, growth is **NOT inherent or eternal** — it is a **transient phase** that runs into **natural limits** and halts at the **stationary state**. Two engines drive it to a stop: **diminishing returns** (Ricardo — poorer land, rising rent, falling profits) and **population** (Malthus — mouths outrun food). **Mill** agrees on the mechanics but flips the mood: the stationary state is a chance to stop the "**struggle for riches**" and live well. **Jevons** adds the modern twist: making resource use more *efficient* doesn't save the resource — it **burns more of it** (the **Jevons paradox**).

The whole class is the 1800s inventing "limits to growth" — 150 years before the climate debate.

Key concepts to apply: *the stationary state · diminishing returns · the falling rate of profit · the Malthusian population limit · Mill's production vs distribution · the "Art of Living" · limits to growth (Club of Rome 1972) · the Jevons paradox / rebound effect · the Coal Question · green growth.*

The classical growth story — why growth *ends* (recap of Module 6)

Core: all four classicals share one structure — an economy grows for a while, then **runs into a natural ceiling** and settles into the **stationary state**. They disagree on the *ceiling* and on how to feel about it.

Adam Smith — the optimist who still saw an end

Core: Smith is the founder of **growth economics** — but even *he* expected growth to stop eventually.

- **The engine of growth** (Module 3): the **division of labour** raises productivity → generates a surplus → **capital accumulation** → a **widening market** → *more division of labour*. A **virtuous circle** ("the natural progress of opulence"). Growth is driven by **saving and investment** and by **free markets** (the *invisible hand*).
- **But growth is finite.** As capital accumulates, **competition drives the rate of profit down**. A country that had acquired its "**full complement of riches**" — the most its soil, climate and institutions allow — would reach a **stationary state**. Smith's three moods: the **progressive** state is "cheerful"; the **stationary** state is "dull"; the **declining** state is "melancholy." → *Even the apostle of growth built in a ceiling.* (Working Q1.)

What is "the stationary state"?

Core: the **end-point** of the classical growth story: an economy with **zero net growth** — capital and population no longer expanding, wages at subsistence, profits at their minimum, no further accumulation.

- Not a *crash* but a **plateau**: output stops rising, the population stops growing, and the "progress of wealth" halts. For Smith and Ricardo it is a **gloomy** destination (low wages, low profits, no dynamism); for **Mill** it is an **opportunity** (below). (Working Q2.)

Malthus & Ricardo — sustained growth is *impossible*

Core: the two "dismal economists" both deny that growth can go on forever — for **two different reasons**. (Full treatment in [Module 6](#); [here is the growth-specific version](#).)

	Malthus	Ricardo
The main problem	population outruns food (geometric vs arithmetic) → misery holds living standards at subsistence	diminishing returns on land → rising rent → falling profits → growth stalls (the stationary state)
Why growth can't last	any rise in wages just breeds more people, who eat the surplus → back to subsistence	as population grows, farming spreads to poorer land ; the landlord's rent rises and eats the capitalist's profit until investment stops
The solutions	moral restraint (later marriage) + abolish the poor laws ; unproductive spending by landlords cushions <u>gluts</u>	free trade — repeal the Corn Laws to cheapen food, lower rents, restore profits and <i>postpone</i> the stationary state

- Both agree on the labour theory of value and on **abolishing the poor laws**; they **disagree** on the **landlords** (Malthus: useful protectors; Ricardo: parasitic free-riders) and on **free trade** (Ricardo for; Malthus wary). (Working Qs 3–5.)
- **The shared verdict:** *growth is a temporary windfall, not a permanent feature of the market economy*. The market left alone runs **down** toward stasis. → This is the classical "limits to growth," and the pivot into **Mill** and **Jevons**.

John Stuart Mill — *Principles of Political Economy* (1848)

Reading: J. S. Mill, *Principles of Political Economy*, selections (the "Preliminary Remarks"). (△ The excerpt is the opening survey — it delivers Mill's **definition of political economy** and the **production/distribution distinction**, but **not** "Of the Stationary State"; that famous chapter (*Bk IV, ch. VI*) is supplied below from the course + [Zweig](#), clearly marked.)

Core: Mill is the **culmination** of classical political economy — he accepts the classical machinery but adds a **liberating twist** that turns the dismal science into a **reformist** programme.

What is political economy, for Mill?

Core: political economy is a **moral and social science** — the study of the causes of wealth that are **human**, not physical.

- Mill draws a line: in so far as a nation's economy turns on **physical knowledge**, it belongs to the **physical sciences**; but in so far as the causes are "**moral or psychological, dependent on institutions and social relations, or on the principles of human nature**," they are the object of **political economy**. In plain terms: economics studies the part of wealth that depends on **how humans organise themselves**, not on the laws of matter.
- It **assumes** the physical conditions of production (leaving them to physical science) and traces the "**secondary or derivative laws**" of the production and distribution of wealth. (Working Q6.)

★ The decisive break — laws of *production* vs laws of *distribution*

Core: Mill's single most important move, and the one that **splits him from Ricardo**. The laws of **production** are fixed by nature; the laws of **distribution** are **made by us** — and so can be **reformed**.

	Laws of Production	Laws of Distribution
Source	the properties of matter + the state of knowledge	" partly of human institution " — a society's <i>statutes and usages</i>
Fixed or chosen?	fixed / quasi-physical — "not an arbitrary thing"	chosen — society "has the power of deciding what institutions shall exist"
Reformable?	no — they constrain <i>how much</i> there is	yes — how the pie is <i>divided</i> is ours to decide

- The quotable line: "Unlike the laws of Production, those of Distribution are partly of human institution: since the manner in which wealth is distributed in any given society, depends on the statutes or usages therein obtaining."
- The guardrail (Mill is no wishful utopian): "though governments or nations have the power of deciding *what* institutions shall exist, **they cannot arbitrarily determine how those institutions shall work**" — once you choose a distributive scheme, its **consequences** follow law-governed patterns.
- Why it matters — **this is where the dismal science stops being fatal**. For Ricardo, distribution (rent, subsistence wages, the profit-squeeze) was fixed by natural law, so poverty was inevitable and reform futile. Mill answers: **distribution is a human choice** → **redistribution and reform are legitimate and possible**, *without* violating any economic law. This is the intellectual charter of **social liberalism** — and why Mill grew sympathetic to a qualified **socialism**, **worker co-operatives**, and bettering the condition of the working class. (Working Q7.)

★ The stationary state — *welcomed*, not dreaded (Bk IV, ch. VI)

Core: (from Mill's famous chapter, beyond the excerpt — see Zweig.) Mill agrees with Smith/Ricardo that **growth ends** in a stationary state — but he **inverts the mood**. Where they saw gloom, Mill sees liberation.

- **Growth was never the point**. Mill is "not charmed" by the ideal of a life spent "trampling, crushing, elbowing, and treading on each other's heels" — the endless "struggle for riches." That competitive scramble is a *means*, useful only while poverty must be conquered — not a way to live.
- **A stationary economy ≠ a stationary humanity**. "A stationary condition of **capital and population** implies no stationary state of **human improvement**." With growth halted, energy is freed for the "**Art of Living**" — mental, moral and social cultivation, and **leisure** — rather than more *getting*.
- **Proto-environmentalism** (why the class reads him under "limits to growth"). Mill did **not** want every acre turned to human use: he dreaded a world with "**not a spot left where a wild shrub or flower could grow**," no solitude, no nature to contemplate. He hoped humanity would be "**content to be stationary, long before necessity compels them to it**." → A 19th-century case for **degrowth by choice** — *quality of life over quantity of output*. (Working Q8, in part.)

- **Where Mill lands vs his predecessors:** he **keeps** the classical framework (stadial history, Malthusian population as a real force, production as quasi-physical, the stationary state as the endpoint) but **breaks** on the two things that matter — **distribution is a human choice** and **the stationary state is desirable**. *The dismal science, turned hopeful*.

Zweig — the classicals as "forerunners of limits to growth"

Reading: Konrad Zweig, "Smith, Malthus, Ricardo, and Mill: the Forerunners of Limits to Growth" (*Futures*, 1979).

Core: Zweig's thesis pulls the whole class together — the four classicals, writing at the *dawn* of industrial capitalism, were the **original theorists** of "limits to growth," anticipating the famous **1972 Club of Rome / MIT report *The Limits to Growth*** by 180 years. All four thought growth was **good but not permanent**; all four saw it ending in a **stationary state**.

- **Their common vision** (Zweig's spine): "**pressure of population, nature's niggardliness and decreasing response to human effort... subsistence wages, and falling profits**" → the economy ends "**in a state of precariousness and indigence**." **Smith, Malthus, Ricardo feared this end** as collapse; **only Mill welcomed it** — but Mill's benign version needs social reform the others never considered.
- **Why growth is NOT inherent in the market economy** (the exam pivot — **Working Q8**). The market is brilliant at **allocation** and at *generating growth while resources are ample* — but it has **no mechanism to overcome the finite limits of nature**. The very success of accumulation triggers the sequence that undoes it:

accumulation → higher wages → population grows → more food demand → poorer land cultivated → *diminishing returns* → rising food cost + rent, wages pinned at subsistence → *falling rate of profit* → accumulation stops → **stationary state**. So growth is a **phase**, not a permanent property, of capitalism. Left alone, the market runs *toward* stasis. **What to do?** — postpone it (Smith: free trade, education; Ricardo: cheap food via free trade), restrain population (Malthus's moral check), or — the only real programme — **choose it and reform distribution** (Mill).

- **The modern parallel — and where the classicals differ:**
 - *The parallel:* the MIT "world model" of exponential growth hitting finite limits "**remarkably concurs**" with the classicals' mental models. Boulding's image: the "**cowboy economy**" of the open frontier becomes "**spaceship Earth**" — finite, closed, no escape.
 - *The differences:* the classicals' limit was **land / food** (agricultural diminishing returns + population); the moderns' is **energy, minerals & pollution** (industrial/ecological). And the classicals **under-weighted technical progress** — they thought innovation could only *postpone*, never *defeat*, diminishing returns (which is why the booming 19th-century economy seemed to *refute* Ricardo).
- **Zweig's own provocative conclusion** (*his advocacy, going beyond the classicals*): a genuine stationary state **cannot** be run by a free market — it would need a "**new interventionist order**" (central planning, controlled distribution, population control), because a no-growth economy can't satisfy

everyone's rising claims through market forces. He ends on **Schumpeter** — "Can capitalism survive? No, I do not think it can" — and **Smith** — "Life is hard in the stationary state, which is dull and melancholy."

★ William Stanley Jevons — *The Coal Question* (1865) & the Jevons paradox

Readings: Wikipedia, *The Jevons Paradox* · Clark & Foster, "William Stanley Jevons and *The Coal Question*" (2001). (The second folder PDF is actually Missemer's 2012 scholarly analysis of the same book, folded in below.)

Core: Jevons moves the limit to growth from **LAND** to **ENERGY**. The classicals built limits out of food/land (diminishing returns); Jevons argues Britain's whole prosperity rests on a **finite, non-renewable fossil fuel** — **coal** — and that, paradoxically, using it *more efficiently* only makes us burn *more* of it. He is the 19th-century ancestor of every modern climate / "green-growth" debate.

■ The Coal Question — the argument

Core: Britain's industrial supremacy is **coal-powered**, and coal is running toward exhaustion — not physically, but **economically**.

- **The chain:** Britain's dominance rests on **cheap, high-quality coal** → but coal is **finite & non-renewable**; as shallow seams are worked out, mining goes **deeper**, so the **cost of coal rises** → Britain **loses its cheap-energy advantage** → rivals with "virgin reserves" (USA) overtake it → **growth stalls**. A **coal-based stationary state** — the energy version of Ricardo's land-based one.
- **Malthus, transposed from food to fuel.** Jevons swaps corn for coal: "**the momentous repeal of the Corn Laws throws us from corn upon coal.**" Free trade meant Britain imported food and paid with **coal-made manufactures** — so the ultimate constraint became **energy, not land**. He puts *depletion* into an analytical frame just as Malthus did for population.
- **"Economic," not physical, exhaustion.** The mines are "**literally inexhaustible**" — we'll never scrape the bottom — but we'll "**have to pay dear for fuel.**" What binds is **cost**, not emptiness; and what matters is "**the rate at which our consumption increases**" (which is **exponential**), not the exact size of the reserve.

■ ★ The Jevons paradox — efficiency *increases* consumption

Core: the idea Jevons is famous for. **Making a resource more efficient to use does NOT save it** — it makes us use *more*.

- **The paradox (the quote to memorise):** "It is wholly a confusion of ideas to suppose that the economical use of fuel is equivalent to a diminished consumption. The very contrary is the truth." "*It is the very economy of its use which leads to its extensive consumption.*"
- **The mechanism** (why efficiency backfires): a more efficient engine **lowers the effective cost** of power → **profits rise, capital flows in, output prices fall, demand expands, and new uses open up** → and the boom **spreads to other industries**. So total demand for coal grows **faster** than efficiency saves it per unit. Efficiency is an **engine of expansion**, not conservation.

- **Watt's steam engine (the proof):** each improvement made steam power **cheaper**, so it spread into ever more uses — every efficiency gain "**does but accelerate anew the consumption of coal.**"
- **Blast furnace (in one sentence):** use less coal per ton of iron → "**profits increase, new capital is attracted, the price of pig-iron falls, but demand for it increases; and eventually the greater number of furnaces will more than make up for the diminished consumption of each.**"
- **The modern name — rebound & backfire:** the **rebound effect** = efficiency savings are **partly offset** because cheaper energy stimulates more use (a more efficient car → you **drive more**; plus the money saved gets spent on *other* energy-using things — and cheaper energy grows the *whole* economy). When rebound **exceeds 100%**, total use *rises* — that's "**backfire**" = **the Jevons paradox proper**. (*Jevons anticipated not just the direct rebound but the indirect and macro forms — remarkably complete.*)

Why it matters — the challenge to "green growth"

Core: the paradox is the **foundational objection to techno-optimism**. If **efficiency alone** can't cut resource use, then **technology cannot decouple growth from its environmental cost** — you need **caps, taxes, or structural change**, not just better gadgets.

- **Efficiency ≠ conservation** — the whole lesson in three words. LED bulbs, efficient engines, efficient data-centres: each *can* raise total energy use by making energy services cheaper and the economy bigger. → *A direct hit on "green growth" / decoupling.*
- **Jevons's own blind spot — substitution pessimism (his big mistake).** He examined and **dismissed every alternative** to coal: wind/water (unreliable), wood (already abandoned for coal), oil (needs coal to extract), **electricity** (not a *source* but a *carrier* — trusting it is like believing in "**perpetual motion**"), solar (not yet mastered; Britain's not sunny). He'd even *documented* an earlier fuel switch (charcoal → coal in the iron trade) yet **couldn't imagine another**. He badly under-rated **petroleum and hydro** — Keynes later called the argument "over-strained."
- **His grim conclusion — a choice, not a fix:** "**We have to make the momentous choice between brief but true greatness and longer continued mediocrity**" — and he effectively chose to **burn it fast**. His one constructive proposal was **intergenerational compensation**: use the coal intensively but convert the wealth into **lasting assets** (education, infrastructure) and **pay down the National Debt** so posterity isn't doubly punished. (*He rejected a coal tax — because coal underlies everything, taxing it would tax the whole economy — an argument that eerily prefigures modern objections to a carbon tax.*)
- **Clark & Foster's ecological-Marxist reading:** Jevons spotted the *mechanism* but missed its *cause*. As an early marginalist he treated capitalism as natural, so he located rising demand in **individual behaviour + population** — never in capital accumulation itself, the "**treadmill of production**" that compels endless reinvestment and growth. (Their fix — the one that "never entered Jevons's mind" — is to **change the social relations of production**, not just the gadgets.)
- **The exam-worthy irony:** Jevons was a **pro-growth, pro-industry marginalist** who cared about **British power, not the planet** (he ignored coal's pollution and miners' deaths) — yet his logic became **environmentalism's sharpest weapon against unlimited growth**. The booster of growth handed the **degrowth** movement its best argument.

Snowpiercer (2013) — the case on film

Core: Bong Joon-ho's dystopia as a **parable of growth, limits, and distribution**. A botched climate geo-engineering fix freezes the Earth; the last survivors circle the dead planet on a perpetual-motion **train**, rigidly divided **tail (the poor) vs front (the rich)**.

- **How it ties to the class:** it dramatises the two threads at once — a **hard ecological limit** (a ruined planet; the train as a closed, finite system with a fixed "**ecological balance**" the elite police by culling the poor) **and** the **distribution** question (Mill's point that who-gets-what is a matter of **human institution**, here a brutal engineered hierarchy). → *A vivid prompt: is the answer to limits a better-managed hierarchy (the Engine), or breaking the system itself (the ending)? — exactly the Jevons vs Clark-&-Foster argument in fiction.*
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★ Working-question answers

The class's eight working questions, worked. (1–5 recap Module 6; 6–8 are the new material.)

1 • **What was Adam Smith's view on economic growth?** *Answer:* see Smith on growth. Smith is the great **optimist**: growth comes from the division of labour → higher productivity → a surplus → capital accumulation → a **widening market** → still more division of labour — an **upward spiral** ("the natural progress of opulence"), steered by the invisible hand of self-interest and free competition, needing no state direction. *But* even Smith saw growth as **finite**: as capital piles up, competition drives the **rate of profit down**, and a country reaching its "**full complement of riches**" sinks into a **stationary state** — "**dull and melancholy**," with wages at subsistence. *It is growth itself, not the level of wealth, that benefits workers* (the "progressive state" is the happy one).

2 • **What is "the stationary state/society"?** *Answer:* see the stationary state. The **end-point** of the classical growth story: an economy with **zero net growth** — capital and population no longer expanding, **wages at subsistence, profits at their minimum, no further accumulation**. Not a crash but a **plateau**. For Smith and Ricardo it is a **gloomy** destination; for Mill a chance to stop the "struggle for riches" and live well.

3 • **Malthus's & Ricardo's view on sustained growth?** *Answer:* see Malthus & Ricardo on growth. **Both say sustained growth is impossible** — the economy must end in the stationary state — for **different reasons**: **Malthus** because **population** always catches up with any rise in output (mouths outrun food); **Ricardo** because **diminishing returns on land** raise rent and crush profits until accumulation stops.

4 • **The main problem — Malthus? Ricardo?** *Answer:* **Malthus:** the population principle — population grows geometrically while food grows only arithmetically, so living standards are pinned at **subsistence** by the checks (misery, vice, moral restraint). **Ricardo:** diminishing returns → rising rent → the falling rate of profit — as growth pushes farming onto poorer land, the **landlord's rent** rises and **squeezes the capitalist's profit** to a minimum, ending investment. (*Malthus blames nature/population; Ricardo blames the distribution of income — specifically the landlord.*)

5 • The solutions — Malthus? Ricardo? *Answer:* see Module 6 study answers. Malthus: moral restraint (later marriage) + abolish the poor laws (relief is counterproductive); landlords' "unproductive" spending cushions gluts. Ricardo: free trade — repeal the Corn Laws to cheapen food, lower rents, restore profits, and *postpone* the stationary state. Neither offers a true escape — only a delay.

6 • What is political economy according to Mill? *Answer:* see what is political economy. A moral and social science — it studies the causes of a nation's wealth that are human ("moral or psychological, dependent on institutions and social relations, or on the principles of human nature"), assuming the physical conditions of production (which it leaves to physical science). Its job is to trace the "secondary or derivative laws" of the production and distribution of wealth.

7 • How does Mill's programme differ from his predecessors? Where do they agree? *Answer:* see the production/distribution break and the stationary state welcomed. Agreement: Mill keeps the whole classical machinery — Malthusian population as a real force, production as quasi-physical, and the stationary state as the inevitable endpoint. The breaks (two, both decisive): (a) the laws of production are fixed by nature, but the laws of distribution are "partly of human institution" — chosen by society, so redistribution and reform are legitimate and possible (against Ricardo's fatalism that poverty is fixed by natural law); (b) the stationary state is *desirable*, not dreaded — a chance to end the "trampling, crushing, elbowing" struggle for riches, cultivate the "Art of Living," and preserve nature. → Mill turns the dismal science hopeful and reformist.

8 • Is economic growth inherent in capitalism? Why not? What to do? *Answer:* see why growth is not inherent. No — for classical political economy growth is a transient phase, not a permanent feature of the market economy. Why not: the market can allocate and generate growth while resources are ample, but it has no mechanism to beat the finite limits of nature; the very success of accumulation sets off population growth → diminishing returns → rising rent → falling profit → the stationary state. What to do: postpone it (free trade, education), restrain population (Malthus), or — the only real programme — choose the stationary state and reform distribution so it is comfortable rather than "pinched" (Mill). And Jevons adds the sting: you can't efficiency-your-way out — saving a resource per unit just makes you use more of it.

★ Fun facts & memorable details

Sticky bits from Exercise Class 4 (growth • the stationary state • Mill • Jevons).

- The founders of economics were growth pessimists. Every classical — even Smith — expected growth to run out and end in a "dull and melancholy" stationary state. Endless growth is a modern faith they didn't share.
- Mill wanted degrowth — in 1848. He hoped humanity would "be content to be stationary, long before necessity compels them to it," and dreaded a world with "not a spot left where a wild shrub or flower could grow." A Victorian environmentalist a century before the word existed.
- "Content to be stationary" ≠ stagnant. Mill's twist: "a stationary condition of capital and population implies no stationary state of human improvement" — stop getting, start living (the "Art of Living").
- The Jevons paradox: efficiency backfires. "It is wholly a confusion of ideas to suppose that the economical use of fuel is equivalent to a diminished consumption. The very contrary is the

truth." Watt's *more efficient* steam engine led to *far more* coal burned — the 1865 ancestor of every "green-growth" debate.

- **Jevons's own blind spot.** He dismissed **electricity** as an energy source — trusting it, he said, was like believing in "**perpetual motion**" — and badly under-rated oil. The prophet of energy limits couldn't imagine the energy transition.
- "**Brief greatness or longer mediocrity.**" Jevons's grim choice for coal-burning Britain — and he effectively chose to **burn it fast**. Yet this pro-growth, pro-empire economist handed the **degrowth** movement its sharpest weapon.
- From "**cowboy economy**" to "**spaceship Earth**" — Boulding's image (via Zweig) for the whole shift the classicals foresaw: from the open frontier to a finite, closed system with nowhere left to expand.
- **Snowpiercer is a stationary-state parable on rails** — a closed, finite system where the elite police a fixed "ecological balance" by culling the poor. The question the film (and the class) leaves you with: *manage the hierarchy, or break the train?*

Module 7: From Political Economy to (Micro)Economics (1871–1933)

Readings: Backhouse, *The Penguin History of Economics* (2023), pp. 185–205 (*the split between history & theory; the marginal revolution*) • W. S. Jevons, *The Theory of Political Economy* (1871, 3rd ed. 1888), **chs I + III** • Alfred Marshall, *Principles of Economics* (1890, 8th ed. 1920), **Bk V ch. III** (*the reading list says "ch. II"; the supplied text is Bk V ch. III, "Equilibrium of Normal Demand & Supply"*). (Lecturer: Joachim Lund — deck "From Political Economy to (Micro)Economics.")

Theme of the module. This is where **modern (micro)economics is born**. Two things happen at once in the late 19th century. (1) A great methodological divide opens between the German Historical School (economics as *history* — inductive, empirical, institutional, state-friendly) and Anglo-Austrian theory (economics as *science* — deductive, abstract, market-friendly), climaxing in the **Methodenstreit** of 1883. (2) The marginal revolution (1871: Jevons & Menger; 1874: Walras) throws out the classical labour theory of value and replaces it with **marginal utility** — value is set by the **last unit consumed**, by the **individual at the margin**. Marshall then fuses utility (demand) with cost of production (supply) into the neoclassical synthesis — the "**scissors**." Economics detaches from *political* economy and from morals, and becomes the science of **utility maximization** and Homo Oeconomicus.

★ The heart of the module — from classical to neoclassical:

- **Classical political economy (Smith → Ricardo → Mill → Marx):** value is **objective** — it comes from the **cost side** (labour / cost of production); the subject is about **classes, distribution, growth and limits** (the stationary state); it is *political* economy, entangled with morals.
- **Neoclassical (micro)economics (Jevons • Menger • Walras • Marshall):** value is **subjective** — it comes from the **demand side**, from the **marginal utility** of the last unit to an individual consumer; the subject **isolates the smallest units** and the **moment of decision at the margin** (= *microeconomics*; macro = the sum of micro); it aspires to be an **exact science** stripped of morals, about **utility maximization**.

- **The hinge is the water-diamond paradox:** Smith could not solve it with the labour theory of value; marginalism solves it in one line — water is abundant, so its **marginal** utility (and price) is near zero, even though its *total* usefulness is huge.
- **Marshall's settlement:** value is governed by **both** utility (demand) *and* cost of production (supply) — "as reasonably dispute whether it is the upper or the under blade of a **pair of scissors** that cuts a piece of paper."

Key concepts to apply: *positivism (Comte) vs historicism (Ranke) · sources vs facts · nomothetic vs idiographic · deductive vs inductive · the German Historical School (List · Roscher · Schmoller) · institutionalism · the Methodenstreit (Schmoller vs Menger, 1883) · value in use vs value in exchange · the water-diamond paradox · labour theory of value vs subjective / marginal utility theory · total utility vs the final degree of utility (marginal utility) · diminishing marginal utility · marginalism · the marginal revolution (Jevons · Menger · Walras) · utility maximization · Homo Oeconomicus · methodological individualism · Marshall's neoclassical synthesis · partial equilibrium · the scissors · market / short-run / long-run period · money as a measuring rod · (critique) institutionalism · "bring the state back in" · no pure competition.*

The great divide: social science vs history

Core: the lecture opens on a **19th-century methodological split** that still shapes the social sciences — between a **law-seeking** science modelled on physics and a **source-interpreting** history. Economics ends up on the *science* side.

- **Two goals, two time-directions.** *Social science* knows the historical background and tries to **explain the present** (sociology, political science) **or even predict the future** (economics). *History* knows the **outcome** and tries to explain **how we got there** — it is about **transition and causation**.
- **Sources vs facts** — the deepest disagreement:
 - *Social science insists:* something **did** happen; we can read the **facts/data** in the literature; facts provide the basis for **theory building**.
 - *History insists:* we **cannot know exactly** what happened or why; we only have **sources**, which are **not facts** but material for **interpretation**.
- **The two 19th-century "isms" behind this:**

	Positivism (Comte, 1798–1857)	Historicism (Ranke, 1795–1886)
Ontology	there is a world to be discovered by scientific means	historical events must be judged on their own merits , not by our norms
Method	detect natural laws in society's evolution (data)	source criticism , a pluralism of sources, interpretation
Yields	general, quantitative data	specific, qualitative understanding

- **Why "laws of history" feel absurd — the joke that makes the point.** Henrik Nissen's spoof "Nissen's Law" (1981): "*whenever a state wins uncontested military hegemony in Western/Central Europe, it attacks Russia, and the following winter is unusually cold*" — Charles XII (1708), Napoleon (1812), Hitler

(1941). Three data points look like a "law," but of course it is nonsense. *In plain terms*: historical regularities are not natural laws — which is exactly the historians' complaint against economic "laws."

Context: Germany vs England vs the US (the second industrial revolution)

Core: the two economic traditions grow out of **two very different national situations** during the **second industrial revolution** (railways, chemicals, electricity, steel).

- **England** — "trapped by success." The "**workshop of the world**," the first mover, with a global empire and a liberal, free-trade creed (**Corn Laws abolished 1846; Cobden Treaty 1860**). Complacent; the model to be explained.
- **Germany** — **catch-up & nation-building**. A latecomer with global ambitions, still largely agricultural, with persisting **mercantilist regulation** and a **large state bureaucracy** acting as **patron**. This is the home of **Gerschenkron's** point: the more **backward** the economy, the bigger the **role of the state** in catching up — which pushes German economists toward **protection and institutions**.
- **The US** — **the new giant (1860–1914)**. From farming to the **largest industrial state**: the "**American system of manufacturing**" (interchangeable parts, "armory practice"), **Fordism** (assembly lines) and **Taylorism** (efficiency), railways and the telegraph, great fortunes (Morgan, Rockefeller, Carnegie), mass immigration — all behind a **weak federal state** that was **protectionist** yet **anti-trust** (**Sherman Act 1890**).
- **The protectionist paradox** (a lecture puzzle): *more* international competition tends to produce *more* protectionism — the loser of free competition reaches for the tariff.

Two traditions of 19th-century economic science

Core: the deck's framing — the century's economics splits into two projects asking two different questions.

	German Historical School / Historical Economics	Anglo-Saxon / Austrian classical & neoclassical theory
Question	<i>why</i> did capitalism emerge in particular countries (Britain first), and how can latecomers (Germany) catch up & survive?	<i>how</i> does capitalism function — what are its " laws "?
Emphasis	the uniqueness of national experiences; institutions	universal theory; the market mechanism
Policy lean	state intervention , protection	the forces of the market , free trade
Becomes	institutionalism	neoclassical microeconomics

The German Historical School (List · Roscher · Schmoller)

Core: an evolutionary, dynamic approach that questioned the relevance of British classical doctrine to Germany — stressing that economic institutions, history and the state differ from country to country.

- **Friedrich List** — *The National System of Political Economy* (1841). The policy voice: **free trade inside a country, protectionism on the outside** to shelter **infant industry** until it can compete. Against English individualism he stressed **collective action**: "*the association of individuals for a common end is the most efficacious mode towards the happiness of individuals.*" (Contrast Smith's invisible hand and P. Leroux's warning that English individualism turns men into "rapacious wolves.")
- **Wilhelm Roscher** — *Principles of Political Economy* (1854); the "older" school. Founded the movement (1843). The **historical method** is essential to understand the differences between economic systems; classical theory is inappropriate to Germany's conditions. (In practice the older school's work still looked a lot like Smith or Mill.)
- **Gustav Schmoller** — *Political Economy and its Method* (1894); the "younger" school. Far more radical. **Sceptical of "laws of history"**; insisted economics must rest on **detailed empirical and historical observation** before generalizing; wanted to broaden economics toward **economic sociology**. Conservative (a Hohenzollern loyalist) **but a committed social reformer** — founder-figure of the **Verein für Sozialpolitik** ("Union for Social Policy," 1872), whose members were nicknamed "**academic socialists**" (piecemeal studies → factory laws, social insurance, working hours).

★ The Methodenstreit (1883) — the clash over method

Core: the open war that defined the dividing line in economics: **Gustav Schmoller** (historical/institutional) vs **Carl Menger** (theoretical/marginalist). It **split the German-speaking profession**.

Schmoller — historical / institutional	Menger — classical / marginalist
Empirical	Theoretical
Concrete	Abstract
Inductive	Deductive
Dynamic	Static
Qualitative	Quantitative
Idiographic (the specific, unique)	Nomothetic (the general law)

- **Menger's attack (1883)**. He wanted a **rigid separation**: **theoretical economics** states "**exact laws**" built on **abstractions** — **pure self-interest, omniscience, free movement**. To test such theory against messy reality is a **category mistake**: "*pure self-interest cannot exist any more than can pure oxygen.*" Two seeds that later define **Austrian economics**: methodological individualism (start from the individual, never from aggregates) and **spontaneous order**. Menger also rejected **mathematical economics**: maths shows relations between **quantities**, not the **essence** of phenomena.

- **Schmoller** reviewed Menger scathingly; the feud turned bitter. Backhouse's verdict: the fight was **as much about policy** (Schmoller for protection, Menger against) and academic turf as about logic — the two could have agreed that **different questions need different methods**.
- **The settlement (today's consensus)**. Sound economics needs **both**: (1) collecting **statistical information** and (2) building **analytical tools and theory** to handle it. (The lecture notes, pointedly, that **Marx** had *already* combined general static "laws" with dynamic institutional analysis in *Capital* — the subject of Lecture 8.)

★ The water-diamond paradox (the preconditions for marginalism)

Core: the famous puzzle that classical value theory **could not solve** — and that marginal utility **does**.

- **Smith's statement**. The word *value* has **two meanings**: **value in use** (how useful a thing is) and **value in exchange** (its purchasing power). They can come apart completely: "*Nothing is more useful than water; but it will purchase scarcely anything... A diamond, on the contrary, has scarcely any use-value; but a very great quantity of other goods may be had in exchange for it.*"
- **Smith's own answer: the labour theory of value**. Value in exchange is set by the "**toil and trouble**" of acquiring a thing — the **labour/cost** embodied in it. Diamonds are dear because they are hard to find; water is cheap because it is easy to get. This locates value on the **cost/production side** and leaves use-value hanging.
- **Why it is the hinge**. The paradox is exactly what marginalism dissolves (see below): value is not about **total** usefulness or **cost**, but about the **usefulness of the last unit** — and because water is abundant, the utility (and price) of **one more** glass is almost nothing.

Bentham & the forerunners of marginalism

Core: the raw material of marginalism — **utilitarian psychology** plus a scattering of thinkers who had already glimpsed **diminishing** utility.

- **Jeremy Bentham's utilitarianism (1748–1832)**. Utility = the capacity to **increase pleasure and reduce pain**. Jevons adopts this wholesale: "*to satisfy our wants to the utmost with the least effort... to maximise pleasure, is the problem of Economics*" (Jevons, p. 37). **Pleasure and pain are the "objects of the calculus of economics."**
- **The forerunners who saw diminishing utility** (each spotted it in one corner): **Bentham** — diminishing utility of **money**; **Ricardo** — diminishing returns on **marginal lands**; **Senior** — diminishing utility of **commodities**; **Mill** — diminishing utility of **production** (marginal costs); and, in Germany, **Gossen** and, in France, **Cournot** and the engineers (Dupuit). None quite put the whole thing together.

★ The marginal revolution — what marginalism is

Core: the breakthrough of 1871–74. Value is no longer embodied by labour; it is set **at the margin** by the **marginal utility** of the last unit — a **subjective, demand-side** theory that founds **microeconomics**.

- The breakthrough, almost simultaneously and independently:
 - W. S. Jevons, *The Theory of Political Economy* (1871) — a general value theory on utility.
 - Carl Menger, *Principles of Economics* (1871) — **subjective** value theory (Vienna).
 - Léon Walras, *Elements of Pure Economics* (1874) — value from **scarcity** ("rareté"), and **general equilibrium**.
 - Alfred Marshall, *Principles of Economics* (1890) — the neoclassical synthesis (supply + demand).
- What marginalism is (deck):
 - It definitively replaces the labour theory of value with **marginal utility theory**.
 - **Value is set at the margin:** demand depends on the **marginal utility** of the last unit, which is **subjective** and (given diminishing utility) **falls as quantity rises**. This solves the water-diamond paradox in one stroke.
 - Method is **deductive**; it **presupposes free competition and complete information**.
 - It **isolates the smallest units in the economy and the moment of decision at the margin** — this is **microeconomics** ("macro = the sum of micro decisions").
 - It **detaches economics from "political economy"** and from morals: an **exact science** in which "morals have little to do with economic decisions." It's about **utility maximization** by Homo Oeconomicus. (It also rejects Ricardo/Mill's moral claim that land rent is "unproductive/immoral.")
- The trio compared (same core, three routes):

	Jevons (Britain)	Menger (Austria)	Walras (Lausanne)
Starts from	utilitarian pleasure/pain	the essence of needs (Aristotelian); not a utilitarian	scarcity ("rareté"); not a utilitarian
Method	mathematical (calculus)	verbal , essences & causes; anti-maths	mathematical , simultaneous equations
Signature	value = final degree of utility	subjective value; goods hierarchy; markets not in equilibrium (limited knowledge, entrepreneurs)	general equilibrium across all markets; tâtonnement ("groping") toward equilibrium

★ William Stanley Jevons (1835–1882) — value depends entirely on utility

Core: Jevons breaks with Ricardo and makes **utility** the whole basis of value, in a deliberately **mathematical** economics.

- "Economics deals with quantities, and must therefore be a mathematical science." A chemist/meteorologist by training and a methodologist (*The Principles of Science*, 1874), he was

optimistic that economic quantities could be **measured** (account books, price lists, bank returns).

- **His central, "somewhat novel" opinion:** "*value depends entirely upon utility.*" Against Ricardo (value = cost of production), Jevons says utility — specifically the benefit of the **last unit consumed** — governs value.
- **The key concept: total utility vs the *final degree of utility*.** The **final degree of utility** = the utility of the **last increment** of a good = what we now call **marginal utility**. The **law of the variation of utility**: the final degree of utility **diminishes** as you consume more. (So the hundredth litre of water is worth almost nothing to you.)
- **Jevons's chain — how cost and value connect only *indirectly*:**
 1. **Cost of production determines supply;**
 2. **supply determines the final degree of utility;**
 3. **the final degree of utility determines value.** → **Labour does not determine value directly** — it only influences value by **changing supply**. The **focus shifts to the individual consumer**.
- **The maximization condition** (utilitarian calculus): a consumer maximizes utility when the **ratio of the marginal utilities** of two goods equals the **ratio of their prices**; a worker works until the **pain of the last hour** equals the **pleasure** its wage buys. Jevons calls this "a natural law of utility variation" and explicitly **calls for a law of supply and demand**.
- (*Applied Jevons — from earlier modules: The Coal Question (1865) and the Jevons paradox; and his sunspot theory of the trade cycle — statistical, inductive work he kept separate from the abstract theory.*)*

★ Alfred Marshall (1842–1924) & neoclassical economics

Core: Marshall **fuses** marginal utility (demand) with cost of production (supply) into the neoclassical synthesis — the foundation of microeconomics until the 1950s. His watchword: **be realistic**.

- **The synthesis.** Marginalism (utility) explains **why people act** — but "we still need to explain the **price** of a commodity." His answer: **value is subjective and, on its own, not so important; supply and demand are *equally* important**. He grafts Jevons's utility theory onto his own supply-and-demand apparatus.
- **The scissors** (the module's signature quote, *Principles* Bk V ch. III): "*We might as reasonably dispute whether it is the **upper or the under blade of a pair of scissors** that cuts a piece of paper, as whether value is governed by **utility or cost of production**.*" Demand (utility) is one blade, supply (cost) the other; **neither alone** cuts.
- **Partial-equilibrium analysis.** To take **time** seriously, Marshall refuses Walras's all-at-once **general** equilibrium and instead studies **one market at a time** ("partial equilibrium" — the "holy cross"). Which blade dominates depends on the **period** (defined by what is free to change, not the calendar):

Period	What can adjust	Who governs price
Market period	nothing — stock is fixed	demand alone (esp. perishables like fish)
Short run	output, via unskilled labour & machinery (rising cost)	supply and demand together
Long run	everything — skilled labour, plant, methods	mainly cost of production (more output, falling cost)

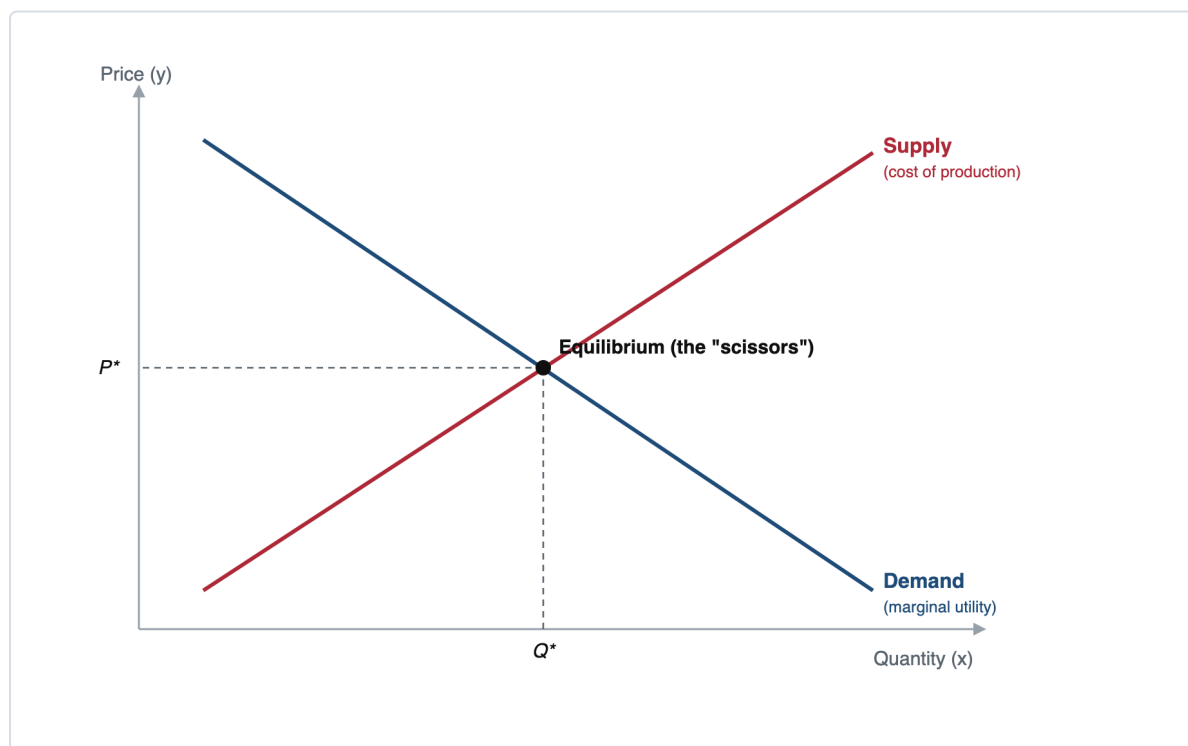
→ Rule of thumb: *the **shorter** the period, the more **demand** matters; the **longer** the period, the more **cost of production** matters.*

- **Equilibrium.** Where the **demand price** equals the **supply price**, output has "no tendency either to be increased or diminished" — the **equilibrium-amount** and **equilibrium-price**. A **stable** equilibrium behaves like a **pendulum** (or a stone hanging from a string): displace it, and market forces swing it back.

How the supply-and-demand curves are established (study question)

Core: build each curve from one blade of the scissors, then read price and quantity off their crossing point.

- The **demand curve** comes from (**diminishing**) **marginal utility**: because each extra unit is worth less, buyers will only take **more** at a **lower** price → the curve slopes **downward**.
- The **supply curve** comes from the **cost of production** (and, in the short run, **rising** marginal cost as output expands) → sellers will offer **more** only at a **higher** price → the curve slopes **upward**.
- **Equilibrium** is where they **cross** — the **scissors** — fixing the **equilibrium price P^*** and **quantity Q^*** . (Marshall's convention, still used: **price on the y-axis**, **quantity on the x-axis**.)



How to read it (illustrative diagram). The **blue** line is **demand** — low marginal utility of extra units means buyers only take more as the price falls. The **red** line is **supply** — rising production costs mean sellers only offer more as the price rises. They meet at the **equilibrium** (P^* , Q^*): the one price at which the amount people want to buy equals the amount firms want to sell. Move the price above P^* and supply exceeds demand (it falls back); below P^* , demand exceeds supply (it rises) — the pendulum returns to the cross.

Economics as a science — and the measuring rod of money

- **Marshall's definition:** economics is "a study of mankind in the ordinary business of life" — needs, wishes, incentives, motives, choices (so, partly **psychology**).
- **How to measure the unmeasurable? Money.** The **price we are willing to pay** for something expresses our **individual utility** at the margin — and since money is an **exact scale**, Marshall concludes **economics can be the most exact of the social sciences** (compare Jevons: "economics deals with quantities, so it must be mathematical"). But he is cautious: "**economics is less exact than the natural sciences**, but progress is being made towards greater precision."
- **The evolutionary temper.** Marshall preferred **biological** to **mechanical** metaphors — motto "*Natura non facit saltum*" ("nature makes no jumps": change is **gradual, continuous**). He saw **firms** passing through a **life cycle** (young & vigorous → old & displaced): *an industry is like a forest — the same even as every tree changes*. He also noted **external economies** (economies of scale) and the realities of **monopoly and duopoly**. Tellingly, he buried his **diagrams in footnotes** and **algebra in an appendix** — he wanted the book readable by **businessmen**.

★ What is "classical" and what is "neo-" in neoclassical economics? (study question)

Core: "neoclassical" = **marginalism**, *plus* what survived of the classics. Stanley Brue's definition: "*basically marginalism with a judicious recognition of the surviving contributions of the classical school*" (individual freedom of enterprise, private property, the market mechanism).

	Classical (Smith · Malthus · Ricardo · Mill · Marx)	Neoclassical (Jevons · Menger · Walras · Marshall)
Theory of value	objective — labour / cost of production	subjective — marginal utility
Side of the market	supply / production	demand / the consumer
Unit of analysis	classes (landlords, capitalists, workers) & distribution	the individual at the margin (micro)
Big question	growth and its limits (the stationary state)	price & allocation via equilibrium
Human model & morals	<i>political</i> economy, entangled with ethics	Homo Oeconomicus , utility maximization, "value-free"

- **Marshall is the "neo-":** he keeps the classical **supply/cost** blade and adds the new **utility/demand** blade — hence *neo-classical*. (Transitional figures **Mill** and **Marx** keep the labour theory of value → they count as **classical**, even while adding new ideas on distribution and crises.)

Critique of neoclassical economics

Core: the assumptions that make the theory elegant are also its weak points — the charges that institutionalists and later Keynes press.

- **History matters** — the early **institutionalist** reply: abstract universal "laws" ignore how institutions and context actually shape economies.
- **"Bring the state back in"** — the state is not a distortion but the **protector of capitalism** (Gerschenkron, the historical school).
- **It cannot explain growth or crises** — the model tends to **static equilibrium**; **Keynes** will argue economies can sit in an **unemployment disequilibrium** that the market does not self-correct.
- **No empirical evidence — only assumptions.** Above all, **"pure competition" does not exist**: real markets tend toward **capital concentration, cartels and monopoly** — exactly what Marshall half-admitted with external economies and De Beers.

Cases & examples

- **"Nissen's Law"** (1981 spoof) — Charles XII (1708), Napoleon (1812), Hitler (1941): why three data points are not a law of history.
- **Smith's water & diamonds** — the paradox of value in use vs value in exchange.
- **List's infant industry** — free trade inside, protection outside (the German catch-up programme).
- **The Methodenstreit, 1883** — Schmoller vs Menger as the emblem of the history-vs-theory split.
- **Marshall's "pair of scissors"** and the **fish market** (perishables → price set by demand) vs **wheat** (storable → sellers hold out) — the period analysis.
- **De Beers** (monopoly) / **Apple & Microsoft** (duopoly) — Marshall's own reality checks against "pure competition."

Key terms

Term	Meaning
Positivism / Historicism	Comte: society has discoverable laws / Ranke: judge the past on its own terms, via sources
Nomothetic / Idiographic	seeking general laws / describing the specific and unique
Deductive / Inductive	reasoning from theory to cases / generalizing from observed facts
German Historical School	economics as history & institutions; state-friendly (List, Roscher, Schmoller)
Methodenstreit (1883)	the Schmoller–Menger "struggle over method" that split German economics
Value in use / value in exchange	usefulness / purchasing power (the two senses of "value")
Water-diamond paradox	the useful thing (water) is cheap, the useless one (diamond) dear
Labour theory of value	value comes from the labour/cost embodied in a good (classical)
Marginal utility / final degree of utility	the utility of the last unit consumed (Jevons's term)
Diminishing marginal utility	each extra unit is worth less than the one before
Marginalism	value is set at the margin by marginal utility, not by labour
Homo Oeconomicus	the rational, self-interested utility-maximizing individual
Methodological individualism	all analysis must start from the individual
Neoclassical synthesis	Marshall's fusion of marginal utility (demand) + cost of production (supply)
Partial equilibrium	analysing one market at a time (to handle time), not all at once
The scissors	value is set by both blades — utility and cost of production
Equilibrium price / amount	where demand price = supply price; no tendency to change
Market / short-run / long-run period	nothing adjusts → only output adjusts → everything adjusts
Tâtonnement	Walras's "groping" trial-and-error toward general equilibrium

★ Study-question answers (Joachim)

1. **What is the water-diamond paradox?** Smith's puzzle that **value in use** and **value in exchange** **come apart**: water is supremely useful yet almost free, while a diamond is nearly useless yet hugely expensive. Classical **labour value** "explained" it by cost (diamonds are hard to get); **marginalism** solves it properly — price follows **marginal utility**, and because water is **abundant**, the utility (and price) of *one more* unit is near zero. See [the paradox](#).
2. **What is "classical" and what is "neo-" in neoclassical economics?** The "neo-" is **marginalism** — subjective **marginal-utility** value, the individual consumer, equilibrium, micro, [Homo Oeconomicus](#).

The "classical" that survives is **supply/cost of production**, private property, free enterprise and the market. Marshall's "neo-classical" economics **keeps the classical cost blade and adds the utility blade** (Brue: "marginalism with a judicious recognition of the surviving contributions of the classical school"). See [classical vs neo-](#).

3. **What is marginalism?** The doctrine that **economic value is determined at the margin** — by the **marginal (final-degree) utility of the last unit**, which **diminishes** as quantity rises — **not** by labour or cost. It is **subjective, deductive**, assumes **free competition and full information**, isolates the **individual's decision at the margin** (hence *microeconomics*), and reduces economics to **utility maximization**. It arrives in **1871** (Jevons, Menger) and **1874** (Walras). See [marginalism](#).
4. **What were Jevons's main contributions? And Marshall's?** **Jevons:** declared "**value depends entirely upon utility**", introduced the **final degree of utility** (= marginal utility) and the **law of its diminution**, replaced the [labour theory of value](#) with the chain **cost → supply → final degree of utility → value**, insisted economics is a **mathematical** science of pleasure/pain (Bentham), and shifted the focus to the **individual consumer**. **Marshall:** the [neoclassical synthesis](#) — **supply and demand** jointly set price (the **scissors**), **partial-equilibrium** and **period** analysis to handle time, the modern **supply-demand diagram** and **equilibrium price**, **money as a measuring rod** for utility, and the textbook (*Principles*, 1890) that founded **microeconomics** to the 1950s. See [Jevons](#) · [Marshall](#).
5. **How are the supply-demand curves established?** The **demand curve** is built from [diminishing marginal utility](#) (buyers take more only as price falls → downward slope); the **supply curve** from **cost of production / rising marginal cost** (sellers offer more only as price rises → upward slope); **price and quantity** are fixed where they **cross** — Marshall's **scissors** — at the stable **equilibrium** (P^* , Q^*), with **price on the y-axis and quantity on the x-axis**. See [how the curves are established](#).

★ Fun facts & memorable details (Module 7: Marginalism & Neoclassical Economics)

Sticky bits from the "political economy → (micro)economics" lecture.

- [The scissors](#) that settled a century-old fight. Marshall ended the "utility vs labour" value war with one image: asking whether utility or cost sets value is like asking **which blade of the scissors cuts the paper**. Both do.
- "**Pure self-interest cannot exist any more than can pure oxygen**." Menger's jab (1883) defending abstract theory — economic "laws" are built on idealisations, so you cannot refute them by pointing at messy reality.
- **1871, twice**. The marginal revolution's two founding books — **Jevons's** *Theory of Political Economy* and **Menger's** *Principles* — appeared in the **same year**, independently, in different countries and languages. Walras joined in 1874; the three only discovered each other in the **mid-1870s**.
- **The socialist marginalist**. **Walras** called himself a **socialist** on the strength of his plan to **tax rising land rents** — using the same marginalist toolkit his Austrian admirers would wield against socialism.
- **Nissen's Law**. A Danish historian's deadpan "law" — win hegemony in Europe, invade Russia, freeze — skewering the idea that history obeys natural laws (Charles XII, Napoleon, Hitler).

- **Marshall hid the maths.** Trained as a mathematician, he still buried his **diagrams in footnotes and algebra in an appendix** so **businessmen** could read the *Principles* — and refused to publish a growth model because he wasn't sure about the equations.
- **"Nature makes no jumps."** Marshall's motto *Natura non facit saltum* — change is gradual; an **industry is like a forest**, the same even as every tree is born, grows and dies.
- **Economics loses its first name.** By 1900 "**political economy**" was giving way to "**economics**" — the new science had detached itself from politics *and* from morals: now it was about **utility maximization** and Homo Oeconomicus.

Exercise Class 5: Economic Culture — the Market in American Fiction

Readings: extract from **Laura Ingalls Wilder**, *Farmer Boy* (1933), "The Value of a Half-dollar" (set 1866/67) • extract from **John Williams**, *Butcher's Crossing* (1960), pp. 244–49 (set in the 1870s). (*Exercise class — Joachim Lund.*)

The assignment (Joachim). "Read and reflect on the texts by Laura Ingalls Wilder (1933) and John Williams (1960). Then discuss which economic ideas and assumptions you can detect in the texts. Consider the implications of John Williams' text for Laura Ingalls Wilder's father-in-law's economic deliberations."

Why these two texts. This class reads two pieces of **American fiction as economic documents** — "economic culture." They stage the exact clash the course has been building toward: the **classical, agrarian, labour-based** idea of value (Modules 3–6) against the **marginalist, market-driven, subjective** idea of value (Module 7). *Farmer Boy* gives us a father preaching that **money is stored work** on a stable family farm; *Butcher's Crossing* shows a **market that destroys the value of a year's brutal labour overnight** — and the natural world with it.

★ The red thread — two theories of value, dramatized:

- **Farmer Boy = the labour theory of value (and the yeoman ideal).** Father Wilder: "No, this is work, son." The half-dollar is worth what it is because it **embodies the labour** of a bushel of potatoes (Smith's "toil and trouble"; Module 6's classical value). Add **thrift** and **capital accumulation** (save the coin → buy a pig → sell piglets) and you get **independence and wealth**. Value is **objective, stable and moral**.
- **Butcher's Crossing = the market's verdict (marginalist value).** A year's labour — and a man's life — produces three thousand prime hides that are suddenly **worth almost nothing**: "*the bottom's dropped out of the whole market*." Value turns out to be **subjective and demand-driven** (fashion shifted: "*everybody that wants one has a buffalo robe; and nobody wants any more*"), wrecked by **overproduction** ("*you flood the market with hides and ruin the market*") and the **destruction of the commons** (the buffalo exterminated, the land "*stunk up*," the meat left "*to rot in the sun*").
- **The implication:** Williams is a direct refutation of Father Wilder's faith. In a real **market economy**, hard work and prudence **guarantee nothing** — value is set by forces the producer cannot see or control.

Key concepts to apply: labour theory of value vs subjective/marginal value • value in use vs value in exchange (the water-diamond paradox) • thrift • deferred gratification • saving → capital accumulation • the Jeffersonian yeoman / self-sufficient farm • market gluts / overproduction vs Say's Law • speculation & boom-bust • risk & uncertainty • the tragedy of the commons • resource depletion • the "cowboy economy" • the disjunction of labour and reward.

Farmer Boy — money as stored work (the agrarian labour theory of value)

Core: on the Fourth of July 1866, the rich upstate-New-York farmer teaches nine-year-old Almanzo that a coin is not a thing to spend but **congealed labour** — and that wealth comes from **work, thrift and reinvestment**.

- **The lesson — a folk labour theory of value.** Asked for a nickel, Father hands over a **half-dollar** and asks "What is this?" — "A half-dollar." — "**No, this is work, son.**" He then walks Almanzo through the whole labour process of a **bushel of potatoes** (plow → cut seed → plant → hoe *twice* → dig → wash → scrub → basket), which the potato buyer pays exactly a **half-dollar** for. "So this half-dollar represents all of the work that goes into growing a bushel of potatoes." → This is **Smith's "toil and trouble"** / the classical labour theory of value (Module 6) in a child's catechism: the real cost and worth of a thing is the **labour embodied** in it.
- **Thrift and deferred gratification.** The coin could become **lemonade** now, or something more. Almanzo chooses to **save** it — "No, I think I'm going to save it and buy a suckling pig instead." Consumption is deferred; the Protestant/producerist ethic of **saving over spending**.
- **Capital accumulation — the pig as investment.** Father's pitch: "buy a suckling pig... raise that pig, and then raise piglets and sell them to earn more money." The half-dollar becomes **capital** that reproduces itself — Smith's virtuous circle of **saving → investment → more wealth** (Module 3), at the family scale.
- **The yeoman ideal & a stable, moral economy.** The farm is **self-sufficient and diversified** (potatoes, pigs), producing goods with real **use-value** (you can *eat* them), sold into **local, stable markets**. Underneath is the **Jeffersonian** assumption that diligent work on one's own land reliably yields **wealth and independence** — the economy is orderly, fair, and under the producer's control.

Butcher's Crossing — the market's betrayal

Core: the buffalo hunters come back from a year in the mountains expecting a fortune — and discover the **market has annihilated the value** of everything they suffered for. Value was never in the hides; it was in **demand**, and demand has vanished.

- **The collapse of value — subjective, demand-driven worth.** The hide trader **McDonald**: "the bottom's dropped out of the whole market; the hide business is finished. For good." Why? **Fashion / tastes changed**: "it looks like everybody that wants one has a buffalo robe; and nobody wants any more. Why they wanted them in the first place, I don't know." → Value is **not** the labour inside the hides; it is the **subjective marginal utility buyers happen to place on them** (Module 7). "Prime hides last year... in just one year?" — worth a fortune, then worthless.

- **Value in exchange vs value in use (the water-diamond paradox)**. Buffalo hides are a pure **exchange-value** luxury (a fashion robe); when fashion moves on, their worth evaporates. Contrast Father Wilder's **potatoes and pigs** — things with intrinsic **use-value** that are *always* worth something because you can eat them. Williams dramatizes Smith's two senses of value and shows which one the frontier bet on.
- **Overproduction / market gluts**. McDonald's accusation: "*you flood the market with hides and ruin the market.*" Too many sellers chasing a boom **drive the price to nothing** — the **general glut** Malthus feared, against Say's Law ("supply creates its own demand"). The hunters are **agents of their own ruin**.
- **Speculation and boom-bust**. McDonald had **speculated** — buying hides "*last fall, all the money I had,*" and betting on **land**: "*you used to say when the railroad came through, the land would be like gold.*" Both bets blew up. Capitalism here is **volatile and cyclical**, not the steady ascent of the farm.
- **The disjunction of labour and reward**. A year of lethal toil (Schneider **drowned**; the hides mostly **lost in the river**) yields hides now worth "*thirty, forty cents apiece,*" then nothing. **Effort guaranteed nothing**; the market, not the worker, decides. Even the shrewd **trader is bankrupted** — nobody controls it.
- **The tragedy of the commons & waste**. The buffalo are an **unowned common resource**, slaughtered to extinction for a transient boom; the meat is left "*to rot in the sun... for the flies and the timber wolves,*" the land "*stunk up... with what you kill.*" This is a **tragedy of the commons** (Lecture 1 PS) and the "**cowboy economy**" of limitless extraction from Exercise Class 4 — profit achieved by **destroying natural capital**.

★ The implication of Williams for Father Wilder's deliberations

Core (the assignment's core): *Butcher's Crossing* is a frontal challenge to the worldview Father Wilder teaches on the Fourth of July. Where Wilder sees a **stable, moral, labour-based** economy that reliably rewards work, Williams reveals a **volatile, amoral, market** economy in which value is **subjective**, labour can be made **worthless overnight**, and the pursuit of profit **destroys both the resource and the producer**.

- **Labour theory of value → refuted by the market**. Father: "*this half-dollar represents all of the work.*" But the hunters' hides embody a **year of brutal work** and are worth **nothing** — because value is set by **demand at the margin**, not by labour. Williams stages the very shift Module 7 describes: **from the classical/labour theory to the marginalist/subjective theory of value**.
- **"Work reliably stores value" → only if the market holds**. Wilder assumes the potato buyer will **always** pay a half-dollar. Williams shows the buyer can vanish ("*the business is finished. For good.*"). Father's model quietly depends on **stable demand and stable prices** — exactly what a speculative, single-commodity market destroys.
- **Prudence and reinvestment → no guarantee of security**. Almanzo reinvests in a pig; McDonald reinvested "*all the money I had.*" One is safe, the other ruined — not because of effort or thrift, but because of **which market you are exposed to**. The farm's **diversified use-value** is resilient; the hunt's **single-commodity exchange-value** is fragile.
- **The self-made yeoman → at the mercy of forces he cannot see**. Wilder's economy is **controllable** by the diligent individual. Williams' is governed by **fashion, gluts, timing and speculation** — "*what*

could go wrong in one year?" The producer is **not** the master of his fate.

- **A moral economy → an amoral one that consumes nature.** Wilder's farm **renews** itself (crops, piglets); Miller's hunt **exterminates** its resource and rots the rest. Williams adds the **ecological** verdict the farm ethos ignores: unchecked market extraction destroys the **commons** on which all production ultimately rests (Exercise 4).
- **The synthesis for the course.** Put together, the two texts *are* the move from **Module 6 to Module 7**: Wilder voices the **classical** economy (labour value, the independent producer, a world of real goods); Williams voices the **neoclassical/market** reality (subjective value, price volatility, the consumer's whim) — plus the **limits-to-growth / tragedy-of-the-commons** warning that the market's triumph can come at the cost of the natural world.

Key terms

Term	Meaning
Labour theory of value	A thing is worth the labour embodied in it (Smith, Ricardo; Father Wilder's "this is work")
Subjective / marginal value	A thing is worth what buyers will pay at the margin (Jevons, Menger; the hide market)
Value in use vs value in exchange	Usefulness (potatoes) vs purchasing power (buffalo hides) — the water-diamond paradox
Thrift / deferred gratification	Saving and postponing consumption (save the coin, skip the lemonade)
Capital accumulation	Reinvesting surplus so it grows (the suckling pig → piglets)
Yeoman ideal	The self-sufficient, independent family farmer (Jeffersonian)
Market glut / overproduction	Too much supply collapses the price ("you flood the market and ruin it"); vs Say's Law
Speculation / boom-bust	Betting on future prices (hides, railroad land); volatile cycles
Tragedy of the commons	An unowned resource (buffalo) over-exploited to destruction
Cowboy economy	Boulding's image of limitless extraction from an open frontier (Ex. 4)

★ Assignment answers (Joachim)

1. Which economic ideas and assumptions can you detect in each text?

- **Farmer Boy**: a labour theory of value ("this is work, son" — the coin = the labour in a bushel of potatoes); **thrift and deferred gratification**; **saving → capital accumulation** (the pig that breeds piglets); the **self-sufficient yeoman** producing real **use-value**; and the background assumption of a **stable, fair market** in which diligent work reliably yields **wealth and independence**.
- **Butcher's Crossing**: a subjective / market theory of value (worth is set by **demand**, which collapsed when the fashion for buffalo robes passed); **overproduction / market gluts** ("you flood the market... and ruin the market"); **speculation and boom-bust** (hides and railroad land); **risk**,

uncertainty and the disjunction of labour from reward (a year's work, and Schneider's life, for nothing); and the tragedy of the commons / **resource destruction** (the buffalo exterminated, the meat left to rot).

2. What are the implications of Williams' text for Father Wilder's economic deliberations?

Williams **undercuts Father Wilder's entire worldview**. The hunters prove that **work does not reliably store value** — value is whatever the **volatile market** will pay, and it can vanish "*in just one year*." Father's faith that thrift, labour and reinvestment bring security assumes **stable demand and prices** and a producer **in control of his fate** — assumptions a speculative, single-commodity market destroys (even the canny trader is ruined). The farm's **diversified use-value** is resilient where the hunt's **pure exchange-value** is fragile; and Williams adds the **ecological** charge the farm ethos ignores — unchecked market extraction **destroys the commons** itself. In short, *Butcher's Crossing* dramatizes the shift from the **classical labour theory of value** that Father Wilder preaches to the **marginalist, market-driven** reality of Module 7 — and warns of its costs.

★ Fun facts & memorable details (Exercise Class 5: The Market in American Fiction)

Sticky bits from the "economics in fiction" class.

- **"No, this is work, son."** The entire classical labour theory of value, compressed into a father's answer to a nine-year-old on the Fourth of July.
- **A potato beats a buffalo hide.** Potatoes have **use-value** (you can eat them); buffalo robes had only **exchange-value** (fashion) — which is why the farm survives and the hunt is ruined. Smith's water-diamond paradox, played out on the frontier.
- **"Prime hides last year — prime hides, in just one year?"** The whole value of a year's labour evaporates between seasons. The market keeps no memory of how hard you worked.
- **"You flood the market with hides and ruin the market."** Malthus's dreaded **general glut**, 60 years before Keynes — overproduction turning a boom into a bust.
- **The buffalo as a tragedy of the commons.** An unowned herd slaughtered to near-extinction for a fashion that had already passed — and the meat left "to rot in the sun." Profit by destroying the natural capital everything else depends on.
- **Even the shrewd trader goes broke.** McDonald "bought and paid for this last fall — all the money I had." In a real market, prudence is no guarantee; the house can lose too.
- **Almanzo the capitalist-in-training.** He turns down the lemonade to buy a pig that will breed piglets — a child modelling **saving and reinvestment** while his cousin spends his nickel on a drink.